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MGT 301 MCQ / True-False / Questions

1. The marketing of goods and services to companies, governments, or not-for-profit organizations for use in the creation of goods and services that they can produce and market to others is referred to as
Answer: business marketing.

2. Organizational buyers include manufacturers, wholesalers, retailers, and government agencies
Answer: That buy goods and services for their own use or resale

3. Which of the following statements represents an organizational buying decision?
Answer: The owner of a fried chicken restaurant hires a snow removal service to keep the parking lot clear.

4. Organizational buyers can be divided into three different markets. They are
Answer: industrial, reseller, and government markets.

5. The services market sells diverse services such as legal advice, auto repair, and dry cleaning. Along with finance, insurance, real estate businesses, and_____, communication and public utility firms, as well as not-for-profit organizations, these firms represent about 75 percent of all industrial firms.
Answer: transportation

6. Archer Daniels Midland (ADM) Co. is the world's largest cocoa-bean processor. It buys cocoa beans and converts the beans into cocoa powder and cocoa butter, which it sells to companies that manufacture consumer products that contain chocolate. The cocoa-bean processor is operating in a(n) _____ market.
Answer: industrial

7. Wholesalers and retailers that buy physical product and resell them without any reprocessing are
Answer: reseller firms

8. The reseller market includes
Answer: retailers and wholesalers.

9. In terms of organizational buyers, Amazon.com, Lands' End, and JCPenney would all be classified as _____.
Answer: resellers.

10. When Louisiana State University buys new laptops for its faculty it is operating as a(n)
Answer: government unit.

11. The system that provides common industry definitions for Canada, Mexico, and the United States, which make easier the measurement of economic activity in the three member countries of the North American Free Trade Agreement (NAFTA) is called:
Answer: the North American Industry Classification System (NAICS).

12. the North American Industry Classification System (NAICS).
Answer: The system that provides common industry definitions between Canada the United States, which makes it easier to measure economic activity and releases barriers of trade for manufacturing and distribution for cross-border firms. The system that provides common industry definitions for Canada, Mexico, and the United States, which makes it easier to measure economic activity in the three member countries of the North American Free Trade Agreement (NAFTA).

13. Derived demand refers to
Answer: the demand for industrial products and services that is driven by demand for consumer products

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and services.

14. Spruceland Millworks in Canada makes wooden pallets for transporting and storing new appliances such as stoves, freezers, and refrigerators. The demand for Spruceland pallets would be classified as.
Answer: derived demand, which is tied to the sales of pallets, which in turn, is tied to the sales of appliances

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15. Purchases of sodium fluoride by Procter & Gamble for use in the manufacture of Crest toothpaste would be an example of_____demand.
Answer: derived

16. Which of the following statements about organizational buying compared to consumer buying is most accurate?
Answer: Brand loyalty exists in both organizational and consumer buying.

17. Important product or service characteristics in organizational buying behavior include: products or services of a technical nature, purchased on the basis of specifications; a large portion of goods are purchased in a raw or semi-finished state, and
Answer: a heavy emphasis placed on delivery time, technical assistance, and postsal service.

18. Which of the following statements accurately characterizes buying behavior in organizational markets?
Answer: Fewer customers typically exist in organizational markets than in consumer markets.

19. The primary organizational buying objective is to
Answer: help the firm achieve its objectives.

20. Seven of the most commonly used organizational buying criteria are (1)_____, (2) ability to meet the quality specifications required for the item, (3) ability to meet required delivery schedules, (4) technical capability, (5) warranties and claim policies in the event of poor performance, (6) past performance on previous contracts, and (7) production facilities and capacity.
Answer: price

21. Seven of the most commonly used organizational buying criteria are (1) price, (2)_____, (3) ability to meet required delivery schedules, (4) technical capability, (5) warranties and claim policies in the event of poor performance, (6) past performance on previous contracts, and (7) production facilities and capacity.
Answer: ability to meet the quality specifications required for the item

22. Seven of the most commonly used organizational buying criteria are (1) price, (2) ability to meet the quality specifications required for the item, (3) ability to meet required delivery schedules, (4) technical capability, (5) warranties and claim policies in the event of poor performance, (6) past performance on previous contracts, and (7)_____.
Answer: production facilities and capacity

23. To be a Wal-Mart supplier, a firm must be able to deliver its products to Wal-Mart distribution centers within a 15-minute window. If the driver arrives before or after the scheduled window they will be turned away and fined. Wal-Mart's insistence of choosing a supplier based upon their ability to provide on-time delivery is an example of a(n)
Answer: organizational buying criterion.

24. Supplier development refers to
Answer: the deliberate effort by organizational buyers to build relationships that shape suppliers' products, services, and capabilities to fit a buyer's needs and those of its customers

25. Harley-Davidson is admired by its suppliers for involving suppliers in future products, referring to suppliers as stakeholders, using quality benchmarks, and
Answer: building long-term relationships.

26. Reciprocity refers to

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Answer: an industrial buying practice in which two organizations agree to purchase each other's products and services

27. Supply partnership refers to
Answer: a relationship that exists when a buyer and its supplier adopt mutually beneficial objectives, policies, and procedures for the purpose of lowering the cost of and/or increasing the value of goods and services delivered to the ultimate customer.

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28. Starbucks purchases from coffee growers located in more than 20 countries. Starbucks pays the coffee farmers a fair price for the beans; the coffee is grown in an ecologically sound manner; and Starbucks invests in the farming communities where the coffees are produced. This is an example of
Answer: community involvement.

29. Organizational buying behavior refers
Answer: the decision-making process organizations use to establish the need for products and services and to identify, evaluate, and choose among alternative brands and suppliers.

30. The group of people within an organization who participate in the buying process and share common goals, risks, and knowledge important to a purchase decision are referred to as the
Answer: buying center.

31. In an effort to make better and more efficient purchase decisions, the Ford Motor Company forms loosely organized groups of people who work together on purchase decisions. The people included in these groups change depending on the purchase situation and may include key personnel from various departments, including research and development, finance, marketing, shipping, and sales. Such a loosely organized group of people within an organization who are involved in the purchase decision is correctly called an organizational
Answer: buying center.

32. Sales engineers from Siemens, a German manufacturer, have won a contract for a new space telescope. They must now evaluate whether components and assemblies will be purchased from outside suppliers or be built by Siemens itself. At what stage of the buying decision process is this determined?
Answer: problem recognition.

33. At which stage in the buying decision process would design and production engineers draft specifications?
Answer: information search

34. During the third stage of the organizational purchase decision process, the organization engages in:
Answer: alternative evaluation.

35. At which stage in the buying decision process would a firm visit a potential supplier to assess their financial status?
Answer: alternative evaluation

36. During the next-to-the-last stage of the organizational purchase decision process, the organization
Answer: makes the purchase decision

37. As in the consumer decision process, evaluation occurs in the industrial decision process, but it is more formalized and often more sophisticated. All items purchased are examined in a formal product acceptance process. The performance of the vendor is also monitored and recorded. This evaluation is described as
Answer: postpurchase behavior.

38. The people in the organization who actually use the product or service are referred to as_____.
Answer: users.

39. Within the buying center, influencers are people who
Answer: affect the buying decision, usually by helping define the specifications for what is bought.

40. In a buying center,_____have the formal or informal power to select or approve the supplier that receives the contract.

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Answer: .deciders.

41. Mark manages a small family-owned amusement park. He believes the park can increase its profits if its owners will buy three food concession trailers. He has contacted three dealers of such trailers, which come fully customized to user specifications, and has determined Century Industries has the best price. He will present only the Century Industries information to the family tomorrow. In which buying center roles

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is Mark acting?
Answer: influencer, gatekeeper, and decider

42. June Golden is part of the buying center for a large manufacturer. Her field of expertise is logistics and she is responsible for choosing transportation providers for the company. A sales representative for Yellow Roadway (a very large trucking firm) regularly buys June's secretary lunch. The representative does this because he views the secretary as a(n)_____and he wants to be sure that information about his company reaches June.
Answer: gatekeeper

43. June Golden is part of the buying center for a large manufacturer. Her field of expertise is logistics and she is responsible for choosing transportation providers for the company. A sales representative for Yellow Roadway (a very large trucking firm) regularly buys June's secretary lunch. The representative does this because he views the secretary as a(n)_____and he wants to be sure that information about his company reaches June.
Answer: gatekeeper

44. The three types of organizational buy classes are
Answer: straight rebuy, new buy, and modified rebuy.

45. The assistant heard her supervisor in the supply room yell, "Call Crate & Barrel—we need another case of their coffee mugs for the conference next week." The supervisor was asking her assistant to make a:
Answer: straight rebuy.

46. In the_____, users, influencers, or deciders in the buying center want to change product specifications, price, delivery schedule, or suppliers.
Answer: modified rebuy

47. The office of SFX Entertainment, a talent promoter, needs a new fax machine that will print at three seconds a page (instead of five seconds per page like the one it is using now) and that has both local and network printing capabilities. Its purchase of a replacement fax machine would be an example of a
Answer: modified rebuy

48. At the weekly meeting for Choice Hotels (the company that owns Clarion Hotel, Quality Inn, Comfort Inn, Comfort Suites, Sleep Inn, and Mainstay Inn), the marketing manager said, "We need an inexpensive creative way to increase awareness of our hotels among people who travel by automobile. To do that I want to find some new media that the other hotel chains are not using." The purchase of this new media for the hotel chains' advertising would be an example of a
Answer: new buy.

49. If a purchase is a new buy for a manufacturer, the seller should expect a long time for a buying decision to be reached, work with technical personnel and
Answer: to act as a consultant to the buyer.

50. A buy class situation affects buying center tendencies in different ways. If there are many people involved, the problem definition is uncertain, and the buying influence comes from technical/operating personnel, the buy class situation most likely is a
Answer: new buy

51. A straight rebuy is a(n)_____while a modified rebuy is a(n)_____.
Answer: reorder; changed order

52. If a purchase is a straight or modified rebuy for a manufacturer, the seller should emphasize a reliable

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supply and_____in meetings with the purchasing agent.
Answer: competitive price

53. In terms of the buying center, Lands' End quality assurance personnel would assume the role of _____.
Answer: influencers

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54. Online buying in organizational markets is prominent because Internet/Web technology
Answer: substantially reduces buyer order processing costs.

55. E-Marketplaces refer to
Answer: online trading communities that bring together buyers and supplier organizations to make possible the real time exchange of information, money, products, and services.

56. eBay is the predominant person-to-person trading community in the world. The eBay Business Web site is an example of a(n)
Answer: e-marketplace.

57. E-marketplace can take two different formats
Answer: independent trading communities and private exchanges.

58. Plastics Net, Hospital Network.com, Textile Web, and eBay Business are all examples of
Answer: independent e-marketplaces.

59. Large companies tend to favor_____that link them with their network of qualified suppliers and customers.
Answer: private exchanges

60. When prospective buyers observe the bids of others and decide whether or not to increase the bid price, it is called a (n)
Answer: traditional auction

61. Dell, Inc. sells surplus, refurbished, or closeout computer merchandise at its dellauction.com website to many buyers who bid sequentially. This is an example of a(n)
Answer: traditional auction.

62. Reverse auction refers to fada
Answer: an online auction in which a buyer communicates a need for a product or service and would-be suppliers are invited to bid in competition with each other.

63. In an e-marketplace, an online auction in which a buyer communicates a need for a product or service and would-be suppliers are invited to bid in competition with each other is referred to as a
Answer: reverse auction.

64. Reverse auctions
Answer: are buyer-initiate

1. Four major trends affecting world trade in the past decade are formal economic integration and free trade among nations, global competition among global companies for global customers, the emergence of networked global marketspace, and
Answer: a gradual decline in economic protectionism by individual countries.

2. Four major trends affecting world trade in the past decade are a gradual decline in economic protectionism exercised by individual countries, formal integration and free trade among nations, global competition among global companies for global customers, and
Answer: emergence of networked global marketspace.

3. The practice of shielding one or more sectors of a country's economy from foreign competition through the use of tariffs or quotas is referred to as
Answer: protectionism.

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4. Those in favor of protectionism advocate that protectionism:
Answer: safeguards a nation's economy from foreign competition.

5. Tariffs refer to:
Answer: government taxes on goods or services entering a country that primarily serve to raise prices on imports tariffs.

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6. President Bill Clinton attempted to protect American firms from foreign competition by placing a government tax on Japanese automobiles imported to the United States. President Clinton's goal was to raise the price on Japanese imports, thereby encouraging American consumers to purchase American-made automobiles. The tax the President threatened to impose is an example of a(n)_____.
Answer: tariff

7. A restriction placed on the amount of a product allowed to enter or leave a country is referred to as a
Answer: quota

8. The world's largest manufacturer of peppermint candy canes was in Albany, Georgia, until it could no longer afford to buy the sugar needed for its operation. It moved its manufacturing business to Mexico where there are no restrictions (as existed in the U.S.) on the amount of sugar that can be brought into the nation. The movement of this U.S. business to Mexico was caused by a(n)_____established by the U.S. government.
Answer: quota

9. World Trade Organization (WTO) refers to
Answer: a permanent institution that sets rules governing trade between its members through panels of trade experts who decide on trade disputes between members and issue binding decisions.

10. Which of the following statements about the World Trade Organization (WTO) is most accurate?
Answer: The WTO uses panels of trade experts who can issue binding decisions.

11. Which of the following statements about the World Trade Organization (WTO) is most accurate?
Answer: The 153 member countries of the WTO account for more than 97 percent of world trade

12. Which of the following statements about the World Trade Organization (WTO) is most accurate?
Answer: The WTO sets rules governing trade among its members.

13. The EU has benefited its member nations because most tariffs that affect pricing practices have been removed, fewer regulatory restrictions on transportation, advertising, and promotion imposed by countries; and:
Answer: firms do not need to market their products and services on a nation-by-nation basis.

14. The North American Free Trade Agreement was designed to encourage free trade between
Answer: the United States, Canada, and Mexico.

15. CAFTA-DR, a comprehensive free trade agreement between Costa Rica, the Dominican Republic, El Salvador, Guatemala, Honduras, Nicaragua, and_____.
Answer: the United States

16. Global competition refers to
Answer: when firms originate, produce, and market their products and services worldwide.

17. In terms of the global marketplace there are three primary types of companies: international firms, multinational firms, and_____firms.
Answer: transnational

18. In terms of the global marketplace there are three primary types of companies:_____, multinational firms, and transnational firms.
Answer: international

19. In terms of the global marketplace there are three primary types of companies: international firms, _____firms, and transnational firms.
Answer: multinational

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20. Three types of companies populate and compete in the global marketplace: international firms, multinational firms, and_____firms.
Answer: transnational

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21. In terms of the global marketplace there are three primary types of companies: international firms, multinational firms, and transnational firms. The key factor that distinguishes one from another is
Answer: The firm's orientation toward and strategy for global markets and marketing.

22. Generally speaking, a(n)_____firm markets their existing products and services in other countries the same way they do in their home country.
Answer: international

23. A firm that views the world as consisting of unique parts and markets to each part differently is referred to as a(n)
Answer: multinational firm.

24. Multidomestic marketing strategy refers to:
Answer: the strategy used by firms that have as many different product variations, brand names, and advertising programs as countries in which they do business

25. The strategy of transnational firms that employ the practice of standardizing marketing activities when there are cultural similarities and adapting them when cultures differ are referred to as a(n)
Answer: global marketing strategy

27. Cross-cultural analysis refers to
Answer: the study of similarities and differences among consumers in two or more nations or societies.

28. Values refer to
Answer: personally or socially preferable modes of conduct or states of existence that tend to persist over time

29. Which of the following examples best demonstrates a company's appreciation for another country's values?
Answer: Calvin Klein reduced the number of outdoor advertising placements showing scantily clad models in countries with predominantly Muslim populations.

A German company allows customers to make large purchase using lay-away (paying small amounts until the item is paid for and delivered.
Answer: Calvin Klein reduced the number of outdoor advertising placements showing scantily clad models in countries with predominantly Muslim populations.

30. Customs refer to
Answer: that is considered normal and expected about the way people do things in a specific country.

31. KFC in Japan sells tempura crispy strips. In northern England, it stresses gravy and potatoes, while in Thailand it offers fresh rice. In Holland instead of potatoes, KFC offers customers a potato and onion croquette. In France, KFC sells pastries alongside its chicken. These examples illustrate that KFC exhibits an understanding of and appreciation for the_____of other societies.
Answer: customs

32. A law, amended by the International Anti-Dumping and Fair Competition Act (1998), that makes it a crime for U.S. corporations to bribe an official of a foreign government or political party to obtain or retain business in a foreign country is referred to as the
Answer: Foreign Corrupt Practices Act

33. Which of the following statements about bribery is most accurate?
Answer: It is illegal for a U.S. corporation to bribe an official of a foreign government or political party to obtain or retain business in a foreign country

34. The representations of ideas and concepts to which different cultures often attach different meanings

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are referred to as:
Answer: cultural symbols.

35. Even though there are approximately one hundred different languages and dialects in the world, the three major languages used in global diplomacy and commerce are
Answer: English, French, and Spanish.

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36. The practice of shielding one or more sectors of a country's economy from foreign competition through the use of tariffs or quotas is referred to as
Answer: protectionism

37. A country's communication, transportation, financial, and distribution systems are considered to be its:
Answer: economic infrastructure.

38. Foreign countries with very low per capita incomes may, nonetheless, be attractive markets for expensive goods. To get a more accurate picture of a country's purchasing power, a country's _____must also be considered.
Answer: income distribution

39. Currency exchange rate refers to
Answer: the price of one country's currency expressed in terms of another country's currency.

40. Trade among nations or regions depends on political stability. In recent times, billions of dollars have been lost in the_____and_____as a result of internal political strife, terrorism, and war.
Answer: Middle East, Africa

41. Once a company has decided to enter the global marketplace, it must select a means of market entry. Four general options exist: (1) exporting, (2)_____, (3) joint venture, and (4) direct investment.
Answer: licensing

42. Once a company has decided to enter the global marketplace, it must select a means of market entry. Four general options exist: (1)_____, (2) licensing, (3) joint venture and (4) direct investment.
Answer: exporting

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Answer: joint venture

44. Once a company has decided to enter the global marketplace, it must select a means of market entry. Four general options exist: (1) exporting, (2) licensing, (3) joint venture, and (4)_____.
Answer: direct investment

45. A firm's profit potential and control over marketing activities increases as it moves from exporting to direct investment as a globe market-entry strategy. But so does the firm's:
Answer: financial commitment and risk.

47. Indirect exporting refers to
Answer: when a firm sells its domestically-produced goods in a foreign country through an intermediary.

48. A small Canadian winery located in British Columbia has developed a superior tasting wine. They have no overseas contacts but want to get their wine on the shelves in selected Asian and European markets where growth has been substantial in the last two years. What type of exporting option would best suit this company?
Answer: indirect exporting

49. Direct exporting refers to
Answer: when a firm sells its domestically-produced goods in a foreign country without intermediaries

50. The prominent global market-entry strategy among small-and medium-sized companies is
Answer: exporting

51. Offering the right to a trademark, patent, trade secret, or similarly valued items of intellectual property

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in return for a royalty or fee is referred to as
Answer: licensing.

52. Tricon was the restaurant division of PepsiCo until it was spun off in 1997. Since then Tricon has opened 6,000 KFC restaurants abroad. It has 158 in Indonesia and more than 500 restaurants in China. All are locally owned, and the owner pays a fee to Tricon. Tricon is engaged in
Answer: licensing

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53.A global market-entry strategy in which a foreign company and a local firm invest together to create a local business in order to share ownership, control, and profits of the new company foreign company and a local firm invest together to create a local business, it is referred to as
Answer: joint venture

54. The_____arrangement between Ericsson, a Swedish telecommunications firm, and CGCT, a French switch maker, enabled them together to beat out AT&T for a $100 million French contract.
Answer: joint venture

55. A global market-entry strategy that entails a domestic firm actually investing in and owning a foreign subsidiary or division, is referred to as
Answer: direct investment

56. The product strategy of selling virtually the same product in other countries is referred to as
Answer: product extension

57. The company that makes Breathe-Right nasal strips sells the same product in other countries. This is an example of which type of international product strategy?
Answer: product extension

58. Changing a product in some way to make it more appropriate for a country's climate or preferences is an example of which type of product strategy?
Answer: product adaptation

59. Frito-Lay produces and markets potato chips in Russia that have seafood-flavor. This is an example of
Answer: product adaptation

60. Designing a product to serve the unmet needs of a foreign nation is which type of product strategy?
Answer: product invention

61. When a firm sells a product in a foreign country below its domestic price or below its actual cost it is referred to as
Answer: dumping

62. Gray market refers to
Answer: a situation where products are sold through unauthorized channels of distribution.

63. A situation where products are bought in a lower-priced country from a manufacturer's authorized reseller, shipped to higher-priced countries, and sold through unauthorized retailers below the manufacturer's suggested retail price, is referred to as_____.
Answer: a gray market

64. When Breath Right decided to enter the global market there were many contributing factors such as countries having a large over-the-counter (OTC) market, high per-capita sending in the OTC market, and future prospects for growth. However, according to Kevin McKenna, vice president for international at CNS, the real key to success is
Answer: having a local partner that is entrepreneurial with an ability to distribute and sell

65. Many changes influenced the opportunities for global sales of Breathe Right strips. These include increased availability of OTC products formerly available only by prescription, a global push toward self-care, spurred by increasing cost of medical care, extension of OTC products beyond the pharmacy and into grocery and other channels, and even
Answer: an expansion of the pharmacist role from that of medical professional to selling and marketing OTC products.

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66. To ensure the Breathe Right brand continues to meet growth expectations, CNS uses a three-stage approach to penetrate and develop new markets : (1) explore/test the concept, (2) establish the product, and (3)
Answer: manage the product

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1. Filmmakers want movie titles that use basically the same factors that make a good brand name; they must be_____, grab attention, have no legal restriction, and capture the essence of the film.
Answer: concise

3. Concept tests of plots using surveys, testing of marketing campaigns, sneak previews, and tracking studies are all examples of market research techniques. Collectively, they are used in the movie industry to
Answer: reduce uncertainty and to improve marketing decisions.

4. The process of defining a marketing problem and opportunity, systematically collecting and analyzing information,
Answer: and recommending actions is referred to as_____. marketing research

5. Members of the Book Promoters Association of Canada recently questioned what could be done to rejuvenate the Canadian book publishing industry. Some members claimed the problem was Canadian retailers had been replaced by Wal-Marts. Others said the problem was with stodgy promotions. Still others said the problem was caused by too little money being budgeted to fund marketing programs. The best way to identify the true problem would be to use_____.
Answer: marketing research

6. Decision making is the act of
Answer: consciously choosing from alternatives.

7. Setting research objectives and identifying possible marketing actions would take place during which stage in the five-step marketing research approach?
Answer: define the problem

8. Research objectives are_____.
Answer: specific measureable goals

9. Effective decision makers rely on criteria or standards used in evaluating proposed solutions to a problem, which is known as
Answer: measures of success

10. When Home Depot entered the Quebec market, two percent of the population was aware of the retail chain. To determine how effective its advertising was in the first 18 months of its presence in the Canadian province, it conducted awareness research for a second time. Prior to conducting the research, it was decided that if at least 50 percent of the population were aware of the Home Depot brand that it would continue its present advertising program. This is an example of a(n)
Answer: Measure of success

11. The second step of the marketing research approach is_____.
Answer: develop the research plan

12. The third step of the marketing research approach is_____.
Answer: collect relevant information

13. The fourth step of the marketing research approach is_____.
Answer: develop findings

14. The fifth step of the marketing research approach is_____.
Answer: take marketing actions

15. Constraints refer to
Answer: in a decision, the restrictions placed on potential solutions to a problem.

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16. What are two common constraints in marketing problem solving?
Answer: limitations on the time and money available

17. After defining the problem and developing the research plan, the next step in the marketing research process is to
Answer: collect relevant information

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18. Penningtons Superstore, which specializes in plus-size fashions for women, wanted to see if it should add a line of plus-size junior wear. The following statement reflects which step in the marketing research process? "To see which is more effective, offering products for this market in our current stores or opening separate stores targeted directly to the teenage market, let's distribute questionnaires to current shoppers and solicit their opinions, set up some focus groups with plus-size teens, and locate any relevant secondary research."
Answer: Collect relevant information.

19. Data refers to
Answer: the facts and figures related to the problem that is divided into two main parts: secondary data and primary data.

20. Secondary data are the
Answer: facts and figures that have already been recorded before the project at hand.

21. Secondary data can be divided into two parts-_____and_____.
Answer: internal data; external secondary data

22. Primary data refer to
Answer: facts and figures that are newly collected for a project at hand.

23. A survey by Economic Research Service of the U.S. Department of Agriculture, government statistics from the Department of Commerce, stock market information from the Wall Street Journal would all be examples of
Answer: external secondary data

24. The 2007_____contains data on the number and sales of establishments in the United States that produce a good or service based on its geography, industry sector, and North American Industry Classification code.
Answer: Economic Census

26. A general rule of thumb among marketing researchers is to obtain_____first and then collect _____.
Answer: secondary data; primary data

27. Two Important advantages of secondary data are
Answer: they are usually inexpensive and save time

28. STAT-USA provides
Answer: information on U.S. business, economic and trade activity collected by the federal government

30. Google
Answer: is the most popular portal to the entire Internet accessed by entering key words or topics for specific searches

31. Facts and figures obtained by watching, either mechanically or in person, how people actually behave are referred to as_____data.
Answer: observational

32. Shelly, the manager of a large grocery store, was concerned. She had received complaints from several customers who said they had been treated rudely by clerks at the store. In order to determine whether or not her clerks were indeed rude, Shelly hired a team of marketing researchers. The researchers posed as customers shopping in the store, but were actually taking notes and recording the actions of the store clerks. Later, Shelly reviewed those notes. The research notes Shelly reviewed were a

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form of_____data.
Answer: observational

33. Nielson Media Research collects national TV ratings by using a "people meter." This box is attached to TV sets, VCRs, cable boxes, and satellite dishes in over 9,000 homes across the country. It has a remote that operates the meter when a viewer begins and finishes watching a TV program and transmit the

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viewing information to Nielson Media Research. Nielson Media Research is collecting_____.
Answer: observational data

34. People posing as customers, who are paid to check on the quality and pricing of a company's products and services and write a detailed report on the experience, are referred to as_____.
Answer: mystery shoppers

35. Which of the following statements concerning ethnographic research is most accurate?
Answer: Ethnographic research uses anthropologists and other trained researchers to observe consumers in their natural use environment

36. A new field of marketing that studies the brain and its response to marketing stimuli is referred to as
Answer: Neuromarketing

37. Questionnaire data refers to
Answer: the facts and figures obtained by asking people about their attitudes, awareness, intentions, and behaviors.

38. Research and media firm Youth Culture published Watch magazine, a teen publication given out free to high school students, but the publication was unable to deliver response rates to coupons or sample offers that its advertisers expected. Youth Culture handed out surveys to learn how students felt about the publication. Feedback indicated teen boys and girls were demanding very different things from the publication. This feedback was gleaned from_____data.
Answer: Questionnaire

40. When Marine Midland Bank sent market researchers door-to-door in the neighborhoods of their branch banks to talk to people with saving accounts and discuss with them why they did not also have checking accounts and credit cards Marine Midland researchers were using_____to collect data.
Answer: individual interviews

41. A special kind of individual interview in which researchers ask lengthy, free-flowing kinds of questions to probe for underlying ideas and feelings is called a
Answer: depth interview.

42. A marketing research approach that uses a discussion leader to interview 6 to 10 past, present, or prospective customers is referred to as
Answer: a focus group.

43. The practice of identifying "emerging shifts in social behavior," which are driven by changes in pop culture that can lead to new products is called_____hunting
Answer: trend

44. Surveys that enable the interviewer to be flexible in asking probing questions or getting reactions to visual materials would be best conducted using
Answer: personal interviews.

45. Marketers are increasingly using online surveys to collect primary data. The reason:
Answer: most consumers have an Internet connection and an e-mail account.

46. Marketers are increasingly using online surveys to collect primary data. Marketers can ask consumers to complete a "_____" survey. These small Web pages containing an advertisement that appears on your screen outside the current Web site loaded into your browser.
Answer: pop-over

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47. The advantage of_____are that the cost is relatively minimal and the turnaround time for data collection to report presentation is much quicker than the traditional methods of data collection.
Answer: on-line surveys

48. A(n)_____question allows respondents to express opinions, ideas, or behaviors in their own words without being forced to choose among alternatives that have been predetermined by a marketing

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researcher.
Answer: open-ended

49. "Why do you smoke?" is an example of which type of question?
Answer: open-ended

50. A(n)_____question requires respondents to select one or more response options from a set of predetermined choices.
Answer: closed-end

53. A_____provides an online meeting place where people with similar interests can communicate and find useful information.
Answer: social network

54. Data obtained by manipulating factors under tightly controlled conditions to test cause and effect is an example of
Answer: an experiment.

55. Simply put, in marketing experiments, the independent variable is the_____and the dependent variable is/are the_____.
Answer: cause of an action; effect of an action

56. When Procter & Gamble Co. acquired the Old Spice brand it decided to reposition the brand by using different advertising to see whether sales would then increase. The possible sales increase is the _____in this experiment.
Answer: dependent variable

57. Drivers are used with which of the four P's?
Answer: product, price, promotion, and place inclusively

58. In marketing experiments, the independent variables of interest - sometimes called the marketing _____-are often one or more of the marketing mix elements, such as product features, price, or promotion
Answer: drivers

59. Offering a product for sale in a small geographic area to help evaluate potential market actions is called_____.
Answer: Test markets

60. What type of market would a food company use to offer a product for sale in a small geographic area to help them evaluate potential marketing actions?
Answer: test market

61. Involving operating computer networks that can store and process data is referred to as
Answer: information technology.

62. A collection of databases that store, organize, and manage data sources is called a _____
Answer: data warehouse

63. When a marketing manager begins asking "what if" questions to determine how changes in a factor like price or advertising affect marketing results like sales or profits, she is performing a(n) _____ analysis.
Answer: sensitivity

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64. The extraction of hidden predictive information from large databases to find statistical links between consumer purchasing patterns and marketing actions is referred to as
Answer: data mining.

65. Data Mining refers to
Answer: The extraction of hidden predictive information from large databases.

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66. Analyzing data and presenting findings would take place during which stage of the five-step marketing research approach?
Answer: develop findings

67. Once a market researcher has defined the problem, developed the research plan, and collected the relevant information, what is the next thing he or she needs to do?
Answer: analyze data and present findings

68. Making action recommendations, implementing action recommendations, and evaluating results would take place during which stage of the five-step marketing research approach?
Answer: Take marketing actions

69. The final stage in the five-step marketing research approach includes making action recommendations, implementing action recommendations, and
Answer: monitor how the decisions work turn out

70. Evaluating the results of a marketing decision involves
Answer: monitoring the marketplace to determine if action is necessary in the future.

71. Marketing teams must be vigilant for ways to improve the analysis and results - to learn lessons that might apply to future marketing research efforts. Evaluating the effectiveness of a marketing decision involves
Answer: determining if the marketing research and analysis used to develop the recommendations was effective.

72. The total sales of a product that a firm expects to sell during a specified time period under specified environmental conditions and its own marketing efforts is referred to as
Answer: sales forecasting.

73. Sales forecast refers to
Answer: the total sales of a product that a firm expects to sell during a specified time period under specified environmental conditions and its own marketing efforts.

74. A(n)_____forecast involves starting with the last known value of the item being forecast, listing the factors that could affect the forecast, assessing whether they have a positive or negative impact, and making the final forecast.
Answer: lost-horse

1. The place a product occupies in consumers' minds on important attributes relative to competitive products is referred to as
Answer: product positioning.

2. The purpose of market segmentation is to respond more effectively to the wants of groups of potential buyers in order to
Answer: increase sales and profits.

3. A basic test of the usefulness of the market segmentation process is whether it leads to tangible marketing actions that can

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Answer: increase sales and profitability.

4. Market segmentation refers to
Answer: aggregating prospective buyers into groups that have common needs and will respond similarly to a marketing action

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5. To be identified as a market segment, its members must
Answer: have common needs and respond similarly to market actions.

7. The phrase "relatively homogeneous collections of prospective buyers" is most descriptive of
Answer: market segments.

8. A marketing strategy that involves a firm using different marketing mix activities to help consumers perceive the product as being different and better than competing products is referred to as_____.
Answer: product differentiation

9. When Procter & Gamble introduced Crest toothpaste, the first fluoride toothpaste, it was intended for use by children and was therefore given a child-appealing bubblegum flavor. Sometime later the same basic formula was given a fresh, minty flavor to appeal to adults. What is this marketing strategy called?
Answer: product differentiation

10. Alka-Seltzer was made originally as a hangover remedy that cured the headache and settled the stomach. Today you can buy Original Alka-Seltzer, Extra Strength Alka-Seltzer, Alka-Seltzer Morning Relief (for morning headaches and fatigue), and Alka-Seltzer Heartburn Relief. Each Alka-Seltzer product is targeted to a slightly different market segment. The maker of Alka-Seltzer is using
Answer: product differentiation.

11. The process of segmenting a market and selecting specific segments as targets is the link between _____and the organization's marketing program.
Answer: market needs

12. The process of segmenting a market and selecting specific segments as targets is the link between the various buyers' needs and
Answer: the organization's marketing program.

13. Small athletic shoe manufacturers such as Vans have targeted niche markets and made shoes designed to satisfy the needs of different specific groups of customers. This strategy is an example of
Answer: market segmentation

14. Which of the following statements regarding market segmentation is most accurate?
Answer: If a business firm goes to the trouble and expense of segmenting its markets, it expects to reveal a way to increase sales, profits, and return investment.

15. Time magazine publishes 200 different U.S. editions each targeted at unique geographic and demographic segments using a special mix of advertisements. Time is using which of the following segmentation strategies?
Answer: one product with multiple market segments

16. When compared to a multiple-products-multiple-market segments strategy, a one-product-and-multiple-market-segments strategy
Answer: creates greater cost savings in manufacturing costs.

17. Which of the following is an example of a multiple products and multiple markets strategy?
Answer: Ford manufactures SUVs for those who wish to carry lots of people and pickup trucks for those who wish to carry lots of products.

18. Kellogg's different types of cereals, each targeted at a different type of user, are an example of multiple products aimed at multiple markets. Manufacturing these different cereals is clearly more expensive than producing one but seems worthwhile if it adds to the manufacturer's sales revenues and profits, doesn't reduce quality or increase price, and
Answer: better serves the customers' needs.

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20. Which of the following is an example of a "Tiffany/Wal-Mart" strategy?
Answer: Gap's Banana Republic chain sells blue jeans for $58, whereas its Old Navy stores sell a slightly different version for $22.

21. You can go to your nearest Hallmark card store and buy a birthday greeting card for a friend and pay $4.50, or you can buy a card that's not quite as nice but just as sentimental from the store's new $.99 line

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of greeting cards. This is an example of
Answer: a "Tiffany/Wal-mart" strategy

22. Tailoring goods or services to the tastes of individual customers on a high-volume scale is referred to as
Answer: mass customization.

23. Custom Foot runs six retail locations. At first glance none looks any different from your basic old-fashioned shoe store, but the only boots on hand are display models. There's no inventory for sale, and customers go home empty-handed—at least initially. Customers browse the store, mixing and matching design components such as style, color, and leather type. About 100 display boots provide style guidelines. Once you choose a boot style, you select materials, colors, and textures. Custom Foot guarantees your boots will be ready within three weeks. This is an example of
Answer: mass customization.

24. To create a_____strategy, nikeid.com allows customers to visit its Web site and design a sneaker to their own personal specifications.
Answer: mass customization

25. Manufacturing a product only when there is an order from a customer is referred to as
Answer: build-to-order (BTO).

26. The increased customer value achieved through performing organizational functions like marketing or manufacturing more efficiently is referred to as_____.
Answer: organizational synergy

27. When new products or a new chain steals customers and sales from older existing ones it is referred to as
Answer: cannibalization

28. The purpose of the five key steps in segmenting and targeting markets is to
Answer: link market needs of customers to the organization's marketing program.

29. The second step in segmenting and targeting markets is to
Answer: group products to be sold into categories.

30. The third step in segmenting and targeting markets is to
Answer: develop a market-product grid and estimate size of the overall market

32. Criteria for forming segments involve both similarities and differences. Which of the following statements is most accurate?
Answer: Within a segment the needs of potential buyers should be similar; among segments, the needs of buyers should be different

33. Neilsen Claritas' PRIZM is used to classify every household into one of 66 demographical and _____distinct neighborhood segments to identify lifestyles and purchase behavior within a defined geographic market area, such as zip code.
Answer: behaviorally

34. Four general categories used to segment consumer markets are geographic segmentation, demographic segmentation,_____, and behavioral segmentation.
Answer: psychographic segmentation

35. Which of the following statements demonstrates the formation of a segment based on region?
Answer: In China KFC sells a much spicier chicken the farther away its restaurants are from the coastal areas.

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36. Universal Concerts is planning on bringing a series of concerts to Canada next year. In general, Western Canadians much prefer country music, yet in Eastern Canada a country music event is very likely to have lots of empty seats. If they can have only one venue, Universal Concerts should segment its Canadian market according to_____, if it hopes to have a sold-out concert.
Answer: geographic characteristics

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37. Which of the following is a consumer demographic variable?
Answer: gender

38. Procter & Gamble Co. (P & G) decided to skip a generation of consumers when it began to market Old Spice deodorant. The target market is men aged 18 to 34, who don't remember the Old Spice brand sold to their grandfathers many years ago. P & G is using which type of segmentation variable?
Answer: demographic

39. Which of the following statements demonstrates the formation of a segment based on household size?
Answer: GE built a downsized microwave oven to hang under kitchen cabinets.

40. Which of the following statements regarding segmentation bases is most accurate?
Answer: The identification of demographic variables is more objective than the identification of psychographic variables which is more subjective.

42. Magazines like Fitness, Field & Stream, Golf Digest, and Health all use a_____segmentation strategy.
Answer: psychographic

48. People who might become users of the type of good or service your firm sells are referred to as
Answer: prospects.

49. A framework to relate the market segments of potential buyers to products offered or potential marketing actions by an organization is referred to as_____.
Answer: market-product grid

50. Market-product grid refers to
Answer: a framework to relate the market segments of potential buyers to products offered or potential marketing actions by an organization.

51. A market-product grid is a framework to relate the market segments of potential buyers to
Answer: products offered or potential marketing actions by an organization.

53. After establishing the markets and product groupings on a market-product grid the next step is to
Answer: make intelligent "guesstimates" of market size, for example, using a simple scale from zero to three (no market, a small market, a medium market, and large market).

54. One advantage of a market-product grid is that it can be used to
Answer: determine which target market segments to select and which product groupings to offer.

55. Which of the following statements regarding market segmentation is most accurate?
Answer: The bases for segmenting markets and the bases of selecting the segments are considerably different from one another.

56. Which of the following is a criterion for selecting a target market?
Answer: expected growth of segment

57. Which of the following is a criterion used for selecting a target segment?
Answer: competitive position

59. Which of the following is a criterion used for selecting a target segment?
Answer: compatibility with the organization's objectives and resources

60. Five general criteria are often used to pick target segments. They include the size of the market, expected growth of the market, competitive position of the firm with respect to the market, and cost of reaching the segment. What is the fifth criterion?

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Answer: Compatibility with the organization's objectives and resources

61. In developing a marketing strategy for the recently released Nike Air Jordan XVII with a price tag of $200, Nike decided to concentrate on affluent teens rather than members of high school basketball teams. This is an example of
Answer: selecting target market segments to reach.

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62. Doris Lewis owns Lewis Edibles, Inc., a company that makes Tongue Tinglin' B.B.Q. Sauce. She wants to target local people who like the special blend of flavors found only in North Carolina barbecue sauce. In developing a marketing strategy to sell the sauce, Lewis decided to join Goodness Grows in North Carolina, a specialty food association that advertises local products and distributes them to local supermarkets and gourmet shops. Lewis has just
Answer: taken marketing actions to reach target markets.

64. If a firm cannot afford to do both, it will often favor_____over_____because a single customer segment will likely require a variety of products, each of which will have to be designed and manufactured.
Answer: market synergies; product synergies

65. The place a product occupies in consumers' minds on important attributes relative to competitive products is referred to as
Answer: product positioning.

66. Product positioning refers to
Answer: the place a product offering occupies in consumers' minds on important attributes.

67. Product repositioning refers to
Answer: changing the place an offering occupies in consumers' minds relative to competitive products.

68. Motts Applesauce used an advertising campaign to change the way consumers thought about applesauce from a dinnertime side dish to a replacement for cooking oil in baking. The advertising message was that using applesauce in baking cuts calories and also makes the resulting baked good healthier. Motts was using a_____strategy.
Answer: repositioning

69. Positioning that involves competing directly with competitors on similar product attributes in the same target market is referred to as_____.
Answer: head-to-head positioning

70. In the sneaker market, Reebok and Nike practice_____positioning since both manufacturers compete in the same target market with similar product attributes.
Answer: head-to-head

71. Positioning that involves seeking a less competitive, smaller market niche in which to locate a brand is referred to as_____.
Answer: differentiation positioning

72. Some Timex wristwatches can be purchased for less than $30; some Rolex wristwatches carry a price tag of several thousand dollars. In general, consumers view Timex watches as being dependable, relatively accurate, and inexpensive. The Rolex brand tends to be perceived as an expensive status symbol. Timex watches can be purchased in drug stores, discount stores, and department stores in all sizes of communities. Rolex watches are distributed more selectively, and are often available only in fine jewelry stores or specialty shops. By using distinctly different pricing and distribution strategies, the marketers of Timex and Rolex watches have attempted to
Answer: use a product differentiation strategy.

73. To avoid cannibalization within company product lines, firms often use
Answer: differentiation positioning.

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74. A perceptual map can be used to identify a firm's product in terms of how closely it fits the "ideal" and where it fits in relationship to competitors. The map is based on perceptions of
Answer: consumers

75. A key to positioning a product or brand effectively is discovering the perceptions of its potential customers. In determining its positioning in the minds of customers, companies take four steps: (1) _____, (2) discover how target customers rate competing products or brands with respect to these

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attributes, (3) discover where the company's product or brand is on these attributes in the minds of potential customers, and (4) act to reposition the company's product or brand in the minds of potential customers
Answer: identify the important attributes for the product or brand class

76. A means of displaying or graphing in two dimensions, the location of products or brands in the minds of consumers to enable a manager to see how consumers perceive competing products or brands, as well as its own product or brand, is referred to as_____.
Answer: perceptual map

77. A graph displaying consumers' perceptions of product attributes in two dimensions is referred to as a?
Answer: Perceptual map

78. Marketers use perceptual maps as a means to display or graph in two dimensions the location of products or brands
Answer: in the minds of consumers.

79. The axes on a perceptual map are
Answer: two product attributes each listed in terms of their opposites.

Neilsen Claritas' PRIZM is used to classify every household into one of 66 demographical and _____distinct neighborhood segments to identify lifestyles and purchase behavior within a defined geographic market area, such as zip code.
Answer: Behaviorally

1. The Apple II, Macintosh, MacBook Air, iPhone 3GS, iPod, and the iPad are all examples of a company's commitment to_____.
Answer: continuous innovation

2. Product refers to
Answer: good, service, or idea consisting of a bundle of tangible and intangible attributes that satisfies consumers' needs and is received in exchange for money or something else of value.

3. A good, service, or idea consisting of a bundle of tangible and intangible attributes that satisfies consumers' needs and is received in exchange for money or something else of value is referred to as _____.
Answer: a product

4. Consumer product classifications are based upon three variables: 1) effort the consumer spends on the decision, 2) frequency of purchase, and 3)
Answer: attributes used in making the purchase decision

5. A product is a good, service, or idea consisting of a bundle of tangible and intangible attributes that satisfies consumers' needs and is
Answer: received in exchange for money or something else of value.

7. Goods can be divided into_____goods and_____goods.
Answer: durable; nondurable

8. A nondurable good is defined as a(n)
Answer: item consumed in one or a few uses.

9. Which of the following is the best example of a nondurable good?

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Answer: gasoline

10. which of he following is the example of a nondurable good?
Answer: LAUNDRY DETERGENT

11. Products that usually last over many uses, such as cars and appliances are referred to as
Answer: DURABLE GOODS

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12. Which of the following is considered a durable good?
Answer: silverware

13. The division of products into durable and nondurable goods is to_____.
Answer: provide direction for marketing actions

14. Advertising is important for products such as Butterfinger candy bars and Dasani bottled water that is purchased frequently and at relatively low cost. Wide distribution in retail outlets is essential. Why?
Answer: They are nondurable goods and easily substitutable so consumers need to be reminded of their existence.

17. Which of the following would most likely be considered a consumer product?
Answer: suitcase

18. Business products are also referred to as_____products
Answer: industrial

19. Business products are also referred to as _____.
Answer: B2B products

20. Business products refer to
Answer: products that organizations buy that assist in providing other products for resale.

21. Marissa, a college student and her father, a wealthy businessman, were each considering the purchase of a new automobile. As a college student with limited financial resources, Marissa went from car dealer to car dealer in several different cities searching for the lowest price on a new economy car. She devoted a great deal of time and energy to getting the best value for her money. Marissa's father, however, knew that he would buy another new car next year. Because it was convenient, he simply went to the local auto dealer and, with little thought or effort regarding the buying decision, bought the first luxury car that he saw. For Marissa, an automobile was a _____ good; for her father, a car was a _____.
Answer: shopping product; a convenience product

23. With respect to distribution, convenience products are available
Answer: on a widespread basis at many outlets.

24. Shopping products refer to
Answer: items for which the consumer compares several alternatives on several criteria such as price, quality, or style.

25. You decide to buy a new car. You talk to friends about it, research mechanical specifications in Consumer Reports, test drive different makes and models, and compare prices at several dealerships. Into which classification of consumer products would your new car purchase fall?
Answer: Shopping product

27. Which type of consumer product is purchased infrequently and takes an extensive amount of time to make the purchase decision and obtain the item?
Answer: specialty products

29. Distribution is very limited with which of the following types of consumer products?
Answer: specialty products

30. Unsought products are
Answer: products which the consumer does not know about, or knows about but does not initially want.

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31. Which of the following is most likely to be an example of an unsought product?
Answer: cancer insurance

32. With respect to promotion, which of the following strategies would most likely be used for unsought products?
Answer: generating awareness

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33. The elements that distinguish services from goods are the four I's, which are
Answer: intangibility, inconsistency, inseparability, and inventory.

34. Intangibility of services means
Answer: the services can't be seen or touched before the purchase decision

36. Before moving out of their apartment, Brad and Kim Westgate decided to have their carpets cleaned by Service Master, a company specializing in professional carpet cleaning. The carpet cleaners arrived at Brad and Kim's apartment, unpacked their equipment, cleaned the carpets, packed up their tools, and drove away in their bright yellow van. The service provided by Service Master, could not be held, touched, or seen before the purchase decision. This scenario illustrates the_____of services.
Answer: Intangibility

38. Developing, pricing, promoting, and delivering services are challenging. Organizations attempts to reduce inconsistency through
Answer: providing standardization and training

39. Andrea Arena is the owner of 2 Places at 1 Time, a concierge company. She and her staff of 60 perform everyday services such as walking the dog, picking up cleaning, waiting for the repairman, and going to the post office for people who are too busy to perform these simple acts themselves. One way she tries to ensure_____of services for her regular customers is to make sure that the same well-trained person is always assigned to work for them.
Answer: Consistency

41. Idle production capacity is
Answer: a situation where a service provider is available but there is no demand.

42. The inventory costs of services include:
Answer: salary of service provider and equipment costs.

43. A range of offerings from the tangible to the intangible or goods-dominant to the services-dominant is called the
Answer: goods-services continuum.

45. The Vermont Teddy Bear Company sells handmade Teddy bears designed to be given as gifts for almost every occasion imaginable. The Love Bandit Bear is one bear designed for people to give to each other on Valentine's Day. The Love Bandit Bear is an example of a
Answer: product item.

46. A group of products that are closely related because they satisfy a class of needs, are used together, are sold to the same customer group, are distributed through the same types of outlets, or fall within a given price range is referred to as a_____.
Answer: product line

47. A product line is a group of products that are closely related because they satisfy a class of needs, are used together,_____, are distributed through the same type of outlets, or fall within a given price range.
Answer: are sold to the same customer group

48. Which of the following statements about product lines is most accurate?
Answer: A benefit of having a narrow product line is that it enables both consumers and retailers to simplify their buying decisions.

If I correctly understand the definitions of "broad" and "narrow" the correct answer does not seem to agree

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with the explanation:
Answer: An important benefit of having a broad product line is that it enables both consumers and retailers to simplify their buying decisions.

49. The proliferation of extra features that overwhelms many consumers with mind-boggling complexity is referred to as
Answer: feature bloat

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50. Prego recently introduced a Pasta Bake Sauce, which was made so that it was not necessary to precook the pasta before blending pasta, sauce, meat, and cheese in a casserole. Legally, this product would only be considered new
Answer: for the first six months that it was regularly available.

51. Although there are three levels of newness from the organization's perspective, there is a fourth way of viewing new products, and that is from the perspective of_____which involves_____.
Answer: consumption; consumers

52. A product that requires no new behaviors be learned by consumers is a
Answer: continuous innovation.

53 At the time of its introduction, which of the following products was the best example of a continuous innovation?
Answer: Breathe Right nasal strips, a sticky strip that is worn across the nose at night to help people breathe

54. The emphasis of a marketing strategy for a continuous innovation concentrates on
Answer: advertising to generate awareness.

55. LG Electronics Inc. has entered into an agreement with Google to offer phones with Google software installed on them. This is an example of which type of innovation?
Answer: dynamically continuous innovation

56. The emphasis of a marketing strategy for a dynamically continuous innovation would include
Answer: advertising to explain product benefits and proper use

57. A product that establishes new consumption patterns among consumers is a
Answer: discontinuous innovation.

58. Napster was the first software that allowed an individual to easily search and swap MP3 musical files with other individuals. When it was introduced, it would have been an example of a
Answer: discontinuous innovation.

59. The emphasis of a marketing strategy for a discontinuous innovation would most likely be to
Answer: educate consumers about entirely new consumption patterns through product trial and personal selling.

60. Ideally, before a new product is developed, a firm should have a precise protocol, a statement that identifies: (1) a well-defined target market; (2) specific customers' needs, wants, and preferences; and (3)
Answer: what the product will be and do.

61. There are eight main reasons a new product can fail: (1) insignificant point of difference; (2) incomplete market and product protocol; (3) not satisfying customers on critical factors; (4) bad timing; (5) too little market attractiveness (6) poor product quality; and (7) poor execution of the marketing mix, and (8) _____.
Answer: no economical access to buyers

62. There are eight main reasons a new product can fail: (1) no economical access to buyers; (2); insignificant point of difference (3) incomplete market and product protocol; (4) not satisfying customers on critical factors; (5) too little market attractiveness (6) poor product quality; and (7) poor execution of the marketing mix, and (8)_____.
Answer: bad timing

64. Which of the following is an example of an organizational problem that can cause a new product

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failure?
Answer: Not really listening to the voice of the consumer.

65. The seven stages an organization goes through to identify business opportunities and convert them to a salable product or service is referred to as the_____.
Answer: new-product process

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66. The new-product process an organization goes through to identify business opportunities and convert them to a salable good or service contains
Answer: seven stages from new product strategy development to commercialization.

69. During the first stage of the new-product process, two important activities take place.They are
Answer: SWOT analysis and environment scanning

70. The stage of the new-product process that involves developing a pool of concepts to serve as candidates for new-products is referred to as_____.
Answer: idea generation

71. Many forward-looking companies have discovered that their own organization is not generating enough useful new-product ideas. This has led to finding and executing creative new product ideas by developing strategic relationships with outside individuals and organizations referred to as_____.
Answer: open innovation

74. For six months, the Marriott Corporation sent a six-person intelligence team to travel and stay at economy hotels around the country. The purpose of this was
Answer: to collect ideas from competitors' strengths and weaknesses that could be used in their own new-product development process

75. The stage of the new-product process that internally and externally evaluates new-product ideas to eliminate those that warrant no further effort is referred to as_____.
Answer: screening and evaluation

77. An external evaluation that consists of preliminary testing of a new-product idea (rather than the actual product) with consumers is referred to as
Answer: a concept test.

78. Concept tests are part of which stage in the new product process?
Answer: screening and evaluation

79. The stage of the new product process that specifies the features of the product and the marketing strategy needed to bring it to market and make financial projections is referred to as
Answer: business analysis.

80. In the new-product process, product ideas that survive the business analysis proceed to actual _____.
Answer: development

81. The stage of the new-product process that involves exposing actual products to prospective consumers under realistic purchase conditions to see if they will buy is referred to as
Answer: market testing

82. Test marketing involves offering a product for sale
Answer: on a limited basis in a defined area.

83. The stage of the new-product process that positions and launches a new product in full-scale product and sales refers to_____.
Answer: commercialization

84. The most expensive stage for most new products is
Answer: commercialization

85. The first stage in the new-product process is

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Answer: new-product strategy development.

86. IDEO is a company that
Answer: develops and designs new products for other organizations.

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"The task of dealing with the ongoing reality of demographic change" statement refers to which of the following Cs?
Challenge
Care
Choice
Community

Increasingly it is clear that while the 4 Ps (product, price, promotion, and place) have value for the consumer, the marketing strategies of the 21st century will use the four "4 Cs" as added critical marketing variables:
1. Care: It has replaced service in importance. Marketers must really care about the way they treat customers, meaning that customers are really everything.
2. Choice: Marketers need to reassess the diversity and breadth of their offerings into a manageable good-better-best selection.
3. Community: Even national marketers must be affiliated, attached to neighborhoods wherever they operate stores.
4. Challenge: The task of dealing with the ongoing reality of demographic change.

People are willing to work for large organizations but expect them to become increasingly socially responsible. What does this statement show?
People's views of the universe
People's views of nature
People's views of society
People's views of organization

a). People's views of themselves. People vary in their emphasis on serving themselves versus serving others. In the 1980s, personal ambition and materialism increased dramatically, with significant implications for marketing. The leisure industry was a chief beneficiary.
b). People's views of others. Observers have noted a shift from a "me-society" to a "we-society." Consumers are spending more on products and services that will improve their lives rather than their image.
c). People's views of organizations. People are willing to work for large organizations but expect them to become increasingly socially responsible. Many companies are linking themselves to worthwhile causes. Honesty in appeals is a must.
d). People's views of society. This orientation influences consumption patterns. "Buy American" versus buying abroad is an issue that will continue into the next decade.
e). People's view of nature. There is a growing trend toward people's feeling of mastery over nature through technology and the belief that nature is bountiful. However, nature is finite. Love of nature and sports associated with nature are expected to be significant trends in the next several years.
f). People's views of the universe. Studies of the origin of man, religion, and thought-provoking ad campaigns are on the rise. Currently, Americans are on a spiritual journey. This will probably take the form of "spiritual individualism."

In which strategy command spend a lot on advertising and consumer promotion to build up consumer demand, if successful then consumer will ask their retailers for the products, the retailer will ask the wholesales and wholesales will ask the producers.

Pull Strategy

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Positioning Strategy
Push Strategy
Segmentation Strategy

Pull strategy is the promotional strategy that calls for spending a lot on advertising and consumer promotion to build up consumer demand; if successful, consumer will ask their retailers for the product, the

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retailer will ask the wholesalers and wholesalers will ask the producers. So these are two strategies through which availability of products can be created in the market for final consumers.

Low Consumer involvement in purchase and little significant brand difference comes in which types of buying behaviors.

Complex buying behavior
Dissonance-reducing buying behavior
Habitual buying behaviors
Variety-seeking buying behaviors

Distribution of product to get it in the marks refers to which of the following activities?

Selling Activities
Advertising activities
Promotion Activities
Place or distribution activities

The process of dividing a total market into market groups so that persons within each group have relatively similar product need refers to which of the following?

Segmenting (Not Sure)
Differentiating
Target marketing

Concentrating

http://www.vuzs.info/

Companies begin their marketing with one targeted segment and then expand into other segments refer to which of the following concepts?

Concentrated
Multisement
Total Marks
Target Marking

Which of the following is NOT a part of the macro-environment?

Demographic forces

Natural Forces

Competitor' forces

Political forces

Which of the following is NOT an alternative to increase in the process of a commodity ?

Reducing product size

Using Less Expensive materials

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Unbundling the product

Non of the above

Maslow has a list of human needs from the most pressing to the least pressing. They include all of the following EXCEPT:

Physiological need

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Safely need

Need recognition

Self- Actualization

http://www.vuzs.info/

Which of the following may be ignored while making channel distribution decisions?

Analyzing Consumer Service Needs

Setting Channel Objectives and Constraints

Identifying Major Alternatives

None of the above

Which of the following is NOT an external factor while setting the price of a new product?

Nature of Market and Demand

Competitor's Strategies and prices

Environmental factors

None of the above

A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following

purchases?

Straight rebuy purchase

Delayed purchase

New-task purchase

Modified rebuy purchase

A network of networks that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?

LAN

Intranets

Extranet

Internet

Identify the name of a vast public web of computer networks that connect users of all types all around the world to each other?

Intranets

Extranets

Internet

Bytes

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How many stages involved in the consumer adoption process?

Six

Seven

Three

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Five

In which of the following stage marketer provides quality product and services without variation in quality?

Storing

Selling

Standardizing and grading

Risk Taking

Which public take developments into account on larger scale?

Financial publics

Media publics

Government publics

Citizen-action publics

Which one of the following stage is NOT a part of buyer's black box?

Brand choice

Product choice

Need recognition

Dealer choice

If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most

likely use?

Advertising

Publicity

Personal selling

Sales promotion

Which of the following may be ignored while making channel distribution decisions? Analyzing Consumer Service Needs

Setting Channel Objectives and Constraints

Identifying Major Alternatives

None of the above

Which of the following is NOT an external factor while setting the price of a new product?

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Advertising

Publicity

Personal selling

Sales promotion

n a super store you want to purchase dry milk for making tea. In the selection phase you go to dry milk shelf and find the dry milk of two companies. You select the one and ignore the other. Which one of the following is the weak connection you have with the rejected brand?

Brand Equity

Brand Positioning

Brand Packaging

Brand Labeling

"Provide more quality products and services without variation in the quality" refers to which of the following marketing functions?

Standardizing and grading

Transporting

Storing

Selling

Pak Suzuki Motor Company needs to assess the company's image relative to a new competitor. The time schedule is flexible, the research budget is very limited and a low response rate will not be a major problem. Which one of the following survey would be used by Pak Suzuki Motor Company?

Mail

Telephone

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Personal interview

All of the given options

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Company B is an internet service provider company and it has launched two different packages which charge a fixed and some variable rates according to usage in a month. Company B is using which type of product mix pricing strategies?

Product Line Pricing

Optional Product Pricing

Captive Product Pricing

By Product Pricing

Value based pricing is a type of pricing method which is used to set the price of product. Which of the following source derive this technique in setting the price?

MArket

Customer

Product

All of the above

Which one of the following is an example of a convenience consumer product?

Petrol

A motorcycle

A bicycle

Athletic shoes

"Planning that involves developing a strategy to meet competition and ensure long-term survival and growth" represents which one of the following planning types

Long-range planning

Short-range planning

Annual planning

Strategic planning

The process of shaping and refining potential product ideas refers to which one of the following options?

Prototype development

Concept development

Test marketing

Idea screening

Which of the following environment includes laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society?

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Natural environment

Political environment

Societal environment

Cultural environment

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This systematic collection and analysis of publicly available information about competitors and developments in the marketing environment is very useful. What is it called?

Marketing data

Marketing intelligence

Web Master

Secondary data

When the purchasing manager of ABC Company buys material and thread, he considers a variety of factors. Which one of the following is LEAST likely to concern the buyer in the purchase decision?
Select correct option:
Does the quality of the goods meet company specifications?
Does the supplier also sell to my competitors?
Does the supplier consistently deliver on time?
Does the price meet the company budget requirements?

Relationship marketing is an integral part of which type of marketing philosophy?
Select correct option:
Customer and marketing philosophy
Product philosophy
Production philosophy
Selling philosophy

Question # 3 of 10 (Start time: 08:48:08 PM) Total Marks: 1
An arrangement in which a supplier grants a dealer the right to sell products in exchange for some type of consideration is:
Select correct option:
Wholesaling
Retailing
Franchising
Warehousing

Following are the pricing adjustment strategies EXCEPT one?
Select correct option:
Geographical pricing
International pricing
Segmented pricing
Sociological pricing

The mental act, condition or habit of placing trust or confidence in another shows which of the following option?
Select correct option:
Motive
Belief
Behavior

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Attitude

A company can increase its business in four ways. Which is not one of these ways?
Select correct option:

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It can add new product lines, thus widening its product mix.
It can lengthen its existing product lines.
It can add more versions of each product and thus deepen its product mix.
The company can discontinue some of its lines.

A company can increase its business in four ways. Which is not one of these ways?
Select correct option:
It can add new product lines, thus widening its product mix.
It can lengthen its existing product lines.
It can add more versions of each product and thus deepen its product mix.
The company can discontinue some of its lines.

Which one of the following step is the first step of research?
Select correct option:
Defining the problem and research objectives
Developing the research plan
Implementing the research plan
Interpreting and reporting the findings

Which one of the following scheme is TRUE regarding marketing research?
Select correct option:
Gathering data, analysis, interpretation
Analysis, gathering data, interpretation
Interpretation, gathering data, analysis
Interpretation, reporting, analysis

All of the following are the stages in the adoption process EXCEPT:
Select correct option:
Awareness
Interest
Evaluation
Laggards

Which one of the following factor relates to family that influences consumer behavior?
Select correct option:
Cultural
Social
Personal
Business

When Kodak sets the price range of its cameras as low priced and its related film as high priced, it is practicing which one of the following pricing decision?
Market-penetration pricing
Market-skimming pricing

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Product line pricing
Captive-product pricing

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Which one of the following scheme is TRUE regarding marketing research?

Gathering data, analysis, interpretation
Analysis, gathering data, interpretation
Interpretation, gathering data, analysis
Interpretation, reporting, analysis

A penetration-pricing policy is particularly appropriate when demand is:

Increasing
Highly elastic
Highly inelastic
Decreasing

The first step in the marketing control process is BEST described as one where the marketer performs which of the following activities?

Evaluates performance

Measures performance

Sets specific goals

Takes corrective action

Sale is decreasing due to substitute product, this statement related to which one of the following research?

Causal research

Observational research

Experimental research

Survey research

A cash discount of "2/10, net 30," means that:

The buyer gets a 10 percent discount off the face value of the invoice if the invoice is paid within 2 days.

Payment is due within 30 days; the buyer can deduct 2 percent if the bill is paid within 10 days.

The buyer makes a 2 percent down payment on the face value of the invoice within 10 days; the remainder is due in 30 days.

The buyer gets a 2/10 (20 percent) discount if the invoice is paid within 30 days.

ABC Company launched new mobile phone and tested it in current market. XYZ Company is considering which of the following strategies?

Product development

Market development

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Diversification

Market penetration

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All of the following are the forces of company's micro environment EXCEPT:

The company

The Supplier

Competitor

Demographic

Which one of the following stage of the product life cycle generates most sales revenue for the firm?

Introduction

Growth

Maturity

Decline

A network of networks that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?

Select correct option:

LAN

Intranets

Extranet

Internet

Which of the following is not the type of retailers?
Half service retailer
Self Service retailer
Self service whole seller
Full service whole seller

In relation to a product launch strategy, a company engaged in high levels of promotion at the same time as selling at a high price is following which one of the strategy?
Slow penetration strategy
Rapid penetration strategy
Slow skimming strategy
Rapid skimming strategy

Which of the following is used as research instrument for data collection?
Experiment
Observation

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Questionnaire
Information

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Which of the following statements about rebates is true?
Refunds paid to consumers after a purchase.
Rebates ensure that the final consumer gets a producer's price reduction.
Offered but then never request the refund.
All of the given options
Reference

Suppose you want to buy a latest automobile for your home. You go to automobiles market and start searching the car which best fits your needs. You are involved in which type of buying decision behavior?
Complex buying behavior
Variety seeking behavior
Habitual buying behavior
Dissonance reducing buying behavior
The behavior exhibited by the customer when product purchase requires high involvement but only few differences exist. For example, customers who want to purchase CTV will not find many differences between the brands but the price of the product and its technicality makes customer to involve more.

Nike a famous brand which is loved due to the different categories of shoes for different sports events. It has launched athletic shoes for a variety of dozen sports like running, bicycling, aerobics, baseball and fencing. Nike is using which of the following market coverage strategy?
Undifferentiated strategy
Differentiated strategy
Concentrated strategy
All of the given options
Using a differentiated marketing strategy, a firm decides to target several market segments or niches and designs separate offers for each. General Motors tries to produce a car for every "purse, purpose, and personality." Nike offers athletic shoes for a dozen or more different sports, from running, fencing, and aerobics to bicycling and baseball.

"The task of dealing with the ongoing reality of demographic change" statement refers to which of the following Cs?
Challenge
Care
Choice
Community

McDonald's uses a segmentation strategy for its sandwiches based on characteristics such as age, gender and income. It is using which group of segmentation variables?
Demographic
Psychographic
Geographic
Product related

On 14th August Telenor has launched an ad campaign on TV showing the patriotism and tribute to brave

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sons of motherland. Telenor has used which of the following view with respect to the culture values?
People's view of nature
People's view of others
People's View of themselves
People's view of Society

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Which one of these is form of direct marketing?
Face-to-face
Kiosk
Catalogue marketing
All of the given options
There are various forms of direct marketing, which include catalog marketing, telemarketing, kiosk marketing, home shopping and direct marketing using other media.

Which product life cycle stage features an emphasis on informative promotion, development of distribution channels and low sales?
Market establishment
Market introduction
Market growth
Market maturity

A distinguishing feature of a contractual VMS (vertical market system) is the coordination and conflicts among the independent members of the channel are attained through_____.

Select correct option:

Oral agreements

Working partnerships

Contractual agreements

Natural competitive forces

Reference

The objective of which of the following research is to gather preliminary information that helps to better define problems and suggest hypotheses for their solution?

Select correct option:

Exploratory research

Descriptive research

Casual research

Observational research

Current view holds that salespeople should be concerned with producing customer satisfaction and company profit. So whom do they NOT generally serve?

Select correct option:

They represent the company to customers

They represent the company to investors

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They represent the customer to the company

None of the above

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All of the Ahmad's friends try to copy his style, his dressing and the way he speaks. He is also considered as one of the most reliable person in the group. Ahmad is regarded as a/an:

Select correct option:

Group member

Opinion Leader

Group Moderator

All of the given options

Bunny bread is mostly used in breakfast times in different areas ofLahore. Manufacture of Bunny bread has made this for all type of customers ranging from housewives to children and teens to old people. Bunny bread is using which of the following market coverage strategy?

Select correct option:

Differentiated

Undifferentiated

Concentrated

None of the given option

Buy it now" refers to which one of the following options?

Select correct option:

Personal selling

Advertising

Sales promotion

Publicity

Following activities are the part of marketing process EXCEPT which of the following?

Select correct option:

Analyzing marketing opportunities

Selecting target markets

Developing the business portfolio

Managing the marketing effort

The marketing process consists of four steps: analyzing market opportunities; developing marketing strategies; planning marketing programs, which entails choosing the marketing mix (the four Ps of product, price, place, and promotion); and organizing, implementing, and controlling the marketing effort.

At least how many parties should be included in "Exchange"?

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Select correct option:

Two

Three

Four

Five

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The buyer decision process consists of five stages. Which of the following is NOT one of these stages?

Select correct option:

Evaluation of Alternatives

Information search

Variety-seeking buying behavior

Post purchase behavior

It is a buying behavior not the process of buying decision making.

Publics including workers, managers, volunteers and the board of directors show which of the following publics?

Select correct option:

Citizen-action publics

Local publics

General publics

Internal publics

Internal publics include everyone who is an integral part of the organization. Employees are the most obvious and most numerous internal publics.

Planning that involves developing a strategy to meet competition and ensure long-term survival and growth" represents which one of the following planning types

Select correct option:

Long-range planning

Short-range planning

Annual planning

Strategic planning

If ABC Company observes all compact disc customers as pretty much alike and thus offered only one marketing mix, it would be using which of the following approach?

Select correct option:

Heterogeneous

Undifferentiated

Differentiated

Concentrated

Undifferentiated marketing - Sometimes referred to as mass marketing the firm may decide to aim its resources at the entire market with one particular product. Coca Colas original marketing strategy was based on this form.

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What is the purpose of intranets?

Select correct option:

Buying and selling processes

Business-to-business purchasing

Communication among employees

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Maintaining customer relations

ABC Company got the 2 new ideas regarding its XYZ product from customers. One idea is to develop a new version of product which is suitable for only elite classes and caters a small segment of market. Other idea is to make ingredients of product better to acceptable to a mass market at affordable price. ABC Company is in which stage of product development?

Select correct option:

Idea Generation

Idea Screening

Concept Development

Product Development

Idea screening reduces the number of ideas pooled during idea generation– by *spotting good ideas and dropping poor ones.*

Nestle company is dealing in large number of products like milk, mineral water, juices, dairy creams and ghee. These products are called:

Select correct option:

Profit portfolio

Product portfolio

Business portfolio

Market portfolio

Product portfolio refers to the range of products manufactured or supplied by an organization.

In summer season, WAPDA used to place ads on the electricity bill to promote the less usage of electricity. In Marketing Management perspective what is this called?

Select correct option:

Demand Management

De-marketing

Societal Marketing

Electricity Management

Definition of Social marketing:

"Social marketing seeks to influence social behaviors not to benefit the marketer, but to benefit the target audience and the general society."

Provide more quality products and services without variation in the quality" refers to which of the following marketing functions?

Select correct option:

Standardizing and grading

Transporting

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Storing

Selling

Handouts: Page no.13

During the new product development process, the creation of a large pool of ideas for potential new products is the primary goal of which one of the following steps?

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Select correct option:

Idea generation

Idea screening

Concept development

Prototype development

Which one of limited services wholesalers don't carry or handle the product:

Select correct option:

Cash and carry wholesalers

Drop shippers

Truck wholesalers

Rack jobbers

Reference

You are planning to install a steel manufacturing plant in your city. For that purpose you want to have a supplier who supplies you the steel in raw form for manufacturing. Here supplier supplies you which of the following form of industrial product?

Select correct option:

Material and parts

Capital items

Supplies and services

None of the given options

Which promotion mix ingredient costs considerably more than advertising to reach one person but can provide more immediate feedback?

Select correct option:

Publicity

Sales promotion

Personal selling

Public relations

The cost of reaching one person through personal selling is considerably more than through advertising, but personal selling efforts often have greater impact on customers.

Setting low prices to encourage initial product trial and to generate sales growth reflects which one of the following pricing method?

Select correct option:

Penetration pricing

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Skimming pricing

Competition-Based Pricing

Cost-Based Pricing

Penetration Pricing is a strategic move where a certain product of an organization is introduced to the market in an undeniably lower price value compared to the regular prices of this product in the

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market. One of the main goals of this strategy is to attract buyers or consumers to try this new product and likewise to promote it to the users in order to increase its demand.

Mr. A's girlfriend tells him she wants jewellery for Christmas. He decides to go to a store that provides the best possible selection of jewellery. His best choice would be to shop at a_____store.

Select correct option:

Department

Discount

Specialty

Convenience

There are___ways through which the organizations change their prices to meet the change in demand of a product.

Select correct option:

1

2

4

5

Gillette was the first marketer of disposable razors to offer a product specifically designed for men. This is an example of segmentation using which of the following variables?

Select correct option:

Demographic

Psychographic

Geographic

Product use

Whether the price raised or lowered, the action will affect on:

Select correct option:

Buyers

Competitors

Competitors

All of above

Whether the price is *raised or lowered, the action will affect buyers*, competitors, distributors, and suppliers and may interest government as well.

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If Proctor and Gamble, the makers of Ariel, need to know what percentage of customers examines product labels before making a product selection in the supermarket? By which method this study would be accomplished?

Select correct option:

Focus groups

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Mail surveys

Personal interviews

Observation

Annual licensing fees and monthly rent for a day care center are examples of which one of the following costs?

Select correct option:

Fixed costs

Variable costs

Derived costs

Total costs

In which strategy company spend a lot on advertising and consumer promotion to build up consumer demand, if successful then consumer will ask their retailers for the product, the retailer will ask the wholesalers and wholesalers will ask the producers.

Select correct option:

Pull Strategy

Positioning Strategy

Push Strategy

Segmentation Strategy

Pull strategy is the promotional strategy that calls for spending a lot on advertising and consumer promotion to build up consumer demand; if successful, consumer will ask their retailers for the product, the retailer will ask the wholesalers and wholesalers will ask the producers.

Most of fast moving consumer goods (FMCG) companies are using_____for the distribution of their products.

Select correct option:

Intensive Distribution

Exclusive Distribution

Selective Distribution

None of above

Intensive Distribution:

- Distribution through every possible outlet…..FMCG

If a company raises its price per unit, but keeps total fixed cost and variable cost per unit the same, the break-even point will be lower.

Select correct option:

True

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False

As a simple mathematical identity, raising prices increases contribution per unit, which lowers the number of units required to break even.

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"How are you telling consumers in your target group about your product" This question belongs to which marketing concept?

Select correct option:

Product

Price

Place

Promotion

Which of the following is NOT an internal factor while setting the price of a new product?

Select correct option:

Marketing Strategy

Objectives

Marketing Mix

None of the above

All of the above are the internal factors for setting a price for new product.

For a day care center, disposable diapers, juice boxes, cleaning supplies and electricity are examples of which one of the following costs?

Select correct option:

Fixed costs

Variable costs

Derived costs

Total costs

Which one of the following is suspicious of change and adopts only after the product is no longer considered an innovation?

Select correct option:

Late majority

Early Adopter

Early Majority

Laggards

Laggards: This group is suspicious of change and adopts only after the product is no longer considered an innovation.

Economic factors focus on which one of the following concepts?

Select correct option:

Level of economic development

Bureaucracy

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Behavioral pattern

Stability of government

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Hybrid marketing channels are also known as

Select correct option:

Vertical Marketing Systems

Horizontal Marketing Systems

Multinational Distribution Systems

None of above

In the past, many companies used a single channel to sell to a single market or market segment. Today, with the proliferation of customer segments and channel possibilities, more and more companies have adopted *multichannel distribution systems*—often called hybrid marketing channels.

When a toy manufacturer advertises a product on Saturday-morning television and tells children to ask for the product at their favorite toy shops, it is implementing which one of the following policies from its promotion mix?

Select correct option:

Differentiated

Penetration

Push

Pull

Reference

An MIS consists of people, equipment, and procedures to gather, sort,____, evaluate, and distribute information to marketing decision makers.

Select correct option:

Test

Test market

Analyze

Assesses

Which of the following three psychographic dimensions are MOST commonly used in market segmentation?

Select correct option:

Personality, perception and learning

Personality, perception and behavior

Motives attitudes and lifestyles

Personality, social class and lifestyles

Psychographics segmentation

It calls for dividing a market into different groups based on social class, lifestyle, or personality characteristics.

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Which of the following is a way in which a firm can respond to the price change by the competitor?

Select correct option:

Reduce price

Reduce the quality

Improve the quality

Increase the price

Which of the following may be ignored while making channel distribution decisions?
Analyzing Consumer Service Needs
Setting Channel Objectives and Constraints
Identifying Major Alternatives
None of the above

Which of the following is NOT an external factor while setting the price of a new product?
Nature of Market and Demand
Competitor's Strategies and prices
Environmental factors
None of the above

A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following purchases?
Straight rebuy purchase
Delayed purchase
New-task purchase
Modified rebuy purchase

A network of networks that consists of millions of smaller domestic,academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?
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Intranets
Extranet
Internet

Identify the name of a vast public web of computer networks that connect users of all types all around the world to each other?
Intranets
Extranets
Internet
Bytes

How many stages involved in the consumer adoption process?

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Six
SevenThree
Five

In which of the following stage marketer provides quality product and services without variation in quality?
Storing

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Selling
Standardizing and grading
Risk Taking

Which public take developments into account on larger scale?
Financial publics
Media publics
Government publics
Citizen-action publics

Which one of the following stage is NOT a part of buyer's black box?
Brand choice
Product choice
Need recognition
Dealer choice

If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most
likely use?
Advertising
Publicity
Personal selling
Sales promotion

What can we say about the size of the business market compared to consumer markets?
Select correct option:

It is same
It is smaller
It is huge
No need to compare

Business markets are quite distinctive when compared to consumer markets. For instance, they are typically ***smaller in terms of actual numbers of customers, the customers themselves typically use expert buyers, and individual customers can be extremely significant source of revenue for a single supplier. Indeed, we canconsider business markets as covering a spectrum of types ranging from broad consumer style markets such as stationery to extremely specialised markets such as aircraft engine design where there may only be 10 potential customers in the whole world.***

1. _____is the development of original products, product improvements, product modifications, and new brands through the firm's own R&D efforts.
   a. Idea generation
   b. Concept testing

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c. Test marketing

d. New product development

Answer: (d) Difficulty: (1) Page: 264

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2. All of the following are different ways a firm can obtain new products, except which one?

a. By acquiring a whole new company

b. A firm can obtain a new product through patents

c. A firm can obtain a new product by licensing someone else's new product

d. A firm can obtain a new product by using the R&D department of other firms in thesame industry.

Answer: (d) Difficulty: (2) Page: 264

3. All of the following are accurate descriptions of reasons why new products fail, except which one?

a. Although the market size was correctly estimated, the product idea itself was not good.

b. The actual product was not designed as well as it should have been.

c. The new product was priced too high.

d. The new product was advertised poorly.

Answer: (a) Difficulty: (3) Page: 264

4. All of the following are accurate descriptions of ways companies are anxious to learn how to improve the odds of new-product success, except which one?

a. Find out what successful new products have in common.

b. To learn lessons from new product failures.

c. Companies have to learn to understand their own consumers.

d. Do not overly rely on product innovation when you can succeed by copying others.

Answer: (d) Difficulty: (3) Pages: 262-264

5. New-product development starts with_____.

a. idea screening

b. idea generation

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 265

6. _____is the systematic search for new-product ideas.

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a. Idea generation
b. Idea screening
c. Concept development and testing
d. Marketing strategy development

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Answer: (a) Difficulty: (1) Page: 265

7. All of the following are major internal sources of new-product ideas, except which one?

a. Picking the brains of company executives, scientists, engineers and salespeople is a good way to generate ideas.

b. Intrapreneurial programs that encourage employees to think and develop new-product ideas is a good way to generate ideas.

c. Some companies employ creative approaches, including both "method and madness" in helping them to generate new product ideas.

d. Good ideas come from watching and listening to customers.

Answer: (d) Difficulty: (3) Page: 266

8. Major sources of new product ideas include_____.

a. internal sources, using company R&D

b. creative approaches, using both "method and madness" approaches

c. watching and listening to customers

d. all of the above are sources of new product ideas

Answer: (d) Difficulty: (2) Page: 266

9. All of the following are major external sources of new-product ideas, except which one?

a. Companies can conduct surveys or focus groups to learn about consumer needs and wants.

b. Competitors are a good source of new-product ideas.

c. Some companies employ creative approaches, including both "method and madness" in helping them to generate new product ideas.

d. Good ideas come from watching and listening to customers.

Answer: (d) Difficulty: (3) Page: 26

10. All of the following are accurate descriptions of new product ideas, except which one?

a. New product development starts with idea generation.

b. Some companies use brainstorming exercises that expand people's minds and generate new ideas around the client's problem.

c. At the beginning of the process, carefully scrutinize each idea and throw far-fetched and impractical ones out the window.

d. Customers must be careful not to rely too heavily on customer input when developingnew

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products.

Answer: (c) Difficulty: (3) Pages: 268-269

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11. Some companies have installed a(n)_____that directs the flow of new ideas to a central point where they can be collected, reviewed, and evaluated.

a. new-product development team

b. idea management system

c. computer system

d. satellite system

Answer: (b) Difficulty: (3) Page: 269

12. In order to install an *idea management system*, whereby all ideas are directed to a central point, a company can do any or all of the following:

a. Appoint a respected senior person to be the firm's idea manager.

b. Create a cross-functional idea management committee comprising of people formR&D, finance, engineering and operations to meet and evaluate new product ideas.

c. Reward employees through formal recognition programs.

d. All of the above are legitimate ways to systematically collect ideas.

Answer: (d) Difficulty: (3) Page: 269

13. The purpose of_____is to generate a large number of ideas.

a. idea screening

b. idea generation

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 270

14. The first idea reducing stage is_____, which helps spot good ideas and drop poor ones as soon as possible.

a. idea generation

b. idea screening

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 270

15. A_____is a detailed version of the idea stated in meaningful consumer terms.

a. product idea

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b. product concept

c. product image

d. test market

Answer: (b) Difficulty: (2) Page: 270

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16. A_____is the way consumers perceive an actual or potential product.

a. product idea

b. product concept

c. product image

d. test market

Answer: (c) Difficulty: (1) Page: 270

17. An attractive idea must be developed into a_____.

a. product idea

b. product concept

c. product image

d. test market

Answer: (b) Difficulty: (2) Page: 270

18. All of the following are accurate descriptions of activities performed in the idea screening stage of new product development, except which one?

a. Idea screening helps spot good ideas and drop poor ones as soon as possible.

b. Companies want to go ahead only with the product ideas that will turn into profitable products.

c. Many companies require their executives to write up new product ideas on a standard form that can be reviewed by a new-product committee.

d. Setting up a toll-free number or Web site for anyone who wants to send a new idea tothe idea manager.

Answer: (d) Difficulty: (2) Page: 270

19. _____calls for testing new-product concepts with groups of target consumers.

a. Concept development

b. Concept testing

c. Idea generation

d. Idea screening

Answer: (b) Difficulty: (2) Page: 271

20. _____entails testing new-product concepts with a target group of consumers to find out if the concepts have strong consumer appeal.

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a. Concept development
b. Concept testing
c. Idea generation

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d. Idea screening

Answer: (b) Difficulty: (1) Page: 271

21. Product concepts are presented to consumers during concept testing in any of the following ways, except which one?

a. A word or picture description is presented to consumers.

b. A concrete and physical presentation of the concept will increase the reliability of the concept test.

c. Some companies are using virtual reality to test product concepts.

d. Companies are reluctant to use the Web to test product concepts.

Answer: (d) Difficulty: (3) Pages: 271-272

22. Designing an initial marketing strategy for a new product based on the_____is called marketing strategy development.

a. new product idea

b. product concept

c. test market results

d. product prototype

Answer: (b) Difficulty: (3) Page: 272

23. The marketing strategy statement in new product development consists of three parts:_____, _____, and_____.

a. idea generation; idea screening; concept development

b. idea generation; concept development; concept testing

c. idea generation; idea screening; idea management

d. target market description; planned product positioning; sales, market share, and profit goals for the first few years.

Answer: (d) Difficulty: (2) Page: 272

24. _____involves a review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives.

a. Idea generation

b. Idea screening

c. Business analysis

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d. Concept development and testing

Answer: (c) Difficulty: (2) Page: 273

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25. If a product concept passes the_____, it moves into_____.

a. business analysis test; product development

b. concept development stage; product development

c. concept testing stage; product development

d. idea generation stage; product development

Answer: (a) Difficulty: (2) Page: 273

26. Once management has decided on a product concept and marketing strategy, it can next evaluate the_____of the proposal.

a. product idea portion

b. product development part

c. business attractiveness

d. commercial viability

Answer: (c) Difficulty: (2) Page: 273

27. In the product concept stage of new-product development, the product is merely a_____.

a. word description

b. crude mock-up

c. drawing

d. all of the above

Answer: (d) Difficulty: (2) Page: 273

28. In the_____of new-product development, often products undergo rigorous tests to make sure that they perform safely and effectively or that consumers will find value in them.

a. business analysis stage

b. idea generation

c. concept development and testing stage

d. product development phase

Answer: (d) Difficulty: (3) Page: 273

29. _____is the stage of new-product development in which the product and marketing program are tested in more realistic market settings.

a. Business analysis

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b. Idea generation

c. Test marketing

d. Marketing strategy development

Answer: (c) Difficulty: (2) Page: 274

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30. All of the following are accurate descriptions of test marketing, except which one?

a. Test marketing is the stage at which the product and marketing program are introduced into realistic market settings.

b. Test marketing by consumer-packaged goods firms has been increasing in recent years.

c. Test marketing costs can be high, and it takes time that may allow competitors to gain advantages.

d. Companies often do not test market simple line extensions.

Answer: (b) Difficulty: (3) Page: 274

31. Introducing a new product into the market is called_____.

a. test marketing

b. new product development

c. experimenting

d. commercialization

Answer: (d) Difficulty: (2) Page: 275

32. A company getting ready to launch a new product must make several decisions. However, the company must first decide on_____.

a. whether to launch the product in a single location

b. whether to launch the product in a region

c. whether to launch the product into full national or international distribution

d. timing of the new product introduction

Answer: (d) Difficulty: (3) Page: 275

33. _____is a new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

a. Team-based product development

b. Simultaneous product development

c. Sequential product development

d. Product life-cycle analysis

Answer: (c) Difficulty: (2) Page: 276

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34. In order to get their new products to market more quickly, many companies are adopting a faster, team-oriented approach called_____.

a. sequential product development

b. simultaneous product development

c. commercialization

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d. introduction timing

Answer: (b) Difficulty: (2) Page: 276

35. All of the following statements are accurate descriptions of the simultaneous product development approach to new product development, except which one?

a. The simultaneous product development approach is also known as collaborative product development.

b. Company departments work closely together through cross-functional teams.

c. Companies assemble a team of people from various departments that stay with the new product from start to finish.

d. Companies often pass the new product from department to department in each stage of the process.

Answer: (d) Difficulty: (3) Page: 276

36. All of the following are accurate descriptions of new-product development approaches used by companies in the commercialization phase of the process, except which one?

a. New-product development teams in the simultaneous approach tend to stay with the new product from start to finish.

b. In the simultaneous approach, top management gives the product development team general strategic direction but no clear-cut product idea or work plan.

c. In order to get their new products to market more quickly, many companies are adopting a faster approach called sequential product development.

d. The simultaneous team-based approach can be riskier and more costly than the slower, more orderly sequential approach.

Answer: (c) Difficulty: (3) Page: 276

37. All of the following are limitations of the simultaneous team-based approach to new-product development, except which one?

a. Superfast product development can be riskier and more costly than the slower, more orderly sequential approach.

b. This approach often creates increased organizational tension and confusion.

c. The objective of this approach is to ensure that rushing a product to market doesn't adversely affect its quality.

d. Top management gives the product development team a clear-cut product idea or work plan.

Answer: (d) Difficulty: (2) Page: 276

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38. All of the following statements accurately reflect the requisites of new-product success, except which one?

a. Thinking of a few good ideas, turning them into products, and finding customers for them.

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b. A systematic approach for finding new ways to create value for target consumers, from generating and screening new-product ideas to creating and rolling out want-satisfying products to customers.

c. New-product success requires a total-company commitment.

d. At firms known for their new-product success, their culture does not encourage, support, and reward innovation.

Answer: (d) Difficulty: (2) Page: 277

39. _____begins when the company finds and develops a new-product idea. During product development, sales are zero and the company's investment costs mount.

a. Introduction

b. Growth

c. Maturity

d. Product development

Answer: (d) Difficulty: (2) Page: 277

40. _____is a period of slow sales growth as the product is introduced into the market. Profits are non-existent in this stage because of the heavy expenses of product introduction.

a. Growth

b. Product development

c. Maturity

d. Introduction

Answer: (d) Difficulty: (2) Page: 277

41. _____is a period of market acceptance and increasing profits.

a. Product development

b. Maturity

c. Growth

d. Introduction

Answer: (c) Difficulty: (2) Page: 277

42. _____is the course of a product's sales and profits over its lifetime, involving five distinct stages: product development, introduction, growth, maturity, and decline.

a. Product life cycle

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b. Maturity

c. Growth

d. Decline

Answer: (a) Difficulty: (2) Page: 277

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Which of the following environment involves natural resources that are needed as inputs by marketers or that are affected by marketing activities?
Select correct option:

Cultural environment
Natural environment
aPolitical environment
Technological environment

Question # 2 of 15
What is the first step in target-cost pricing?
Determine budget limitations
Forecast sales
Predict competitive reaction
Define the market segment

Question # 5 of 15
Which of the following is an intensive growth strategy of increasing sales in present markets with present products?
Market development
Market penetration
Product development
Market saturation
page 33

Market penetration means trying to increase sales of a firm's present products in its present markets

Question # 6 of 15
Which one of the following is the first step of marketing research process?
Define problem
Data analysis
Interpretation
Implementation

Question # 7 of 15
"Outside-in" perspective focus on which of following philosophies?
Product
Satisfaction
Sales
Promotion
pae 223

2). The marketing concept takes an "outside-in" perspective (focuses on customer needs, values, and satisfactions).

Question # 8 of 15
Record system that provides current data on sales, costs, inventories, cash flows, accounts receivable and payable refers to which of the following data?

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Internal data
External data
Secondary data
Primary data

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Question # 9 of 15
If ABC Company observes all compact disc customers as pretty much alike and thus offered only one marketing mix, it would be using which of the following approach?
Heterogeneous
Undifferentiated
Differentiated
Concentrated

Question # 10 of 15
By____the market and having several detergent brands, Procter & Gamble has an attractive offering for consumers in all important preference groups.
Dividing
Researching
Segmenting
Reaching

Question # 11 of 15
In which of the following methods of data collection consumers read questions from a computer screen and respond?
Personal interviewing
Computer interviewing
Telephone interviewing
Mail questionnaires

Question # 12 of 15
A firm has decided to localize its products and services to meet local market demands. Which one of the following approaches is a good approach for this segmentation?
Geographic
Demographic
Psychographics
Behavioral

Question # 13 of 15
Which one of the following is an example of a convenience consumer product?
Petrol
A motorcycle
A bicycle
Athletic shoes

Question # 14 of 15
People with so many resources that they can indulge in any or all consumer self-orientation. Which one of the following category is true?
Habitual buyers
Innovators
Brand personalities
Reference groups

Question # 15 of 15

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There are three decision involved in designing a sample. Which of the following is NOT a part of sample designing?

Sampling unit

Sampling size

Sampling procedure

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Sampling cost

Which one of the following options represents the collection of businesses and products that make up a company
Strategic business unit
Mission statement
Strategic plan
Business portfolio

Some analysts see which of the following as the major enduring asset of a company, outlasting the company's specific products and facilities?
Select correct option:
Brand
Style
Package
Design

page 98

Question # 3 of 15
Which of the following refers to "The art and science of choosing target markets and building profitable relationships"?
Customer relationship management
Knowledge management
Total quality management
Marketing management

Question # 4 of 15 (Start time: 06:50:50 PM) Total M - 1
Public that influence the company's ability to obtain funds reflects which of the following publics?
Select correct option:
Financial publics
Media publics
Government publics
Citizen-action publics

Which one of the following is a part of marketing functions?
Select correct option:
Standardizing and grading
Financing & Risk taking
Securing Marketing Information
All of the above

Question # 6 of 15 (Start time: 06:52:31 PM) Total M - 1
A person on the University Book Shop's survey asks respondents to tell the shop, in their own words, what they like least about textbook shopping. What is a type of this question?
Select correct option:

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An open-ended
A dichotomous
A multiple choice
A scale

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Planning that involves developing a strategy to meet competition and ensure long-term survival and growth" represents which one of the following planning types
Select correct option:

Long-range planning
Short-range planning
Annual planning
Strategic planning

The search for new-product ideas should be____rather than haphazard.
Select correct option:

Consistent
Systematic
Continual
Seldom

page 102

The search for new-product ideas should be systematic rather than haphazard.

Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?
Select correct option:

Product line
Line extension
Private brand
Product bandwidth

page 100

A product line is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges.

Studies of the origin of man, religion, and thought-provoking ad campaigns are on the rise. This study reflects which of the following views?

People's views of the universe
People's views of nature
People's views of society
People's views of organization

page 48

f). People's views of the universe. Studies of the origin of man, religion, and.thought-provoking ad campaigns are on the rise. Currently, Americans are on a spiritual journey. This will probably take the form of "spiritual individualism."

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The BCG growth-share matrix classifies which of the following four types of SBUs?
Product; price; promotion; placement
Sales; market share; price; promotion
Stars; cash cows; question marks; dogs
Planning; organizing; leading; controlling

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According to Philip Kotler how many marketing management philosophies are there?
Three
Four
Five
Six

Which one of the following option is NOT correct for marketing management?
Select correct option:
- It increases demand
- It reduces demand
- **It destroys demand**
- It finds demand

During shopping in a market, a girl sees a new diet cola. She picks up a six-pack to take home and try. This purchase is indicative of which one of the following decision making?
Select correct option:
- Low-involvement
- High-involvement
- Enduring
- **Perceived**

page 70

Companies begin their marketing with one targeted segment and then expand into other segments refers to which of the following concepts?
Select correct option:
- Concentrated
- Multisegment
- Total market
- **Target marketing**

page 82

Which of the following is a goal-directed summary of a person's experience, education and training developed for use in the selection process?
► Curriculum vitae
► Educational record
► Career goal
► Interview questioning

Which of the following force makes an individual eligible to make decisions, give orders & directing work activities of others?
► Power
► Influence
► Authority
► Command

Previous company records & customer satisfaction surveys may serve as a source for:
► Cultivating learning culture within the organization
► Determining deficiencies that require training

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► Developing career development plans for employees
► Identifying training outcomes through evaluation

Which of the following method includes the exchange of information between organizational member & the applicant through a goal-oriented conversation?

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► Counseling simulations
► Vocational interest test
► Role playing
► Employment interview

Which of the given employment testing approach requires individuals to perform activities similar to those they might encounter in an actual job?
► In-basket technique
► Role playing
► Interview simulations
► Case study

As an HR manager, what should be your main focus while recruitment?
► The potential candidate must posses interpersonal and analytical skills
► The potential candidate should be very confident and sharp
► The potential candidate must be attractive enough to fit in the position
► The potential candidate should match the requirements of the job

What could be the main consideration of an HR manager during recruitment?
► Outsource the employee selection to recruiting agencies
► Screen the pool of appropriate applicants
► Attract a large number of applicants
► Only hire the experienced candidates

'There is no need to make any new appointment'; therefore, the organization has transfered Mr. Azam to another branch. This step of the organization is taken to:
► Increase the labor supply than demand
► Maintain the balance of labor supply and demand
► Decrease the labor supply than demand
► Devastate the balance of labor supply and demand

Term used to refer the potential employees available for work within the geographic area from which employees are recruited is:
► Labor market
► Employment market
► Employee market
► Job market

The best way of reducing the problems of leniency or strictness in performance appraisals is to:
► Rank employees
► Train supervisors to avoid it
► Impose a distribution for performance
► Consider the purpose of the appraisal

Which of the following problem occurs when supervisors tend to rate all their subordinates consistently low?

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► Central tendency
► Leniency
► Strictness
► Halo effect

c.**Leniency/Strictness**—The giving of undeserved high or low ratings.

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Rating a person high or low on all items because of one characteristic during performance appraisal, is known as:
► Halo effect
► Central tendency
► Stereotyping
► Biasness
Halo Error—Occurs when the evaluator perceives one factor as being of paramount importance and gives a good or bad overall rating to an employee based on this factor.

Which of the following performance appraisal method is usually adopted for evaluating performance at managerial positions?
► Management by objective
► Critical incident
► Paired comparison
► Essay method

In which method supervisor keeps a log of positive and negative examples of a subordinate's work-related behavior?
► Management by objective
► Comparison method
► Essay method
► Critical incident method

Sale is decreasing due to substitute product, this statement related to which one of the following research?
Select correct option:

Causal research
Observational research
Experimental research
Survey research

Following are the elements of the marketing mix EXCEPT:
Select correct option:

Distribution
Product
Target market
Pricing

Following are the elements of the marketing mix EXCEPT:
Select correct option:

Distribution
Product
Target market
Pricing

The BCG growth-share matrix classifies which of the following four types of SBUs?

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Select correct option:

Product; price; promotion; placement
Sales; market share; price; promotion
Stars; cash cows; question marks; dogs

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Selecting the right competitive advantage is part of which one of the following concepts?
Select correct option:

Target marketing
Market Positioning
Market segmentation
Undifferentiated Marketing

Following are the factors that influence consumer behavior EXCEPT:
Select correct option:

Cultural
Political
Personal
Psychological

Following are the factors that influence consumer behavior EXCEPT:
Select correct option:

Cultural
Political
Personal
Psychological

Companies should set up systems that_____customer to complain.
Select correct option:

Discourage
Encourage
Do not allow
None of the given options

person's buying choices are further influenced by four major psychological factors. Which is NOT one of these factors?
Select correct option:

Motivation
Perception
Habitual buying behavior
Learning

In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?
Select correct option:

Relative market share

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BCG matrix
Business portfolio
Market growth rate

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Which one of the following is NOT base for marketing segmentation?
Select correct option:
Consumer markets
Industrial markets
Business markets
International markets

The verbal portion of an advertisement, including headlines, body, and signature reflects which one of the following concepts?
Copy
Storyboard
Layout
Script

Connecting with employees in the company refers to which of the following options?
Extranet
Internet
Intranet
World Wide Web

Which one of the following affects both demographic and psychological factors?
Quantity discounts
Price elasticityhttp://www.slideshare.net/adhirock/pricing-strategy
Quality discounts
Mark-up pricing

The name of a vast public web of computer networks that connect users of all types all around the world to each other?
Intranets
Extranets
Internet
Bytes

According to Mintzberg, when a manager searches the organization and its environment for opportunities and initiates projects to bring about change, the manager is acting in which role?

Negotiator
Entrepreneur
Monitor
Resource allocator

Which one of the following concept states that consumers will favor products that offer the most quality, performance and features?
Product concepthandouts page20
Selling concept
Marketing concept
Production concept

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Collecting, analyzing and interpretation of data refer to which of the following concepts?

Marketing researchhandouts page 53
Marketing intelligence
Marketing information
Marketing knowledge

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In SWOT analysis, strength and weaknesses are part of which of the following environment?

Internal
Outdoor
External
Outside

A manufacturer spends a large amount of money on research and development leading to the introduction of a product that is likely to present the firm with a breakthrough opportunity. The manufacturer prices the product with the goal of achieving a 20 percent return on its investment. Which of the following types of pricing objectives is the company using?

Target return
Profit maximization
Nonprice competition

Meeting competition

Which of the following is an intensive growth strategy of increasing sales in present markets with present products?

Market development
Market penetrationpage33
Product development
Market saturation

Which one of the following concept is the latest in a marketing philosophy?
Societal marketing conceptpage 20
Selling concept
Marketing concept
Production concept

Which one of the following set is considered as a fit-match of firm?
Opportunities – strength
Opportunities – weaknesses
Opportunities – customer demand
Customer value – weakness

Publics including workers, managers, volunteers and the board of directors show which of the following publics?
Citizen-action publics
Local publics
General publics
Internal Publicspage44

A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?
Marketing strategy

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Marketing mix
Market offering
Marketing plan

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In the BCG approach, stars are high-share, high-growth businesses or products. They need heavy investment to finance rapid growth. When their growth slows down, they turn into which of the following?
Dogs
Question marks
Cash cows
SBU

Trust and trustworthiness affect a leader's access to:
Dedication and achievement
Persuasion and control
Power and influence
Knowledge and cooperation

Value pricing" means setting a fair price for a marketing mix that gives the target market superior customer value.
True
False

Which one of the following promotion tools includes press releases and special events?
Personal selling
Direct marketing
Public relations
Publicity

Companies should set up systems that_____customer to complain.
Discourage
Encourage
Do not allow
None of the given options

Buyer decision process consists of five stages. Which of the following is NOT one of these stages?
Evaluation of Alternatives
Information search
Variety-seeking buying behavior
Post purchase behavior

Publics--carry news, features, and editorial opinions refer to which of the following publics?
Financial publics
Media publics page43
Government publics
Citizen-action publics

All of the following are the customer markets EXCEPT which of the following?
Reseller markets
Government marketspage 43
International markets
Business markets

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The standards that state the amount each salesperson should sell and how sales should be divided among the company's products. It refers to which one of the following concepts?
Sales goals
Company quotas
Sales quotaspage 189
Sales incentives

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There are major steps in media selection. Which is NOT one of these steps?
Deciding on reach, frequency, and impact
Choosing among major media types
Selecting specific media vehicles
Deciding on format elementspage 173

Society and culture shape the basic form of human needs refers to which one of the following option?
Needs
Wantspage10
Values
An exchange

What is our business? Who's our customer? What do our customers value? What should our business be? All these simple-sounding questions define which of the following concepts?
Objectives and goals
Mission statement page29
Business portfolio
Operational strategies

Finance, research and development, purchasing and manufacturing are all activities of which element of the micro environment?
The supplier
The Competitor
The companypage42
The public

All of the following are the stages in the adoption process EXCEPT:
Awareness
Interest
Evaluation
Laggardspage73

Connecting with employees in the company refers to which of the following options?
Extranet
Internet
Intranetpage23
World Wide Web

What is generally the result of groupthink?
Higher quality decisions
More risky decisions
Less critical analysis
Unpopular decisions

A_____is a retail establishment that combines supermarket and discount store shopping in one location.
Superstore
Department store

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Hypermarkethttp://en.wikipedia.org/wiki/Hypermarket
Mega market

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Which one of the following is NOT a part of industry structure analysis?
Buyers
Sellers
Entry/exit barriers
Competitorpage 49

Characteristics such as age, gender and marital status are known as _____
Psychographic characteristics
Biographical characteristics(http://wiki.answers.com/Q/Explain_in_detail_the_elements_of_biographical_characteristics_ability_and_personality)
Geographical characteristics
Behavioral characteristics

In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?
Relative market share
BCG matrixpage31
Business portfolio
Market growth rate

Which one of the following is the function of direct distribution channel?
The flow of products from producers to customers (http://tutor2u.net/business/marketing/distribution_introduction.asp)
Links producers to other marketing intermediaries
Takes title to products and resells them
Manages transportation and warehousing functions

A firm that operates in more than one country known as:
Global firm
Marketing firm
Operating firm
Outside firm

Which of the following is not one of the four primary management functions?
Planning
Staffing
Organizing
Leading

Which one of the following SBUs is low-growth, high share businesses which generate a lot of cash that the firm uses to pay its bills and support other SBUs that need investment.
Stars
Cash cowspage31
Question marks
Stars and cash cows

Why do manufacturers offer channel members quantity discounts, promotional allowances and slotting

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allowances?
To increase the level of vertical integration
To establish long-term transactional relationships
To take advantage of price elasticity
To encourage them to actively market the product

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Following are the elements of the marketing mix EXCEPT:
Distribution
Product
Target market
Pricing

Which one of the following is the function of direct distribution channel?
The flow of products from producers to customers
Links producers to other marketing intermediaries
Takes title to products and resells them
Manages transportation and warehousing functions

Connecting with employees in the company refers to which of the following options?
Extranet
Internet
Intranet
World Wide Web

To reduce inventory management costs, many companies use a system where they carry only small inventories of parts or merchandise, often only enough for a few days of operation refers to which of the following concepts?
Just-in-time logisticspage143
Limited inventory logistics
Economic order quantity
Supply chain management

What can be offered to a market to satisfy a need or want?
Service
Customer value
Productpage10
Quality

Distribution of product to get it in the market refers to which of the following activities?
Selling activities
Advertising activities
Promotion activities
Place or distribution activities page17

Which of the following statements about the determinants of personality is true?
Personality appears to be a result of external factors
Personality appears to be a result of mainly hereditary factors
Personality appears to be a result of mainly environmental factors
Personality appears to be a result of both hereditary and environmental factors

Which of the following group is focused by producer to sell their products?
Final users
Intermediariespage43
The government

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Competitors

Which one of the following is the major direct-marketing communications tool in today’s business world?
Television marketingpage192
Kiosk marketing
Telephone marketing

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Catalog marketing

Which one of the following factor relates to family that influences consumer behavior?
Cultural
Socialpage 64
Personal
Business

Which of the following is NOT a sales promotion?
Coupons
TV commercials
Contests
Premiums

Which one of the following is the way in which consumers perceive an actual or potential product?
Product idea
Product conceptpage103
Product image
Test market

Which one of the following option is true for Marketing?
Demand management
Customer relationship
Making a sale
Making a profit

The verbal portion of an advertisement, including headlines, body, and signature reflects which one of the following concepts?
Copy
Storyboard
Layout
Script

What are the companies doing from the following options as a result of an explosion of more focused media that better match today's targeting strategies?
More narrowcasting and less broadcasting
Less broadcasting and more narrowcastingpage160
Less narrowcasting and broadcasting
More narrowcasting and broadcasting

The economic sacrifice made by a buyer to a seller for products or services refers to which one of the following price?
Objective price
Target price
Barter price
Transaction price

An activity and/or material that offers added value or incentive to resellers, salespersons, or consumers.

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Which one of the following promotional tools offers added value?
Advertising
Personal selling
Publicity
Sales promotion

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People often buy the kind of clothing. What does it show?
Attitude
Status
Learning
Lifestylepage66

In international pricing companies that market their products internationally must decide what prices to charge in the different countries in which they operate.
True
False

A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?
Problem recognitionpage70
Product specification
Product selection
Product purchase

Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?
Product linepage100
Line extension
Private brand
Product bandwidth

Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?

Persuasive advertising
Informative advertisingpage170
Comparative advertising
Institutional advertising

The decline stage is marked by chronically decreasing profits.

True
False

Which one of the following is NOT a part of market potential? Select correct option?

Size
Growth rate
Size and growth rate
Inflationpage49

Management at Happy Motors must decide what mix of compensation elements to offer their sales force.

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Which of the following is NOT one of the four basic types of compensation plans?

Straight commission
Straight salary
Salary and commission
Commission and bonuses

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Mobilink divides buyers into groups based on their knowledge, attitudes, uses or responses to a product. It is obviously using which type of segmentation?

Behavioralpage85
Psychographic
Demographic
Geographic

The first step in the marketing control process is BEST described as one where the marketer performs which of the following activities?

Evaluates performance
Measures performance
Sets specific goalspage39
Takes corrective action

Which one of the following is an example of a convenience consumer product?

Petrol
A motorcycle
A bicycle
Athletic shoes

Which one of the following is a part of marketing functions?

Standardizing and grading
Financing & Risk taking
Securing Marketing Information
All of the abovepage13

Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer-unique value and lasting relationships?

Personal selling and direct marketingpage151
Public relation and publicity
E-commerce and E-business
Advertising and sales promotion

Winning a new customer is usually more costly than retaining an existing customer. How much time it is costly?

5-10 timespage15
10-15 times
15-20 times
20-25 times

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Belief that "violence is wrong" is an evaluative statement. Such an opinion constitutes which of the following component of an attitude.

Cognitive
Affective

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Reflective
Behavioral

A person on the University Book Shop's survey asks respondents to tell the shop, in their own words, what they like least about textbook shopping. What is a type of this question?

An open-ended
A dichotomous
A multiple choice
A scale

In the modern work world, where higher-level trust has been largely destroyed because of broken promises, it is likely to be replaced with which of the following type of trust?

Reliance-based
Dependence-based
Knowledge-based
Identity-based

In contrast to vending machines which dispense only products, there are other systems that dispense information and take orders without direct human aid. This system refers to which one of the following options?

Kiosks
TV monitors
The internet
Cell phones

Which one of the following is the first step of marketing research process?

Define problem
Data analysis
Interpretation
Implementation

In attribution theory, what is distinctiveness?

Whether an individual displays consistent behaviors in different situations
Whether an individual displays different behaviors in different situations
Whether an individual displays consistent behaviors in similar situations
Whether an individual displays different behaviors in similar situations

Organizations that rely heavily on personal selling are likely to use other promotional efforts. What is the purpose of these promotional efforts?

Promote their less expensive products.
Urge consumers to send their comments and ideas to the firm.
Promote free gifts to consumers.

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Improve the effectiveness of salespeople.

Which one of the following option is true for the core marketing concept?

Needs
Wants

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Demands
All of the given optionspage221

What type of new product strategy, Pizza Hut is using when it allows Marriott to offer its new specialty pizzas in the hotel chain's room service menu?

Market developmentpage225
Product development
Market saturation
Market penetration

A firm has decided to localize its products and services to meet local market demands. Which one of the following approaches is a good approach for this segmentation?

Geographicpage84
Demographic
Psychographics
Behavioral

LG is going to introduce a new mobile set in the market. How the consumers will be aware of this product?

By Promotionpage3
By Personal relationships
By Positioning
By People

To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people and sales assistants. Which one of the following can also be another part of the sales force?

Order takers
Order getters
Telemarketers
Secretaries

Marketing manager wants to improve the packaging of new products after reading customer responses to its customer opinion poll. Which one of the following is NOT a function of packaging?

It contains and protects the product
It contains the brand mark
It determines product qualitypage98
It may contain the brand symbol

A cash discount of "2/10, net 30," means that:

The buyer gets a 10 percent discount off the face value of the invoice if the invoice is paid within 2 days.
Payment is due within 30 days; the buyer can deduct 2 percent if the bill is paid within 10 days.
The buyer makes a 2 percent down payment on the face value of the invoice within 10 days; the remainder

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is due in 30 days.
The buyer gets a 2/10 (20 percent) discount if the invoice is paid within 30 days.

Products that are used directly in the production of a final product but are not easily identifiable are categorized as which one of the following?

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Component partspage94
Consumable supplies
Assembly components
Process materials

If you wish to emphasize the importance of making decisions consistent with fundamental liberties and privileges, the focus of your teaching will also be on which of the following?

Utilitarianism
Justice
Rights page36
Privilege

Which of the following management is responsible for setting the company's mission, objectives, broad strategies and policies?

Top management
Middle level management
Low level management
Functional management

Which one of the following is NOT an ethical pricing issue?

Product dumping
Predatory pricing
Price fixing
Slow Skimming

Mr. A is a marketing manager for a large consumer foods company. He is studying distribution, promotion and price of the company's product. Mr. A is studying which of the following concepts?

a. Marketing strategy
b. Marketing mix
c. Market offering
d. Marketing plan

Which one of the following sets refers to the key building blocks for developing and managing customer relationship?

a. Consumer expectations and customer satisfaction
b. Customer choices and product offer
c. Product performance and customer value
d. Customer value and customer satisfactionpage15

"Provide more quality products and services without variation in the quality" refers to which of the following

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marketing functions?

a. Standardizing and gradingpage13
b. Transporting
c. Storing
d. Selling

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What does this statement show "Increasing demand as well as changing or even reducing demand"?

a. Marketing management
b. Marketing myopia
c. Demarketingpage14
d. Relationship management

When Nokia introduced its new mobile set in the market in response to consumer demand, it was following which one of the following philosophies?
a. Selling concept
b. Production concept
c. Customer concept
d. Marketing conceptpage 20

Which one of the following models can be used to analyze the environment both for new and existing business?
a. Chain model
b. The BCG model
c. Five forces modelpage22
d. Value chain model

Most portfolio analysis methods evaluate SBUs on which of following two dimensions?
a. Market Share; sales
b. Market growth rate; relative market sharepage30
c. Market attractiveness; market growth rate
d. Market growth rate; profits

Mr. ABC examined his firm's recently completed market attractiveness-business position model; he finds that the firm's biscuit unit is low on both dimensions. Which one of the following strategies would this placement dictate?

a. Invest
b. Harvest
c. Divest
d. Maintain

In SWOT analysis, strength and weaknesses are part of which of the following environment?

a. Internal
b. Outdoor
c. External
d. Outside

All of the following activities are the part of marketing process EXCEPT:

a. Analyzing marketing opportunities
b. Selecting target markets
c. Developing the business portfoliopage35
d. Managing the marketing efforts

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Which of the following is an intensive growth strategy of increasing sales in current markets with current products?

a. Market development
b. Market penetration

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c. Product development
d. Market saturation

Niche marketing is opposite to which one of the following concepts?

a. New marketing exploration
b. Knowledge management
c. Mass marketingpage83
d. Market intelligence

Which one of the following is NOT a part of marketing control process?

a. Set goals for organization
b. Measure performance
c. Take risk for profitspage39
d. Evaluate performance

17. All of the following are examples of customer market EXCEPT:

a. Reseller markets
b. Government markets
c. International markets
d. Business markets

18. Publics-carry news, features and editorial opinion refers to which of the following publics?
a. Financial publics
b. Media publics page43
c. Government publics
d. Citizen-action publics

19. Study of human populations in terms of size, density, location, age, sex, race, occupation and other statistics refers to which of the following studies?
a. Segmentation
b. Demography
c. Psychographic
d. Geographic

20. What is another name of Echo boomers?
a. Baby boomlets page45
b. Baby boomers
c. Generation-X
d. Generation-Y

1- Which of the following is an example of ancillary service?
warranty
Promotion
Labeling
Packaging

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2- Critical path analysis is useful at which stage of the product development Process?
Commercialization
Concept development
Beta testing
Business Analysis

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3- Which of the following BEST describes the consumer's preference for products that are widely available to them?
Production concept
Marketing concept
Selling concept
Product concept

4- Buying and selling of mass consumer goods and services comes under which of the following markets?
Business markets
Global markets
Consumer markets
Government markets

5- Which of the following is an advantage that enables business to survive against its competition over a long period of time.
Marketing advantage
Sustainable competitive advantage
Core competency
Competitive advantage

6-A company designs the product with little or no input from customers, the company is practicing which of the following concept?
Product concept (Emaan)
Marketing concept
Selling concept
Production concept

7-A firm is producing standardized products and enjoying the economies of scale by producing more. The firm is following which of the following strategy?
Differentiation strategy
Cost leadership strategy
Market dominance strategy
Market segmentation strategy

8- Which of the following firms emphasis on product's benefits to the customers rather than on product attributes.
Product oriented
Market oriented
Sales oriented
Production oriented

9-Which of the following is NOT a technique of measuring customer satisfaction and monitoring customer's complaint?
Customer complaints database
Exit interviews
Web and telephone information hotlines
Business Analysis

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10-The consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort are called:
Industrial products
Specialty products

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Unsought products
Shopping products

Additional cost is associated with which of the following strategy?
Market segmentation strategy
Market dominance strategy
Differentiation strategy
Cost leadership strategy

DIFFERENTIATION STRATEGY
Differentiation involves creating a product that is perceived as unique. The unique features or benefits should provide superior value for the customer if this strategy is to be successful. Because customers see the product as unrivaled and unequaled, the price elasticity of demand tends to be reduced and customers tend to be more brand loyal. This can provide considerable insulation from competition. However there are usually additional costs associated with the differentiating product features and this could require a premium
pricing strategy.

Financial summary of a marketing plan includes all EXCEPT:
Pro-forma income statement
Month-by-month agenda
Breakeven analysis
Assumptions

Which of the following is NOT a part of consumer adoption process?
Convenience
Trail
Evaluation
Interest

Sales decline in the decline stage of the PLC because of technological advances, increased competition, and_____.
Shifts in unemployment
Shifts in the economy
Shifts in consumer tastes and preferences
Foreign imports

Core competency guides a firm recombining its abilities in response to demands from the:
Retailer
Wholesaler
Environment
Supplier

Which of the following is the task of selecting an overall company strategy for long-run survival and growth?
Select correct option:
Mid-term planning
Short-term planning

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Annual market planning
Strategic market planning

Insurance service would BEST be described as which kind of a product?
Convenience
Unsought

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Specialty
Durable

When any customer does not fully likes the product or talks in favor of the product, it is known as:
Bad – mouth
Word of mouth
Bad impression
Unfavorable products

Which of the following is known as a set of marketing tools used by the firms to pursue its marketing objectives in the target market?
Marketing mix
Promotion mix
Offering mix
Product mix

Which of the following is usually the target of a market challenger?
Market nicher
Market leader
Market follower
Market segment

Which of the following is also called an Export market?
Consumer market
Business market
Global market
Government market

Which stage in the PLC normally lasts longer and poses strong challenges to the marketing managers?
Introduction
Growth
Maturity
Decline

Which of the following is an advantage that enables business to survive against its competition over a long period of time.
Marketing advantage
Sustainable competitive advantage
Core competency
Competitive advantage

Pictures and specification of product are added in which of the following part of the marketing plan?
Financial summary
Executive summary
Situation analysis
Appendix

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In which stage of the product life cycle does a product reach its peak sales?
Introduction
Growth
Maturity
Decline

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Which of the following is NOT included in product decisions?
Styling
Brand name
Warehousing
Packaging

Which of the following is a goal-directed summary of a person's experience, education and training developed for use in the selection process?
Curriculum vitae
Educational record
Career goal
Interview questioning

Which of the following force makes an individual eligible to make decisions, give orders & directing work activities of others?
Power
Influence
Authority
Command

Previous company records & customer satisfaction surveys may serve as a source for:
Cultivating learning culture within the organization
Determining deficiencies that require training
Developing career development plans for employees
Identifying training outcomes through evaluation

Which of the following method includes the exchange of information between organizational member & the applicant through a goal-oriented conversation?
Counseling simulations
Vocational interest test
Role playing
Employment interview

Which of the given employment testing approach requires individuals to perform activities similar to those they might encounter in an actual job?
In-basket technique
Role playing
Interview simulations
Case study

As an HR manager, what should be your main focus while recruitment?
The potential candidate must posses interpersonal and analytical skills
The potential candidate should be very confident and sharp
The potential candidate must be attractive enough to fit in the position
The potential candidate should match the requirements of the job

What could be the main consideration of an HR manager during recruitment?
Outsource the employee selection to recruiting agencies
Screen the pool of appropriate applicants
Attract a large number of applicants
Only hire the experienced candidates

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'There is no need to make any new appointment'; therefore, the organization has transfered Mr. Azam to another branch. This step of the organization is taken to:

Increase the labor supply than demand

Maintain the balance of labor supply and demand

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Decrease the labor supply than demand
Devastate the balance of labor supply and demand

Term used to refer the potential employees available for work within the geographic area from which employees are recruited is:
Labor market
Employment market
Employee market
Job market

The best way of reducing the problems of leniency or strictness in performance appraisals is to:
Rank employees
Train supervisors to avoid it
Impose a distribution for performance
Consider the purpose of the appraisal

Which of the following problem occurs when supervisors tend to rate all their subordinates consistently low?
Central tendency
Leniency
Strictness
Halo effect

c.Leniency/Strictness—The giving of undeserved high or low ratings.

Rating a person high or low on all items because of one characteristic during performance appraisal, is known as:
Halo effect
Central tendency
Stereotyping
Biasness

Halo Error—Occurs when the evaluator perceives one factor as being of paramount importance and gives a good or bad overall rating to an employee based on this factor.

Which of the following performance appraisal method is usually adopted for evaluating performance at managerial positions?
Management by objective
Critical incident
Paired comparison
Essay method

In which method supervisor keeps a log of positive and negative examples of a subordinate's work-related behavior?
Management by objective
Comparison method
Essay method
Critical incident method

Sale is decreasing due to substitute product, this statement related to which one of the following research?
Causal research
Observational research

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Experimental research
Survey research

Following are the elements of the marketing mix EXCEPT:
Distribution
Product

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Target market
Pricing

Following are the elements of the marketing mix EXCEPT:
Distribution
Product
Target market
Pricing

The BCG growth-share matrix classifies which of the following four types of SBUs?
Product; price; promotion; placement
Sales; market share; price; promotion
Stars; cash cows; question marks; dogs

Selecting the right competitive advantage is part of which one of the following concepts?
Target marketing
Market Positioning
Market segmentation
Undifferentiated Marketing

Following are the factors that influence consumer behavior EXCEPT:
Cultural
Political (correct)
Personal
Psychological

Reference: http://ezinearticles.com/?Factors-Affecting-Consumer-Behavior&id=4602848

Companies should set up systems that____customer to complain.
Discourage
Encourage
Do not allow
None of the given options

person's buying choices are further influenced by four major psychological factors. Which is NOT one of these factors?
Motivation
Perception
Habitual buying behavior
Learning

In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?
Relative market share
BCG matrix
Business portfolio
Market growth rate

Which one of the following is NOT base for marketing segmentation?
Consumer markets
Industrial markets

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Business markets
International markets

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Question No: 1(M - 1).

Which one of the following is termed as embargo?

Budget reforms

Heavy taxes

Strongest form of quota

Heavy trade deficit

Question No: 2(M - 1).

Which one of the following is designated as a runner-up firm that chooses not to rock the boat (usually out of fear that it stands to lose more than it might gain)?

Market leader

Market challenger

Market follower

Market niche

Question No: 3(M - 1).

Review of the sales, costs and profit projections for a new product to find out whether these factors satisfy the company's objectives comes under which one of the following concepts?

Business Analysis

Product Development

Test Marketing

Commercialization

Question No: 4(M - 1).

The concept of market_____arranges for a product to occupy a clear, distinctive, and desirable place relative to competition.

Positioning

Place

Price

Product

Question No: 5(M - 1).

Which one of the following authorities might use several tools like news, speeches and special events for the marketing purpose?

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Advertising agencies

Advertising specialists

Public relation professionals

Computer programmers

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Question No: 6(M - 1).

Lobbying or building and maintaining relations with legislators and government officials to influence legislation and regulation are part of which one of the following options?

Business ethics

Press relations

Press agencies

Public relations

Question No: 7(M - 1).

The standards set for salespeople, stating the quantity they should sell and how sales should be divided among the company's products refers to which one of the following options?

Sales goals

Company quotas

Sales quotas

Sales incentives

Question No: 8(M - 1).

A growing trend for many companies is to use a group of people from sales, marketing, engineering, finance, technical support and even upper management to service large, complex accounts. It refers to which one of the following approaches?

Department selling

Multiple selling

Team selling

Simultaneous selling

Question No: 9(M - 1).

To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people and sales assistants. Which one of the following can also be another part of the sales force?

Order takers

Order getters

Telemarketers

Secretaries

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Question No: 10(M - 1).

When a firm sets out to analyze, plan, implement, and control sales force activities through sales force management. What does it set and design?

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Team selling efforts

Promotional objectives

Sales territories

Sales force strategies

Question No: 11(M - 1).

The principles of personal selling described as which one of the following orientation?

Service orientation

Customer orientation

Transaction orientation

Relationship orientation

Question No: 12(M - 1).

Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer-unique value and lasting relationships?

Personal selling and direct marketing

Public relation and publicity

E-commerce and e-business

Advertising and sales promotion

Question No: 13(M - 1).

The various stages of the personal selling process are illustrated below, which one of the following is NOT specific roles of the sales representative?

Negotiating and closing the sale

Sales presentation

Prospecting

Devising product strategy

Question No: 14(M - 1).

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Fraudulent usage, inability to attract potentially brand-loyal customers and use by current customers but not new customers are believed to be disadvantages of which of the following?

Money refunds

Frequent-user incentives

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Coupons

Premiums

Question No: 15(M - 1).

Expensive Coca-Cola television ads primarily are a type of which of the following advertising?

Informative advertising

Comparative advertising

Persuasive advertising

Reminder advertising

Question No: 16(M - 1).

In which of the following advertising a company directly or indirectly compares its brand with one or more other brands?

Informative advertising

Institutional advertising

Reminder advertising

Comparative advertising

Question No: 17(M - 1).

Communication through a news story regarding an organization or its products that is transmitted through a mass medium at no charge, refers to which one of the following promotion mix?

Advertising

Sales promotion

Personal selling

Public relations

Question No: 18(M - 1).

Slow feedback, high costs and difficulty in measuring effects on sales are disadvantages of which one of the following promotion mix ingredient?

Public relations

Sales promotion

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Personal selling

Advertising

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Question No: 19(M - 1).

Which one of the following takes possession of truckloads of tomatoes, arranges for storage, and transports them to auctions to be sold?

Selling agent

Commission broker

Commission merchant

Selling broker

Question No: 20(M - 1).

Which one of the following is the primary purpose of a broker?

Take title to a producer's goods

Sell directly to the final consumer

Sell directly to producers

Bring buyers and sellers together

Question No: 21(M - 1).

If a retailer needed help with store design and training sales personnel, it would most likely use the services of which of the following wholesalers?

Full-service wholesaler

Full-price wholesaler

Rack jobber

Cash-and-carry wholesaler

Question No: 22(M - 1).

Which one of the following statement refers to manual order processing?

Integrates the order processing and production planning

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Is flexible in special situations

Is practical for a large volume of orders

Is the most widely used form of order processing

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Question No: 23(M - 1).

Which one of the following concept reflects the term "Order processing"?

Is the same as order handling

Is characterized by electronic processing

Is the receipt and transmission of sales order information

Is the second stage in a physical distribution system

Question No: 24(M - 1).

Order processing, inventory management, materials handling, warehousing, and transportation fall under which of the following activities?

Wholesaling

Retailing

Physical distribution

Channel management

Question No: 25(M - 1).

The success of each channel member depends on the performance of which of the following?

Key channel members

The entire supply chain

The manufacturer

The wholesaler

Question No: 26(M - 1).

Nationally distributed consumer convenience products such as cigarettes are MOST likely distributed through which of the following channels?

Producer, agents, wholesalers, retailers, consumers

Producer, wholesalers, consumers

Producer, wholesalers, retailers, consumers

Producer, industrial distributor, wholesalers, retailers, consumers

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Question No: 27(M - 1).

ABC Company, the sportswear designer and manufacturer, decided to open its own specialty shops to sell its merchandise, the firm was engaging in which of the following channels?

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Vertical channel integration

A conventional marketing channel

Horizontal channel integration

Channel expansion

Question No: 28(M - 1).

Which one of the following statement about price changes is TRUE?

Large-market share brands are hurt more by price changes than smaller companies

Temporary retail price reductions substantially decrease store traffic

Brand equity is unaffected by frequent price changes

Price changes for high-quality brands affect private label brands and weaker brands disproportionately

(corrected vuzs)

Question No: 29(M - 1).

Which one of the following pricing policy may result in losing money on the product?

Psychological discounting

Penetration pricing

Special-event pricing

Price leader

Question No: 30(M - 1).

Quantity discounts are a legal form of price discrimination. A quantity discount is a price reduction to buyers who purchase_____.

Large volumes

Inferior merchandise

Superior merchandise

Frequently

Question No: 31(M - 1).

Which one of the following pricing method is the simplest pricing method?

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Value-based

Fixed cost

Cost-based

Skimming

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Question No: 32(M - 1).

When Kodak sets the general price range, low for its cameras and set high for its related film , it is practicing which one of the following pricing?

Market-penetration pricing

Market-skimming pricing

Product line pricing

Captive-product pricing

Question No: 33(M - 1).

Which of the following is NOT a major factor for making firms price decisions?

Environmental factors

Marketing objectives

Past sales

Marketing mix strategy

Question No: 34(M - 1).

Which one of the following statement reflects the market share pricing objective?

Is not recommended when sales for the total industry are declining

Is not especially useful when sales for the total industry are increasing

Is not especially useful when sales for the total industry are flat

Can be used effectively whether total industry sales are rising or falling

Question No: 35(M - 1).

The consumer decides to make use of the product on a regular basis. Which one of the following concepts BEST describe it?

Awareness

Interest

Trial

Adoption

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Question No: 36(M - 1).

Which of the following are industrial products that aid in the buyer’s production or operations, including installations and accessory equipment?

Materials

Specialty items

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Capital items

Supplies

Question No: 37(M - 1).

What is the stage of the buyer decision process in which the consumer uses information to evaluate brands in the choice set?

The alternative evaluation stage

The situational stage

The experimental stage

The informative stage

Question No: 38(M - 1).

Which one of the following factor influences the consumer buying decision process?

Person-specific

Social

Demographic

Situational

Question No: 39(M - 1).

Marketing researchers usually draw conclusions about large groups of consumers by studying which of the following small component of the total consumer population?

Group

Sample

Target group

Audience

Question No: 40(M - 1).

"Consumers are spending more on products and services that will improve their lives rather than their image" reflects which aspect of the cultural environment?

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People's view of others

People's view of themselves

People's view of organizations

People's view of nature

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Question No: 41(M - 1).

Which one of the following is NOT a part of marketing channel firms (intermediaries)?

Physical distribution firm

Marketing service agency

Financial intermediary

Stock exchange

Question No: 42(M - 1).

Which one of the following set represents 4 C's of the marketing mix?

Customer Solution, Cost, convenience, communication

Customer, cost, convenience, comfort

Convenience, communication, coverage, cost

Cost, coverage, communication, consultancy

Question No: 43(M - 1).

Which of the following is an intensive growth strategy of increasing sales in current markets with current products?

Market development

Market penetration

Product development

Market saturation

Question No: 44(M - 1).

Identify the first step in the strategic marketing planning process?

The writing of the mission statement

The establishment of organizational objectives

The formulation of a marketing plan

Hiring a senior planner

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Question No: 45(M - 1).

In the Boston Consulting Group approach, which one of the following measure provides a measure of market attractiveness?

Business portfolio

BCG matrix

Market growth rate

Relative market share

Question No: 46(M - 1).

Which one of the following statements is an example of a problem that may arise in the implementation of the marketing concept?

Dissatisfaction of one segment affects the satisfaction of other segments

Consumers do not understand what the marketing concept is

Dealers do not support the marketing concept

A product may fit the needs of too many segments

Question No: 47(M - 1).

Which one of the following statements by a company chairman BEST reflects the marketing concept?

We have organized our business to satisfy the customer needs

We believe that marketing department must organize to sell what we produce

We try to produce only high quality, technically efficient products

We try to encourage company growth in the market

Question No: 48(M - 1).

What does this statement shows "Trade of value between two parties"?

Competition

Transaction

Exchange

Need

Question No: 49(M - 1).

Which one of the followings best represent the involvement of management and employees in the

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continuous improvement of the production of goods and services?

Marketing management

Customer relationship management

Knowledge management

Total quality management

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Question No: 50(M - 1).

Which one the following option is related with this statement "Rapid imitation of leader or challenger with moderate country market coverage and emphasis on price sensitive markets. The result is overall moderate share with high shares in selected country markets."

Global leader strategy

Global challenger strategy

Global follower strategy

Global niche strategy

Question No: 51(M - 1).

Which of the following is **NOT** a benefit of direct marketing?

Immediate response

Customer relationship building

Assists client prospecting

Greater product access and selection

Question No: 52(M - 1).

Which one of the following is **NOT** a part of competitive positions?

Market leader

Market challenger

Market follower

Market controller

Question No: 53(M - 1).

Which one of the following is a position option open to smaller firms that serves some part of the market that is not likely to attract the attention of the larger firms?

Market leader

Market challenger

Market follower

Market niche

Question No: 54(M - 1).

The retailer is usually in an excellent position to:

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Make the most profits in the channel

Become the channel leader

Gain feedback from consumers

Co-ordinate the production strategy

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Question No: 55(M - 1).

A departmental store firm wants to increase sales and reach new markets with direct marketing. To accomplish this, the sales or marketing manager would choose which of the following tool?

Sales promotions

Advertising

Kiosk marketing

Public relations

Question No: 56(M - 1).

In contrast to vending machines which dispense only products, there are other systems that dispense information and take orders without direct human aid. This system refers to which one of the following options?

Kiosks

TV monitors

The internet

Cell phones

Question No: 57(M - 1).

Which one of the following is the fastest growing form of marketing that reach more customers and save money?

Advertising

Direct marketing

Public relations

Personal selling

Question No: 58(M - 1).

Management at Happy Motors must decide what mix of compensation elements to offer their sales force. Which of the following is **NOT** one of the four basic types of compensation plans?

Straight commission

Straight salary

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Salary and commission

Commission and bonuses

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Question No: 59(M - 1).

There are three typical types of sales force structures. Which one is often supported by many levels of sales management positions in specific geographical areas?

Territorial

Customer

Complex systems

Matrix

Question No: 60(M - 1).

Mr. Tatbeeq sales person from Philips, develops a list of potential customers and evaluates them on the basis of their ability, willingness, and authority to purchase copy machines. What is the name of this process?

Customer search

Sales preparation

Audience identification

Prospecting

Question No: 61(M - 1).

Giving a free sample of a new product by attaching it to the pack of an existing product refers to which one of the following promotion?

On-pack promotion

New-product promotion

Extra-fill promotion

Co-operative discounting

Question No: 62(M - 1).

Sales promotion includes a wide assortment of tools. Which one of the following is **NOT** one of these tools?

Contests

Premiums

Telephone surveys

Coupons

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Question No: 63(M - 1).

Communication process has different elements that are helpful for communicating message to audience. One of the communication tools is the decoding. Which one of the following statements refers to the "Decoding"?

Intensity of the transmission becomes stronger

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Receiver attempts to convert signs into concepts and ideas

Source attempts to convert signs into concepts and ideas

Receiver filters noise from the feedback

Question No: 64(M - 1).

Which one of the following concepts is considered as the basic role of promotion?

Information

Manipulation

Communication

Interpretation

Question No: 65(M - 1).

Location is extremely important to a retailer due to which one of the following reasons?

http://groups.google.com/group/vuZs

Suppliers charge more to service stores in certain trading areas.

A desirable location appeals to consumers' emotions and encourages them to buy.

Location is the major determinant of store image.

Location determines the trading area from which the store must draw its customers.

Question No: 66(M - 1).

Which of the following is considered as huge superstores, perhaps as large as six football fields?

Hypermarket

Department store

General merchandise retailer

Discount store

Question No: 67(M - 1).

A cash-and-carry wholesaler would be expected to:

Provide transportation

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Handle high turnover products

Carry a wide variety of products

Provide a wide range of services

Question No: 68(M - 1).

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Which type of wholesaler not only provides transportation and delivers products to retailers, but also provides the service of placing products on retailers' shelves?

Truck wholesaler

Cash-and-carry wholesaler

Rack jobber

Mail-order wholesaler

Question No: 69(M - 1).

Which one of the following statement **BEST** describes a merchant wholesaler?

Takes title and possession of goods and sells only to retailers.

Takes title and assumes risk and is generally involved in buying and reselling products.

Does not take title and possession of goods but may facilitate exchange between any two parties.

Carry a limited line of fast-moving goods and sell to small retailers for cash

Question No: 70(M - 1).

Which of the following distribution are used by most television, furniture and small-appliance brands?

Selective distribution

Exclusive distribution

Intensive distribution

None of the given options

Question No: 71(M - 1).

The standards set for salespeople, stating the quantity they should sell and how sales should be divided among the company's products refers to which one of the following options?
Sales goals
Company quotas
Sales quotas
Sales incentives

Question No: 72(M - 1).

When Mr. A is using a channel with only one intermediary, that intermediary is classified as which of the following?

Retailer

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Wholesaler

Broker

Producer

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Question No: 73(M - 1).

Relationships among channel members, i.e. producers, wholesalers and retailers, are usually:

Short-term commitments

Long-term commitments

Expensive resource commitments

Only minor commitments

Question No: 74(M - 1).

Which one of the following is the function of a direct channel of distribution?

The flow of products from producers to customers

Links producers to other marketing intermediaries

Takes title to products and resells them

Manages transportation and warehousing functions

Question No: 75(M - 1).

Three key issues associated with initiating price changes are, the circumstances, the tactics and:

Sales targets

Bad publicity

Stock levels

Competitor reactions

Question No: 76(M - 1).

When a firm or store offers a price reduction to customers who buy during off-peak periods throughout the year, we say the firm is giving a(n)_____discount.

Functional

Seasonal

Annual

Allowance

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Question No: 77(M - 1).

If a retailer form Islamabad orders a quantity of merchandise to be delivered to his store in Lahore and is

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quoted a price that does not include transport costs, the retailer is paying a price called:

F.O.B. destination

FOB price

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Geographic price

Base-point price

Question No: 78(M - 1).

The Shirt Company utilizes a push strategy to sell the shirt line. Its basic promotional tool is discount. These discounts offered to middlemen are referred to as which one of the following discounts?

Trade

Cumulative

Noncumulative

Cash

Question No: 79(M - 1).

If Pepsi sets the price of its six packs to match exactly the price of Coca-Cola's, Pepsi is using which of the following pricing method?

Demand-oriented

Cost-oriented

Experience curve

Competition-oriented

Question No: 80(M - 1).

Which one of the following concepts is a useful philosophy in a situation when the product's cost is too high and marketers look for ways to bring it down?

Selling concept
Product concept
Production concept
Marketing concept

Question No: 81(M - 1).

Companies set prices by selecting a general pricing approach that includes one or more of three sets of factors. One of these is the cost-based approach, which means:

Value-based pricing and market-skimming pricing

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Going-rate and sealed-bid pricing

Cost-plus pricing, break-even analysis, and target profit pricing

Competition-based pricing and market-penetration pricing

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Question No: 82(M - 1).

Which one of the following pricing objectives is rarely operational because its achievement is difficult to measure?

Return on investment

Profit maximization

Market share

Survival

Question No: 83(M - 1).

Price is a key element in the marketing mix because it relates directly to:

The size of the sales force

The speed of an exchange

The control of quality

The generation of total revenue

Question No: 84(M - 1).

Less frequently purchased consumer products and services which are compared by the customer on different product attributes, refers to which one of the following product?

Specialty products

Shopping products

Unsought products

Industrial products

Question No: 85(M - 1).

Which of the following factors are often used for segmenting customer groups?

Geographic factors

Psychographic factors

Behavioral factors

Demographic factors

Question No: 86(M - 1).

What is the stage of the buyer decision process in which the consumer uses information to evaluate

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brands in the choice set?

The alternative evaluation stage

The situational stage

The experimental stage

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The informative stage

Question No: 87(M - 1).

The factors such as the buyer's age, life-cycle stage, occupation, economic situation, lifestyle, personality and self-concept that influences buyer's decisions refers to which one of the following characteristic?

Personal characteristics

Behavioral characteristics

Demographical characteristics

Question No: 88(M - 1).

Marketers are interested in the roles and influence of the husband, wife and children on the purchase of different products and services. Which one of the following segment is being studied by the marketer?

Social class

Opinion leader

Reference group

Family

Question No: 89(M - 1).

Marketing stimuli consist of the four Ps. Which is **NOT** one of these Ps?

Product

Political

Price

Promotion

Question No: 90(M - 1).

Which one of the following step in the marketing research process deals in "defining the problems and research objectives, implementing the research plan, and interpreting and reporting the findings"?

Developing the research budget

Choosing the research agency

Choosing the research method

Developing the research plan

Question No: 91(M - 1).

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Which one of the following environment is made up of institutions and other forces affecting society's basic values, perceptions, preferences and behaviors?

Cultural environment

Fictitious environment

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Natural environment

Political environment

Question No: 92(M - 1).

A manufacturer-owned operation that provides services usually associated with agents, refers to which one of the following?

Wholesaler
Sales office
Sales branch
Public warehouse

Question No: 93(M - 1).

Advertising agencies are an example of which of the following marketing intermediaries?

Insurance company

Financial intermediary

Marketing services agency

Physical distribution firm

Question No: 94(M - 1).

Which one of the following is a chief goal of the implementation function in marketing process?

Develop marketing plans

Turns plans into actions

Take corrective actions.

Develop strategic plans.

Question No: 95(M - 1).

Developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities represent which one of the following concept?

Marketing objectives

Strategy planning

Marketing activities

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Corporate strategies

Question No: 96(M - 1).

Which one of the following options is best to explain the purpose of intranets?

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Buying and selling processes

Business-to-business purchasing

Communication among employees

Maintaining customer relations

Question No: 97(M - 1).

A network of networks that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?

LAN

Intranet

Extranet

Internet

Question No: 98(M - 1).

If you are attempting to create primary demand toward your product, you will use which type of the following ads?

Informative

Persuasive

Reminder

Cooperative

Question No: 99(M - 1).

Which one of the following option is **NOT** a benefit of internet marketing?

Cost effective

Time saving

Reliability

Open new venue

Question No: 100(M - 1).

Which one of the following option is **NOT** a benefit for buyer with E-commerce?

Convenience

Easy and private

Reliability

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Greater product access

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Question No: 101(M - 1).

Which of the following is an administrative trade restriction that imposes a complete ban on imports of a specified product?

Import quota

Tariff

Embargo

Dumping

Question No: 102(M - 1).

Which one of the following is NOT a part of Joint Venture?
Single member private limited company

Contract manufacturing
Joint ownership
Licensing

Question No: 102(M - 1).

If a food company gives 5 percent discount in particular burger to increase sales, it is altering which one of the following elements of the marketing mix?
Promotion
Price
Product
Place

Question No: 103(M - 1).

Which one of the following options refers to "The art and science of choosing target markets and building profitable relationships"?
Customer relationship management
Knowledge management
Total quality management
Marketing management

Question No: 104(M - 1).

Which one of the following options is best to explain the purpose of intranets?
Buying and selling processes
Business-to-business purchasing
Communication among employees
Maintaining customer relations

Question No: 104(M - 1).

E-marketing refers to which one of the following?
Email marketing
Electronic marketing

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Electric marketing
Elastic marketing

Question No: 105(M - 1).

Which of the following option is NOT related with traditional buyer's rights?
Right not to buy a product that is offered for sale
Right to expect the product to be safe

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Right to expect the product to perform as claimed
Right to ask money back even not offered by the seller

1. Despite the data glut that marketing managers receive, they frequently complain that they lack_____.
a. enough information of the right kind
b. quality information
c. timely information
d. accurate and reliable information
e. valid information
(Answer: a; p. 97; Easy)

2. An MIS consists of people, equipment, and procedures to gather, sort,_____, evaluate, and distribute information to marketing decision makers.
a. test
b. test market
c. analyze
d. critique
e. assess
(Answer: c; p. 97; Easy)

3. Your firm has just developed its first successful MIS. It interacts with information users to assess information needs, develop needed information,_____the marketing information, and help managers use it in their decision making.
a. distribute
b. collect
c. retrieve
d. store
e. validate
(Answer: a; p. 97; Challenging)

4. The marketing information system is not limited to use by the company it serves. It may also provide information to_____.
a. the government
b. external partners
c. various publics
d. competitors
e. none of the above
(Answer: b; p. 97; Moderate)

5. Marketers must weigh carefully the costs of additional information against the_____resulting from it.
a. uses
b. benefits
c. knowledge
d. rewards
e. cost
(Answer: b; p. 98; Easy)

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6. Four common sources of internal data include the accounting department, operations, the sales force, and the_____.
a. owners
b. stockholders
c. marketing department
d. custodians

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e. quality control department
(Answer: c; p. 99; Moderate)

7. Marketing information from this type of database usually can be accessed more quickly and cheaply than other information sources. Which one is it?
a. External.
b. MDSS.
c. EIS.
d. Internal.
e. Field representatives.
(Answer: d; p. 99; Easy)

8. This systematic collection and analysis of publicly available information about competitors and developments in the marketing environment is very useful. What is it called?
a. Marketing data.
b. Marketing intelligence.
c. Web Master.
d. Sales and sales management.
e. Secondary data.
(Answer: b; p. 99; Moderate)

9. Which of the following was not mentioned in your textbook as a source of marketing intelligence?
a. Suppliers.
b. Resellers.
c. Key customers.
d. Your company reports.
e. Sales force.
(Answer: d; p. 101; Easy)

10. Which of the following was not mentioned in your textbook as a source of marketing intelligence?
a. Competitors' garbage.
b. Buying competitors' products.
c. Monitoring competitors' sales.
d. Checking for new goodwill.
e. Purchasing agents.
(Answer: d; p. 101; Moderate)

11. Your competitor may reveal intelligence information through which of these sources of information?
a. Annual reports.
b. Trade show exhibits.
c. Web pages.
d. Press releases.
e. All of the above.
(Answer: e; p. 101; Easy)

12. In today's information age, companies are leaving a paper trail of information_____.
a. in the wastebasket
b. online

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c. in annual reports
d. with government agencies
e. that is inaccessible
(Answer: b; p. 101; Moderate)

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13. To combat marketing intelligence by competitors, Unilever Corporation is now providing_____to employees.
a. intelligence training
b. privacy blocks
c. protection
d. less information
e. none of the above
(Answer: a; p. 102; Moderate)

14. Which of the steps in the marketing research process has been left out: defining the problems and research objectives, implementing the research plan, and interpreting and reporting the findings?
a. Developing the research budget.
b. Choosing the research agency.
c. Choosing the research method.
d. Developing the research plan.
e. Comparing and contrasting primary and secondary data.
(Answer: d; p. 102; Moderate)

15. Your colleague is confused about using the marketing research process. He seems to be having problems with_____, which is often the hardest step to take.
a. defining the problem
b. defining the research objectives
c. defining the problem and research objectives
d. researching a research agency to help
e. C and D
(Answer: c; p. 102; Moderate)

16. The objective of_____research is to gather preliminary information that will help define the problem and suggest hypotheses.
a. descriptive
b. exploratory
c. causal
d. corrective
e. descriptive and exploratory
(Answer: b; p. 103; Easy)

17. It is important to note that research objectives must be translated into specific_____.
a. marketing goals
b. information needs
c. dollar amounts
d. results that justify the means
e. time allotments
(Answer: b; p. 103; Easy)

18. The research plan outlines sources of existing data and spells out the specific research approaches, contact methods,_____, and instruments that researchers will use to gather new data.
a. personnel
b. sampling plans

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c. budget requirements
d. all of the above
e. none of the above
(Answer: b; p. 103; Moderate)

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19. The way to begin marketing research is to gather secondary data, which consists of information_____.
a. that already exists somewhere
b. that does not currently exist in an organized form
c. that already exists somewhere, having been collected for another purpose
d. used by competition
e. that the researcher can obtain through surveys and observation
(Answer: c; p. 103; Easy)

20. How would you describe the primary data being used by your firm?
a. Collected for the specific purpose at hand.
b. Original information.
c. First-time information.
d. Fresh and perhaps more reliable than secondary data.
e. All of the above.
(Answer: e; p. 105; Easy)

21. Which form of data can usually be obtained more quickly and at a lower cost?
a. Primary.
b. Census.
c. Secondary.
d. Syndicated.
e. Tertiary.
(Answer: c; p. 105; Moderate)

22. Your assistant wants to use secondary data exclusively for the current research project. You advise him that the use of secondary data has some potential problems. Which of the following is not one of them?
a. It may not exist.
b. All of the needed data is rarely available.
c. It may not be useable.
d. It is generally more expensive when purchased from the government.
e. You do not know why it was originally collected.
(Answer: d; p. 105; Challenging)

23. Primary data must be relevant, current, unbiased, and_____.
a. complete
b. accurate
c. inexpensive
d. collected before secondary data
e. valid
(Answer: b; p. 105; Moderate)

24. Which method of research can obtain information that people are unwilling or unable to provide?
a. Observation.
b. Focus groups.
c. Personal interviews.
d. Fax surveys.

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e. Questionnaires.
(Answer: a; p. 106; Easy)

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25. Survey research, called the backbone of primary research, is the most widely used method for primary data collection and is best suited for gathering_____information.
a. personal
b. preference
c. attitude
d. descriptive
e. exploratory
(Answer: d; p. 107; Moderate)

26. Fredia Pellerano has just discovered the major advantage of survey research. She reports to her supervisor that it is_____.
a. flexibility
b. cost effectiveness
c. quickness to administer
d. understandability
e. simplicity
(Answer: a; p. 107; Moderate)

27. Experimental research is best suited for gathering_____information.
a. unknown
b. causal
c. complicated
d. interactive
e. descriptive
(Answer: b; p. 107; Challenging)

28. One of the following is not a current survey research method. It is contact by_____.
a. online use
b. mail
c. telephone
d. fax
e. none of the above
(Answer: d; p. 107; Easy)

29. All of the following are disadvantages of telephone interviewing except one. Which one?
a. Higher cost than mail questionnaires
b. Introduces interviewer bias
c. Under time pressures some interviewers might cheat
d. Interviewers tend to interpret answers similarly
e. A and C
(Answer: d; p. 108; Challenging)

30. Currently, you find yourself involved in marketing research. The form you are using is flexible, allows explanation of difficult questions, and lends itself to showing products and advertisements. What is this form of research?
a. Personal interviewing.
b. Online interviewing.
c. Vision phone interviewing.
d. Mall intercepts.

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e. None of the above.
(Answer: a; p. 108; Easy)

31. Which of the following is not an advantage of Web research?
a. Speed.
b. Low costs.

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c. Instantaneous results.
d. All of the above.
e. A and C
(Answer: e; p. 109; Easy)

32. DelRay Pools and Spas is collecting marketing data through online (Internet) marketing research. Management will have the choice of using Internet surveys, experiments, or_____.
a. online focus groups
b. individual interviewing
c. hit counting
d. questionnaire responses
e. observations
(Answer: a; p. 109; Challenging)

33. Judy Hammerschmidt regularly conducts online marketing research at work. She has found that it has several advantages over traditional methods. Which of these is not an advantage?
a. Respondents tend to be more honest.
b. It is more cost efficient.
c. Report generation turnaround time is much quicker.
d. There is greater personal interaction.
e. Respondents cannot remain anonymous.
(Answer: d; p. 109; Challenging)

34. Marketing researchers usually draw conclusions about large groups of consumers by studying a small _____of the total consumer population.
a. group
b. sample
c. population
d. target group
e. audience
(Answer: b; p. 110; Easy)
35. Why would In The Mood Music Distributors choose a sampling of its customers to research rather than all 1,500 of them?
a. Researching all of them is too time-consuming.
b. Researching all of them can be too expensive.
c. The sample can fairly represent the entire population.
d. The customers may all be similar.
e. All of the above.
(Answer: d; p. 110; Moderate)

36. Sampling requires the answers to three questions. Choose the inappropriate one.
a. Who is to be sampled (what sampling unit)?
b. How many people should be surveyed (what sample size)?
c. Why should they be sampled (justification)?
d. How should the people be chosen (what sampling method)?
e. None of the above.
(Answer: c; p. 110; Challenging)

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37. The backbone of marketing research, or the most common instrument used, is the_____.
a. mechanical device
b. live interviewer
c. questionnaire
d. teleinterviewer
e. Internet

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(Answer: c; p. 110; Easy)

38. In creating research questionnaires, which of the following is good advice for Mark Hammel, research specialist at New Wave Data, to follow?
a. Use care in the wording and ordering of questions.
b. Questions do not have to be arranged in a logical order.
c. Ask difficult questions in the beginning to "weed out" uninterested respondents.
d. Ask personal questions in the middle of the instrument.
e. Avoid eye contact as it may confuse the respondents.
(Answer: a; p. 111; Moderate)

39. Which of the following was not mentioned in your text as a common mechanical instrument used to conduct market research?
a. Supermarket scanners.
b. People meters.
c. Galvanometers and eye cameras.
d. Telephones.
e. e. B and C
(Answer: d; p. 111; Moderate)

40. At this point in your marketing research project, Mr. Barnes comments that the_____phase is generally the most expensive and the most subject to error.
a. exploratory research
b. hypothesis
c. data collection
d. interpreting and reporting the findings
e. data validation
(Answer; c; p. 113; Challenging)

41. AMF Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?
a. Contacting respondents.
b. Respondents who refuse to cooperate or give biased answers.
c. Interviewers who make mistakes or take shortcuts.
d. Interpreting and reporting the findings.
e. Primary data that conflict with secondary data.
(Answer: d; p. 112; Challenging)

42. Researchers interpret and report findings to their managers. What might be a typical problem the researcher might encounter when discussing the findings?
a. Managers may be biased.
b. Managers may accept results that support their preconceived notions.
c. Managers may interpret the findings differently.
d. Managers may not believe the findings.
e. All of the above.
(Answer: e; p. 113; Easy)

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43. Analytical models help analyze marketing information collected from research. These models can help answer_____and_____questions.
a. short; simple
b. what if; which is best
c. relevant; current
d. advanced; difficult

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e. none of the above
(Answer: b; p. 113; Challenging)

44. What is the purpose of a data warehouse?
a. To gather information.
b. To integrate information a company already has.
c. To interpret data.
d. To analyze data.
e. To discard old data.
(Answer: b; p. 114; Moderate)

45. Tommy Baker is in charge of customer relationship management for American Pie Nostalgia. As a result of his effort in this area, his firm enjoys all of the following except_____.
a. providing higher levels of customer service
b. developing deeper customer relationships
c. creating offers tailored to specific customer requirements
d. understanding competition better
e. understanding how to better build the marketing mix
(Answer: d; p. 114; Moderate)

46. Hiro Chan knows that when CRM works well at his company, the benefits far outweigh the_____and _____.
a. time; costs
b. time; risks
c. efforts; costs
d. costs; risks
e. efforts; risks
(Answer: d; p. 115; Moderate)

47. Siebel Systems claims that firms using its CRM software report an average of_____percent increase in revenues and_____percent increase in customer loyalty and staff efficiency.
a. 14; 16
b. 15; 18
c. 16; 20
d. 16; 21
e. 20; 30
(Answer: d; p. 115; Challenging)

48. Marketing information has no value until it is used to_____.
a. satisfy company objectives
b. make better marketing decisions
c. make management's job easier
d. please stockholders
e. please customers
(Answer: b; p. 115; Easy)

49. This source of marketing information provides ready access to research information, stored reports, shared work documents, contact information for employees and other stakeholders, and more. What do

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we call this?
a. A intranet.
b. An extranet.
c. The Internet.
d. An internal database.
e. Marketing intelligence.

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(Answer: a; p. 115; Moderate)
50. For conservative small businesses and not-for-profit organizations, good marketing information may be collected by simple_____.
a. purchase
b. observation
c. questioning
d. surveying
e. focus groups
(Answer: b; p. 117; Easy)

51. When managers use small convenience samples such as asking customers what they think or inviting a small group out to lunch to get reactions, they are using_____.
a. informal surveys
b. experiments
c. observation
d. focus groups
e. marketing intelligence
(Answer: a; p. 117; Moderate)

52. Small organizations can obtain most of this type of data available to large businesses with minimal effort. What type is it?
a. Census.
b. The Internet.
c. Secondary.
d. Primary.
e. Business.
(Answer: c; p. 117; Moderate)

53. You have been asked to locate secondary data for current research needs. Which of the following is not a common source for this type of research?
a. The business section at the local library.
b. The U.S. Small Business Administration.
c. The Internet.
d. INS records.
e. The local Chamber of Commerce.
(Answer: d; p. 117; Easy)

54. A common problem in international marketing research is the availability of_____.
a. primary data
b. research specialists
c. secondary data
d. intelligence limitations
e. consumers across cultures to answer surveys
(Answer: c; p. 118; Challenging)

55. In general, domestic researchers deal with fairly homogeneous markets. Foreign markets present the challenges of varying levels of economic development, cultures and customs, and_____.
a. import regulations

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b. buying patterns
c. dislike of American goods
d. language barriers
e. social perceptions
(Answer: b; p. 118; Moderate)

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56. Because of the scarcity of good secondary data, international researchers often must collect their own primary data. An initial problem with this collection is finding and developing good_____.
a. representative samples
b. research firms
c. rapport with nationals
d. relations with channel members
e. communication methods
(Answer: a; p. 118; Moderate)

57. What do many researchers encounter when conducting market research in foreign countries?
a. Some countries have few telephones that limit access to respondents.
b. Some countries have poor mail services.
c. Some countries have poor roads that limit personal contacts.
d. Some foreign cultures may not understand the value of marketing data.
e. All of the above.
(Answer: e; p. 118; Easy)

58. Cultural differences, especially involving language, can add to research costs in foreign markets and can increase the_____.
a. foreign trade
b. risks of error
c. likelihood of not finding a translator
d. likelihood that a smaller sample could be used
e. none of the above
(Answer: b; p. 119; Moderate)

59. A common problem researchers find when going international is that consumers vary in their _____ marketing research.
a. understanding of
b. beliefs in
c. attitudes toward
d. appreciation of
e. any of the above
(Answer: e; p. 119; Easy)
60. Even when respondents in other countries are willing to respond to research questions, they may not be able to because of_____.
a. high functional illiteracy rates
b. language barriers
c. lack of availability
d. limitations imposed by government
e. B and D
(Answer: a; p. 119; Easy)

61. Anna Gregory just completed reading a marketing research report about the top 25 countries that purchase American products. What might the report say about international research with these countries?
a. It is on the decrease due to high costs.
b. The costs are higher than the benefits.
c. There is a lack of qualified research personnel.

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d. There is a growth in international research, and the costs of not doing it are high.
e. Their interpretations of American quality are about the same.
(Answer: d; p. 119; Moderate)

62. Choose the statement that is not a typical consumer reaction to intrusion on consumer privacy.
a. Sophisticated researchers probe our deepest feelings.

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b. Marketers use this information to manipulate our buying.
c. Marketers build huge databases full of personal information.
d. Marketers make too many products and services available—it's confusing.
e. None of the above.
(Answer: d; p. 119; Easy)

63. Your text points out that_____Americans worry that companies have too much of consumers' personal information and that_____Americans feel their privacy is compromised if that information is used to sell products.
a. fewer than half of; fewer than half of
b. all; fewer than half of
c. fewer than half of; all
d. some; no
e. almost three-fourths of; about three-fourths of
(Answer: e; p. 121; Moderate)

64. It has been shown that consumers will gladly provide research information when researchers provide _____.
a. coupons
b. money
c. value for the exchange
d. prizes
e. any of the above
(Answer: c; p. 122; Challenging)
65. The best approach for researchers to take to guard consumer privacy includes all of the following except which one?
a. Ask only for the information needed.
b. Use information responsibly to provide value.
c. Avoid sharing information without the customer's permission.
d. Sell the information only when it is worth it.
e. Fully explain to the respondents how the information will be used.
(Answer: d; p. 122; Easy)

66. Some companies often use study results as claims in their_____.
a. advertising
b. promotion
c. A and B
d. annual reports
e. all of the above
(Answer: c; p. 122; Easy)

67. Many research studies appear to be little more than vehicles for_____.
a. gathering names for resale
b. pitching the sponsor's products
c. building company image
d. tearing down competition
e. training future salespeople to work with people face-to-face
(Answer: b; p. 122; Moderate)

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68. Recognizing that surveys can be abused, several research associations have developed_____and _____.
a. research conduct; standards of ethics
b. codes of research ethics; standards of conduct
c. safeguards; public policy

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d. research ethics; safeguards
e. stiff fines; punishments for abusers
(Answer: b; p. 123; Challenging)

69. Which of the following statements is not true regarding information collected by marketers?
a. Managers lack information of the right kind.
b. Most managers do not need more information.
c. Most managers need better information.
d. Many managers are burdened by data overload.
e. Managers have the right information and they have enough of it.
(Answer: e; p. 97; Moderate)

70. The marketing information system can serve_____.
a. the company's marketing managers
b. suppliers
c. resellers
d. marketing services agencies
e. all of the above
(Answer: e; p. 97; Easy)

71. Which of the following statements regarding marketing intelligence is(are) true?
a. Marketing intelligence is privately held information.
b. Much intelligence is difficult or impossible to collect.
c. All marketing intelligence is free.
d. Marketing intelligence is publicly available information.
e. B and D
(Answer: d; p. 99; Moderate)

72. Managers often start with_____research and later follow with_____research.
a. exploratory; descriptive
b. exploratory; causal
c. descriptive; causal
d. A and B
e. all of the above
(Answer: d; p. 103; Challenging)

73. Secondary data are_____.
a. collected mostly via surveys
b. expensive to obtain
c. sometimes not reliable
d. never purchased from outside suppliers
e. always necessary to support or refute the primary data collected
(Answer: c; p. 105; Moderate)

74. Secondary data must be_____.
a. relevant
b. accurate
c. current

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d. impartial
e. all of the above
(Answer: e; p. 105; Easy)

75. Ethnographic research_____.
a. comes from traditional focus groups
b. provides greater insights into buying behavior

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c. provides secondary data
d. is most popular in the service sector
e. provides data to marketers when observation is impossible
(Answer: b; p. 106; Moderate)

76. In the last decade, Coach has ignored marketing research when designing new bags.
(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach's exhaustive market research has failed to pay off.
(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.
(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
(Answer: True; p. 98; Moderate)

81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort.
(Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to

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court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

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88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.
(Answer: True; p. 105; Moderate)

95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing.
(Answer: False; p. 108; Moderate)

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99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

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100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples.
(Answer: False; p. 110; Challenging)

102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.
(Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

1. Despite the data glut that marketing managers receive, they frequently complain that they lack_____.

a. enough information of the right kind

b. quality information

c. timely information

d. accurate and reliable information

e. valid information

(Answer: a; p. 97; Easy)

2. An MIS consists of people, equipment, and procedures to gather, sort,_____, evaluate, and distribute information to marketing decision makers.

a. test

b. test market

c. analyze

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d. critique

e. assess

(Answer: c; p. 97; Easy)

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3. Your firm has just developed its first successful MIS. It interacts with information users to assess information needs, develop needed information,_____the marketing information, and help managers use it in their decision making.

a. distribute

b. collect

c. retrieve

d. store

e. validate

(Answer: a; p. 97; Challenging)

4. The marketing information system is not limited to use by the company it serves. It may also provide information to_____.

a. the government

b. external partners

c. various publics

d. competitors

e. none of the above

(Answer: b; p. 97; Moderate)

5. Marketers must weigh carefully the costs of additional information against the_____resulting from it.

a. uses

b. benefits

c. knowledge

d. rewards

e. cost

(Answer: b; p. 98; Easy)

6. Four common sources of internal data include the accounting department, operations, the sales force, and the_____.

a. owners

b. stockholders

c. marketing department

d. custodians

e. quality control department

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(Answer: c; p. 99; Moderate)

7. Marketing information from this type of database usually can be accessed more quickly and cheaply than other information sources. Which one is it?

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a. External.

b. MDSS.

c. EIS.

d. Internal.

e. Field representatives.

(Answer: d; p. 99; Easy)

8. This systematic collection and analysis of publicly available information about competitors and developments in the marketing environment is very useful. What is it called?

a. Marketing data.

b. Marketing intelligence.

c. Web Master.

d. Sales and sales management.

e. Secondary data.

(Answer: b; p. 99; Moderate)

9. Which of the following was not mentioned in your textbook as a source of marketing intelligence?

a. Suppliers.

b. Resellers.

c. Key customers.

d. Your company reports.

e. Sales force.

(Answer: d; p. 101; Easy)

10. Which of the following was not mentioned in your textbook as a source of marketing intelligence?

a. Competitors' garbage.

b. Buying competitors' products.

c. Monitoring competitors' sales.

d. Checking for new goodwill.

e. Purchasing agents.

(Answer: d; p. 101; Moderate)

11. Your competitor may reveal intelligence information through which of these sources of

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information?

a. Annual reports.

b. Trade show exhibits.

c. Web pages.

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d. Press releases.

e. All of the above.

(Answer: e; p. 101; Easy)

12. In today's information age, companies are leaving a paper trail of information_____.

a. in the wastebasket

b. online

c. in annual reports

d. with government agencies

e. that is inaccessible

(Answer: b; p. 101; Moderate)

13. To combat marketing intelligence by competitors, Unilever Corporation is now providing_____to employees.

a. intelligence training

b. privacy blocks

c. protection

d. less information

e. none of the above

(Answer: a; p. 102; Moderate)

14. Which of the steps in the marketing research process has been left out: defining the problems and research objectives, implementing the research plan, and interpreting and reporting the findings?

a. Developing the research budget.

b. Choosing the research agency.

c. Choosing the research method.

d. Developing the research plan.

e. Comparing and contrasting primary and secondary data.

(Answer: d; p. 102; Moderate)

15. Your colleague is confused about using the marketing research process. He seems to be having problems with_____, which is often the hardest step to take.

a. defining the problem

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b. defining the research objectives

c. defining the problem and research objectives

d. researching a research agency to help

e. C and D

(Answer: c; p. 102; Moderate)

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16. The objective of_____research is to gather preliminary information that will help define the problem and suggest hypotheses.

a. descriptive

b. exploratory

c. causal

d. corrective

e. descriptive and exploratory

(Answer: b; p. 103; Easy)

17. It is important to note that research objectives must be translated into specific_____.

a. marketing goals

b. information needs

c. dollar amounts

d. results that justify the means

e. time allotments

(Answer: b; p. 103; Easy)

18. The research plan outlines sources of existing data and spells out the specific research approaches, contact methods,_____, and instruments that researchers will use to gather new data.

a. personnel

b. sampling plans

c. budget requirements

d. all of the above

e. none of the above

(Answer: b; p. 103; Moderate)

19. The way to begin marketing research is to gather secondary data, which consists of information _____.

a. that already exists somewhere

b. that does not currently exist in an organized form

c. that already exists somewhere, having been collected for another purpose

d. used by competition

e. that the researcher can obtain through surveys and observation

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(Answer: c; p. 103; Easy)

20. How would you describe the primary data being used by your firm?

a. Collected for the specific purpose at hand.

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b. Original information.

c. First-time information.

d. Fresh and perhaps more reliable than secondary data.

e. All of the above.

(Answer: e; p. 105; Easy)

21. Which form of data can usually be obtained more quickly and at a lower cost?

a. Primary.

b. Census.

c. Secondary.

d. Syndicated.

e. Tertiary.

(Answer: c; p. 105; Moderate)

22. Your assistant wants to use secondary data exclusively for the current research project. You advise him that the use of secondary data has some potential problems. Which of the following is not one of them?

a. It may not exist.

b. All of the needed data is rarely available.

c. It may not be useable.

d. It is generally more expensive when purchased from the government.

e. You do not know why it was originally collected.

(Answer: d; p. 105; Challenging)

23. Primary data must be relevant, current, unbiased, and_____.

a. complete

b. accurate

c. inexpensive

d. collected before secondary data

e. valid

(Answer: b; p. 105; Moderate)

24. Which method of research can obtain information that people are unwilling or unable to provide?

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a. Observation.

b. Focus groups.

c. Personal interviews.

d. Fax surveys.

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e. Questionnaires.

(Answer: a; p. 106; Easy)

25. Survey research, called the backbone of primary research, is the most widely used method for primary data collection and is best suited for gathering_____information.

a. personal

b. preference

c. attitude

d. descriptive

e. exploratory

(Answer: d; p. 107; Moderate)

26. Fredia Pellerano has just discovered the major advantage of survey research. She reports to her supervisor that it is_____.

a. flexibility

b. cost effectiveness

c. quickness to administer

d. understandability

e. simplicity

(Answer: a; p. 107; Moderate)

27. Experimental research is best suited for gathering_____information.

a. unknown

b. causal

c. complicated

d. interactive

e. descriptive

(Answer: b; p. 107; Challenging)

28. One of the following is not a current survey research method. It is contact by_____.

a. online use

b. mail

c. telephone

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d. fax

e. none of the above

(Answer: d; p. 107; Easy)

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29. All of the following are disadvantages of telephone interviewing except one. Which one?

a. Higher cost than mail questionnaires

b. Introduces interviewer bias

c. Under time pressures some interviewers might cheat

d. Interviewers tend to interpret answers similarly

e. A and C

(Answer: d; p. 108; Challenging)

30.
Currently, you find yourself involved in marketing research. The form you are using is flexible, allows explanation of difficult questions, and lends itself to showing products and advertisements. What is this form of research?

a. Personal interviewing.

b. Online interviewing.

c. Vision phone interviewing.

d. Mall intercepts.

e. None of the above.

(Answer: a; p. 108; Easy)

31. Which of the following is not an advantage of Web research?

a. Speed.

b. Low costs.

c. Instantaneous results.

d. All of the above.

e. A and C

(Answer: e; p. 109; Easy)

32. DelRay Pools and Spas is collecting marketing data through online (Internet) marketing research. Management will have the choice of using Internet surveys, experiments, or_____.

a. online focus groups

b. individual interviewing

c. hit counting

d. questionnaire responses

e. observations

(Answer: a; p. 109; Challenging)

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33. Judy Hammerschmidt regularly conducts online marketing research at work. She has found that it has several advantages over traditional methods. Which of these is not an advantage?

a. Respondents tend to be more honest.

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b. It is more cost efficient.

c. Report generation turnaround time is much quicker.

d. There is greater personal interaction.

e. Respondents cannot remain anonymous.

(Answer: d; p. 109; Challenging)

34. Marketing researchers usually draw conclusions about large groups of consumers by studying a small____of the total consumer population.

a. group

b. sample

c. population

d. target group

e. audience

(Answer: b; p. 110; Easy)

35. Why would In The Mood Music Distributors choose a sampling of its customers to research rather than all 1,500 of them?

a. Researching all of them is too time-consuming.

b. Researching all of them can be too expensive.

c. The sample can fairly represent the entire population.

d. The customers may all be similar.

e. All of the above.

(Answer: d; p. 110; Moderate)

36. Sampling requires the answers to three questions. Choose the inappropriate one.

a. Who is to be sampled (what sampling unit)?

b. How many people should be surveyed (what sample size)?

c. Why should they be sampled (justification)?

d. How should the people be chosen (what sampling method)?

e. None of the above.

(Answer: c; p. 110; Challenging)

37. The backbone of marketing research, or the most common instrument used, is the_____.

a. mechanical device

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b. live interviewer
c. questionnaire
d. teleinterviewer
e. Internet

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(Answer: c; p. 110; Easy)

38. In creating research questionnaires, which of the following is good advice for Mark Hammel, research specialist at New Wave Data, to follow?

a. Use care in the wording and ordering of questions.

b. Questions do not have to be arranged in a logical order.

c. Ask difficult questions in the beginning to "weed out" uninterested respondents.

d. Ask personal questions in the middle of the instrument.

e. Avoid eye contact as it may confuse the respondents.

(Answer: a; p. 111; Moderate)

39. Which of the following was not mentioned in your text as a common mechanical instrument used to conduct market research?

a. Supermarket scanners.

b. People meters.

c. Galvanometers and eye cameras.

d. Telephones.

e. e. B and C

(Answer: d; p. 111; Moderate)

40. At this point in your marketing research project, Mr. Barnes comments that the_____phase is generally the most expensive and the most subject to error.

a. exploratory research

b. hypothesis

c. data collection

d. interpreting and reporting the findings

e. data validation

(Answer; c; p. 113; Challenging)

41. AMF Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

a. Contacting respondents.

b. Respondents who refuse to cooperate or give biased answers.

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c. Interviewers who make mistakes or take shortcuts.

d. Interpreting and reporting the findings.

e. Primary data that conflict with secondary data.

(Answer: d; p. 112; Challenging)

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42. Researchers interpret and report findings to their managers. What might be a typical problem the researcher might encounter when discussing the findings?

a. Managers may be biased.

b. Managers may accept results that support their preconceived notions.

c. Managers may interpret the findings differently.

d. Managers may not believe the findings.

e. All of the above.

(Answer: e; p. 113; Easy)

43. Analytical models help analyze marketing information collected from research. These models can help answer_____and_____questions.

a. short; simple

b. what if; which is best

c. relevant; current

d. advanced; difficult

e. none of the above

(Answer: b; p. 113; Challenging)

44. What is the purpose of a data warehouse?

a. To gather information.

b. To integrate information a company already has.

c. To interpret data.

d. To analyze data.

e. To discard old data.

(Answer: b; p. 114; Moderate)

45. Tommy Baker is in charge of customer relationship management for American Pie Nostalgia. As a result of his effort in this area, his firm enjoys all of the following except_____.

a. providing higher levels of customer service

b. developing deeper customer relationships

c. creating offers tailored to specific customer requirements

d. understanding competition better

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e. understanding how to better build the marketing mix

(Answer: d; p. 114; Moderate)

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46. Hiro Chan knows that when CRM works well at his company, the benefits far outweigh the _____ and_____.

a. time; costs

b. time; risks

c. efforts; costs

d. costs; risks

e. efforts; risks

(Answer: d; p. 115; Moderate)

47. Siebel Systems claims that firms using its CRM software report an average of_____percent increase in revenues and_____percent increase in customer loyalty and staff efficiency.

a. 14; 16

b. 15; 18

c. 16; 20

d. 16; 21

e. 20; 30

(Answer: d; p. 115; Challenging)

48. Marketing information has no value until it is used to_____.

a. satisfy company objectives

b. make better marketing decisions

c. make management's job easier

d. please stockholders

e. please customers

(Answer: b; p. 115; Easy)

49. This source of marketing information provides ready access to research information, stored reports, shared work documents, contact information for employees and other stakeholders, and more. What do we call this?

a. A intranet.

b. An extranet.

c. The Internet.

d. An internal database.

e. Marketing intelligence.

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(Answer: a; p. 115; Moderate)

50. For conservative small businesses and not-for-profit organizations, good marketing information may be collected by simple_____.

a. purchase

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b. observation

c. questioning

d. surveying

e. focus groups

(Answer: b; p. 117; Easy)

51. When managers use small convenience samples such as asking customers what they think or inviting a small group out to lunch to get reactions, they are using_____.

a. informal surveys

b. experiments

c. observation

d. focus groups

e. marketing intelligence

(Answer: a; p. 117; Moderate)

52. Small organizations can obtain most of this type of data available to large businesses with minimal effort. What type is it?

a. Census.

b. The Internet.

c. Secondary.

d. Primary.

e. Business. (Answer:

c; p. 117; Moderate)

53. You have been asked to locate secondary data for current research needs. Which of the following is not a common source for this type of research?

a. The business section at the local library.

b. The U.S. Small Business Administration.

c. The Internet.

d. INS records.

e. The local Chamber of Commerce.

(Answer: d; p. 117; Easy)

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54. A common problem in international marketing research is the availability of_____.

a. primary data

b. research specialists

c. secondary data

d. intelligence limitations

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e. consumers across cultures to answer surveys

(Answer: c; p. 118; Challenging)

55. In general, domestic researchers deal with fairly homogeneous markets. Foreign markets present the challenges of varying levels of economic development, cultures and customs, and_____.

a. import regulations

b. buying patterns

c. dislike of American goods

d. language barriers

e. social perceptions

(Answer: b; p. 118; Moderate)

56. Because of the scarcity of good secondary data, international researchers often must collect their own primary data. An initial problem with this collection is finding and developing good_____.

a. representative samples

b. research firms

c. rapport with nationals

d. relations with channel members

e. communication methods

(Answer: a; p. 118; Moderate)

57. What do many researchers encounter when conducting market research in foreign countries?

a. Some countries have few telephones that limit access to respondents.

b. Some countries have poor mail services.

c. Some countries have poor roads that limit personal contacts.

d. Some foreign cultures may not understand the value of marketing data.

e. All of the above.

(Answer: e; p. 118; Easy)

58. Cultural differences, especially involving language, can add to research costs in foreign markets and can increase the_____.

a. foreign trade

b. risks of error

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c. likelihood of not finding a translator

d. likelihood that a smaller sample could be used

e. none of the above

(Answer: b; p. 119; Moderate)

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59. A common problem researchers find when going international is that consumers vary in their _____marketing research.

a. understanding of

b. beliefs in

c. attitudes toward

d. appreciation of

e. any of the above

(Answer: e; p. 119; Easy)

60. Even when respondents in other countries are willing to respond to research questions, they may not be able to because of_____.

a. high functional illiteracy rates

b. language barriers

c. lack of availability

d. limitations imposed by government

e. B and D

(Answer: a; p. 119; Easy)

61. Anna Gregory just completed reading a marketing research report about the top 25 countries that purchase American products. What might the report say about international research with these countries?

a. It is on the decrease due to high costs.

b. The costs are higher than the benefits.

c. There is a lack of qualified research personnel.

d. There is a growth in international research, and the costs of not doing it are high.

e. Their interpretations of American quality are about the same.

(Answer: d; p. 119; Moderate)

62. Choose the statement that is not a typical consumer reaction to intrusion on consumer privacy.

a. Sophisticated researchers probe our deepest feelings.

b. Marketers use this information to manipulate our buying.

c. Marketers build huge databases full of personal information.

d. Marketers make too many products and services available—it's confusing.

e. None of the above.

(Answer: d; p. 119; Easy)

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63. Your text points out that_____Americans worry that companies have too much of consumers' personal information and that_____Americans feel their privacy is compromised if that information is used to sell products.

a. fewer than half of; fewer than half of

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b. all; fewer than half of

c. fewer than half of; all

d. some; no

e. almost three-fourths of; about three-fourths of

(Answer: e; p. 121; Moderate)

64. It has been shown that consumers will gladly provide research information when researchers provide__.

a. coupons

b. money

c. value for the exchange

d. prizes

e. any of the above

(Answer: c; p. 122; Challenging)

65. The best approach for researchers to take to guard consumer privacy includes all of the following except which one?

a. Ask only for the information needed.

b. Use information responsibly to provide value.

c. Avoid sharing information without the customer's permission.

d. Sell the information only when it is worth it.

e. Fully explain to the respondents how the information will be used.

(Answer: d; p. 122; Easy)

66. Some companies often use study results as claims in their_____.

a. advertising

b. promotion

c. A and B

d. annual reports

e. all of the above

(Answer: c; p. 122; Easy)

67. Many research studies appear to be little more than vehicles for_____.

a. gathering names for resale

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b. pitching the sponsor’s products

c. building company image

d. tearing down competition

e. training future salespeople to work with people face-to-face

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(Answer: b; p. 122; Moderate)

68. Recognizing that surveys can be abused, several research associations have developed _____ and_____.

a. research conduct; standards of ethics

b. codes of research ethics; standards of conduct

c. safeguards; public policy

d. research ethics; safeguards

e. stiff fines; punishments for abusers

(Answer: b; p. 123; Challenging)

69. Which of the following statements is not true regarding information collected by marketers?

a. Managers lack information of the right kind.

b. Most managers do not need more information.

c. Most managers need better information.

d. Many managers are burdened by data overload.

e. Managers have the right information and they have enough of it.

(Answer: e; p. 97; Moderate)

70. The marketing information system can serve_____.

a. the company's marketing managers

b. suppliers

c. resellers

d. marketing services agencies

e. all of the above

(Answer: e; p. 97; Easy)

71. Which of the following statements regarding marketing intelligence is(are) true?

a. Marketing intelligence is privately held information.

b. Much intelligence is difficult or impossible to collect.

c. All marketing intelligence is free.

d. Marketing intelligence is publicly available information.

e. B and D

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(Answer: d; p. 99; Moderate)

72. Managers often start with_____research and later follow with_____research.

a. exploratory; descriptive

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b. exploratory; causal
c. descriptive; causal
d. A and B
e. all of the above
(Answer: d; p. 103; Challenging)

73. Secondary data are_____.
a. collected mostly via surveys
b. expensive to obtain
c. sometimes not reliable
d. never purchased from outside suppliers
e. always necessary to support or refute the primary data collected
(Answer: c; p. 105; Moderate)

74. Secondary data must be_____.
a. relevant
b. accurate
c. current
d. impartial
e. all of the above
(Answer: e; p. 105; Easy)

75. Ethnographic research_____.
a. comes from traditional focus groups
b. provides greater insights into buying behavior
c. provides secondary data
d. is most popular in the service sector
e. provides data to marketers when observation is impossible
(Answer: b; p. 106; Moderate)

76. In the last decade, Coach has ignored marketing research when designing new bags.
(Answer: True; p. 96; Easy)

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77. Many analysts believe that Coach's exhaustive market research has failed to pay off. (Answer: True; p. 96; Easy)

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78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.

(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.

(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.

(Answer: True; p. 98; Moderate)

81. Too much information can be as harmful as too little.

(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.

(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.

(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort.

(Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

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(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.

(Answer: True; p. 101; Moderate)

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88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."

(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.

(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."

(Answer: True; p. 102; Easy)

91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.

(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.

(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.

(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.

(Answer: True; p. 105; Moderate)

95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.

(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.

(Answer: True; p. 107; Moderate)

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97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.

(Answer: False; p. 108; Moderate)

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98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing.

(Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.

(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.

(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples.

(Answer: False; p. 110; Challenging)

102. Marketers all agree that questionnaires are the most common research instrument.

(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.

(Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).

(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.

(Answer: False; p. 114; Challenging)

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106. Discuss the functions of a marketing information system (MIS).

A typical MIS consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers. First, it interacts with information users to assess information needs. Next, it develops needed information from internal company databases, marketing intelligence activities, and marketing research. Then it helps users to

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analyze information to put it in the right form for making marketing decisions and managing customer relationships. Finally, the MIS distributes the marketing information and helps managers use it in their decision making.

(p. 97; Moderate)

107. Marketers can obtain needed information from internal data, marketing intelligence, and marketing research. Explain some common sources for each of these.

Internal databases are built upon statements and records from the accounting department. Operations reports on production-related issues. Sales and marketing provide data on resellers, competitors, buyer behavior, and the industry. These are cheaper sources that are easy to access. Marketing intelligence is a collection and analysis of publicly available data about competitors and developments in the industry. It can come from quizzing employees, studying their ads and annual reports, and analyzing their products. Marketers often need formal studies of specific situations where they seek sources of secondary and primary data to form decisions. The processes and methods used to collect the data should fit the purpose and budget of the researching firm.

(p. 99; Moderate)

108. Describe the basic marketing research process.

The marketing research process involves: defining the problem and research objectives, developing the plan, implementing the plan, and interpreting and reporting the findings. Managers must know what is wrong and the causes in defining the problem. Objectives must be reached: exploratory, descriptive, and causal research. Next, the information needed and a plan for gathering and presenting is made. Then, secondary and primary data must be collected to compile and analyze. The important information must be presented to management for decision making.

(p. 102; Moderate)

109. Provide the advantages/benefits of each of the contact methods.

Mail questionnaires can be used to collect large amounts of information at a low cost per respondent. Respondents may give more honest answers to more questions than to an unknown interviewer in person or on the phone. Also, no interviewer is involved to bias the answers. Telephone interviewing is one of the best methods for gathering information quickly and provides great flexibility. Interviewers can explain difficult questions, skip questions, or probe on other questions. Rates of response tend to be higher than mail methods. Personal and group interviewing allow interviewers to guide respondents and explore issues as they evolve, and they are flexible. Visual aids can be used, products can be demonstrated, and reactions and behaviors can be observed. Computer-assisted interviewing aids in eliminating interviewer bias. Online methods allow the person to be more honest, the costs are greatly reduced, and reports come back faster.

(p. 107; Challenging)

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110. What would a researcher need to know about drawing conclusions about large groups of consumers by studying a small sample of the total population?

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First, it is imperative to determine who is to be surveyed. Next, we must determine the sample size by deciding how many people need to be surveyed. Third, the sampling procedure should be chosen to know how the respondents should be chosen. The correct combination of secondary and primary data should be researched to provide reliable information.

(p. 110; Easy)

111. How can a company overcome the problem of gathering internal data for research purposes when it is usually scattered widely across the organization?

Many companies are using customer relationship management (CRM). CRM offers the benefits of managing detailed information about individual customers and carefully managing customer "touch points" in order to maximize customer loyalty. By using sophisticated software and analytical tools, information about customers can be integrated from all sources and analyzed in depth, and the results can be applied to build stronger customer relationships. CRM integrates everything that a company's sales, service, and marketing teams know about individual customers to provide a 360-degree view of the customer relationship.

(p. 113; Challenging)

112. Explain the common problems that international marketing researchers encounter.

International researchers deal with less homogeneous markets in and among countries. The markets often vary greatly in their levels of economic development, their cultures and customers, and their buying patterns. Good secondary data are difficult to find in many foreign markets. More time and expense is involved in gathering primary data. In addition, choosing representative samples and finding methods of contacting them can be a formidable task. Cultural and language differences can present obstacles in interpreting the data and drawing realistic conclusions. Consumers' attitudes in other countries may hinder the process of collection.

(p. 118; Challenging)

113. Compare and contrast closed-end questions and open-end questions for gathering data.

Closed-end questions make it easier for respondents to choose among relevant answers. They are also easier for the researcher to interpret and tabulate. Open-end questions allow respondents to answer in their own words and as such do not limit their choices.

(p. 111; Easy)

114. Explain the importance of information to the company and its understanding of the marketplace.

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The marketing process starts with a complete understanding of the marketplace and consumer needs and wants. Thus, the company needs sound information in order to produce superior value and satisfaction for consumers. The company also requires information on competitors, resellers, and other actors and forces in the marketplace. Increasingly, marketers are viewing information not only as an input for making better decisions but also as an important strategic asset and marketing tool.

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(p. 124; Moderate)

115. Discuss the special issues some marketing researchers face, including public policy and ethics issues.

Some marketers face special marketing research situations, such as those conducting research in small business, nonprofit, or international situations. Marketing research can be conducted effectively by small businesses and nonprofit organizations with limited budgets. International marketing researchers follow the same steps as domestic researchers but often face more and different problems. All organizations need to respond responsibly to major public policy and ethical issues surrounding marketing research, including issues of intrusions on consumer privacy and misuse of research findings.

(p. 116; Challenging)

APPLICATION CONTENT: Multiple-Choice Questions

116. You have decided to model your marketing strategy after Coach's strategy. You recognize that it is time for an extreme makeover. Where do you start?

a. Being with a price change.

b. Begin with a package change.

c. Add new and improved features to your products.

d. Begin with marketing research.

e. None of the above.

(Answer: d; p; 96; Moderate)

117. A good MIS balances the information users would_____against what they really_____and what is_____.

a. need; like; feasible

b. like; can afford; needed

c. like to have; need; feasible to offer

d. need; can afford; useful

e. use; have to use; available

(Answer: c; p. 98; Challenging)

118. Harold Younger has found that his MIS at work sometimes cannot provide the information his firm needs. If the reasons are not because it is not available, or cost is not a problem, then what must the reason be?

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a. MIS limitations.

b. Lack of knowledge of using it.

c. Faulty equipment.

d. All of the above.

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e. None of the above.

(Answer: a; p. 98; Moderate)

119. Diana Dion is currently researching data sources from within her company to make marketing decisions. Diana is making use of_____databases.

a. external

b. current

c. historical

d. internal

e. foreign

(Answer: d; p. 99; Easy)

120. Your marketing department is attempting to improve strategic decision making, assess and track competitors' actions, and provide early warning of opportunities and threats. Your department would do well to use_____.

a. internal databases

b. external databases

c. marketing intelligence

d. the Internet

e. company reports only

(Answer: c; p. 99; Challenging)

121. Harvard University is using the systematic design, collection, analysis, and reporting of data relevant to marketing its programs to minority students. What do we call this?

a. Promotion.

b. Self-study.

c. Marketing research.

d. Cost-benefit analysis.

e. Identifying the target market.

(Answer: c; p. 102; Challenging)

122. Patti Lovelace is making a presentation to the owners of her company. She is trying to convince them to conduct some current marketing research. Which of the following would she NOT emphasize as a benefit or selling point?

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a. Assess market potential and market share.
b. Understand customer satisfaction and purchase behavior.
c. Measure the effectiveness of pricing and accounting.
d. Measure the effectiveness of distribution and promotion activities.
e. None of the above.

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(Answer: c; p. 102; Challenging)

123. You are to the point of testing hypotheses about decreasing sales in certain markets and their causes. You are involved in what type of research?

a. Exploratory.

b. Descriptive.

c. Causal.

d. Focus group.

e. Market.

(Answer: c; p. 103; Easy)

124. Loft Industries sells roof trusses to contractors and builders and uses observation in its marketing research. Which of the following methods would be best for this firm?

a. People meters.

b. Checkout scanners.

c. Cookies.

d. Mechanical observation.

e. Marketing intelligence.

(Answer: d; p. 111; Challenging)

125. ABC Company has decided to use mail questionnaires to collect large amounts of information. Management recognizes this method has all the following advantages except one. Can you locate it?

a. Low cost per respondent.

b. May provide more honest answers.

c. Has an average response rate.

d. No interview to bias respondents' answers.

e. B and D

(Answer: c; p. 107; Challenging)

126. Focus group interviewing has become one of the major marketing research tools for getting insight into consumer thoughts and feelings. However, if the sample size is small, it may be difficult to _____.

a. find a representative sample

b. generalize from the results

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c. administer the questions

d. orchestrate cooperation

e. find enough secondary data to support the findings

(Answer: b; p. 108; Moderate)

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127. Typically, customer information is buried deep in separate databases, plans, and records of many different company functions and departments. To overcome such problems, which of the following could you try?

a. Customer satisfaction measurement.

b. More sophisticated software.

c. Customer relationship management.

d. Synergetic meetings of the minds.

e. Avoid marketing intelligence.

(Answer: c; p. 113; Moderate)

128. As a small business consultant, you recommend to your clients that they use the no-cost method of observation to gather market research. Which of the following are you NOT likely to recommend they do?

a. Observe vehicle and pedestrian traffic.

b. Monitor competitors' advertising from local media.

c. Evaluate their customer mix—how many and what kind of customers.

d. Hire additional staff to observe extensively.

e. A and B

(Answer: d; p. 106; Easy)

129. Juanita Petino operates a dress shop in a suburban mall. Her research budget is very small, and thus she utilizes low-cost or no-cost methods to gather research data. One method that works very well for her is to change the themes in her local newspaper and radio advertising and watch the result. Juanita is using_____to gather data for marketing decisions.

a. informal surveys

b. experiments

c. guess work

d. logic-directed research

e. causal analysis

(Answer: b; p. 107; Easy)

130. A recent article in the Wall Street Journal commented on two major public policy and ethical issues in marketing research. What are they?

a. Child pornography and spam.

b. Intrusions on consumer privacy and misuse of research findings.

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c. Misuse of research findings and spam.

d. Selling of personal information to other firms and intrusions on consumer privacy.

e. Ethnography and the misinterpretation of it.

(Answer: b; p. 119; Challenging)

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131. American Express views privacy as a way to gain_____.

a. higher customer approval

b. higher sales

c. loyalty

d. a competitive advantage

e. B and C

(Answer: d; p. 122; Challenging)

132. For a marketer deciding where to relocate within the city, the research will most likely use _____.

a. traffic-flow patterns in specific areas

b. lifestyle characteristics found in the city

c. past sales data

d. competitors' sales data

e. ways to repackage the marketer's products

(Answer: a; p. 103; Easy)

133. Fifty percent of the respondents surveyed preferred diet soft drinks over regular soft drinks. Fifty percent of those preferring diet soft drinks were also smokers; fifty percent of those preferring regular soft drinks were smokers. A researcher might conclude that_____.

a. Smokers are more weight-conscious than nonsmokers.

b. There is no correlation between preferring diet soft drinks and being a smoker.

c. Most nonsmokers will eventually prefer diet soft drinks.

d. There is too much information but it is the wrong kind.

e. Manufacturers of diet soft drinks should target smokers.

(Answer: b; p. 113; Challenging)

134. You want to find out whether Americans between 21 and 40 years of age tend to vote democratic and whether Americans between 41 and 70 tend to vote republican. You will most likely use _____to collect your data.

a. observation

b. mechanical devices

c. a sample

d. people meters

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e. checkout scanners

(Answer: c; p. 110; Moderate)

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135. You have decided to use only closed-end questions on your survey. Which of the following questions would not be found on your survey?

a. Do you like chocolate?

b. What is your gender?

c. Do you work full- or part-time?

d. Why don't you like your teacher?

e. In what month do you plant your garden?

(Answer: d; p. 111; Moderate)

Short Answer

136. Briefly explain the following statement: "Too much information can be as harmful as too little."

Too much information may prohibit the marketers from clearly applying the data/information to their objectives, or the excess information may lead the marketers to lose sight of the objectives.

(p. 98; Moderate)

137. When do marketers need marketing research?

Marketing research becomes important when marketing intelligence cannot provide the detailed information needed.

(p. 102; Easy)

138. Would the objective of exploratory research, descriptive research, or causal research be most important when attempting to identify which demographic groups prefer diet soft drinks?

Descriptive research would be most important.

(p. 103; Easy)

139. Would the objective of exploratory research, descriptive research, or causal research be most important when attempting to determine whether shoppers in the Midwest are more sensitive to a price increase for laundry soap than shoppers on the East Coast?

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Causal research would be most important; causal research would allow the research to compare the differences in the two geographic regions.

(p. 103; Challenging)

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140. According to the text, what guides the entire research process?

The statement of the problem and research objectives guides the entire process.

(p. 103; Easy)

141. Sales have dropped at XYZ Corporation. Give two specific pieces of information for which the research might call.

The researcher will likely want to find out whether the number of competitors has increased and/or whether current competitors have changed their marketing strategies.

(p. 103; Challenging)

142. You want to determine whether no-smoking policies have impacted employee morale in the United States in the past few years. Are any secondary data likely available? Why?

Yes, there are likely to be several studies conducted from which the researcher could extract information because many companies have implemented no-smoking policies in recent years.

(p. 103; Challenging)

143. You want to determine whether no-smoking policies have impacted employee morale in the United States among workers in companies that employ fewer than 50 workers in Fort Wayne, Indiana. Are any secondary data likely available? Why?

Because the data sought are much more specific than in question #142, there will likely not be much, if any, data that specifically answer the question.

(p. 103; Challenging)

144. You have decided to run for a local political office. You want to hand-deliver campaign materials in person to the homes of voters. Explain how marketing intelligence plays a role in this scenario.

You must have a system for knowing where the voters live; merely knocking on every door would be inefficient. You need a list of registered voters and their addresses from which you can plan your visits.

(p. 99; Challenging)

145. Give an example of primary data that could effectively be collected via observation.

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Answers will vary. Observing the purchase of lottery tickets or diet soft drinks, for example, among genders or age groups could be observed with little error.

(p. 106; Moderate)

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146. How might survey research be a better approach than observation research when attempting to assess customer satisfaction?

Survey research is more effective than observation in measuring customer satisfaction because observing smiling customers or armloads of merchandise, for example, does not necessarily indicate customer satisfaction.

(p. 107; Moderate)

147. Among mail, telephone, and personal interviewing, which provides the poorest response rate?

Mail.

(p. 107; Easy)

148. Among mail, telephone, and personal interviewing, which provides the greatest quantity of data that can be collected?

Personal interviewing.

(p. 108; Easy)

149. A marketer of frozen dinners has decided to collect consumer feedback via a focus group interview. How might the marketer know for certain whether peas or green beans should be included with the turkey entrée?

The group might be given a prepared meal with both vegetable options. Afterward, the marketer can obtain fresh feedback from the respondents—or, through observation, the marketer could assess respondents' reactions and facial expressions while eating.

(p. 108; Challenging)

150. How can a marketer determine whether his or her sample is too small?

Proper sample size is difficult to determine; however, the sample may be too small when the data collected are all vastly different or, perhaps, too similar.

(p. 110; Moderate)

151. A researcher is collecting data in an airport. Why might a sample be most appropriate?

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People in an airport are often in a hurry; not everyone will want to participate in providing data. Therefore, the researcher may be satisfied with collecting data from whoever is willing to provide it.

(p. 110; Easy)

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152. You are trying to determine whether retired people drink more coffee at McDonald's during lunch than they do during dinner. Why is observation research not effective in this scenario?

It is difficult to determine, just by looking, whether people are retired.

(p. 106; Easy)

153. How would you design the sample to use in the scenario in question #152? Explain.

The sample must include respondents based on work status. From there, the researcher can select a random sample from among the retired respondents.

(p. 110; Moderate)

154. Give an example of a closed-end question.

Closed-end questions force respondents to answer with a limited number of options. Examples include: What is your gender? Do you prefer McDonald's to Burger King? Do you like spinach?

(p. 111; Easy)

155. Give two assumptions that a researcher may make when relying on online databases.

The researcher assumes that the data are updated, valid, and accurately presented.

(p. 105; Easy)

Scenario

Jason West, owner of A-1 Cleaning, began his enterprise in 2001. Jason's primary focus had been on office cleaning for large corporations. But in recent months Jason has seen a decline in demand for office cleaning. Surprisingly, the competitive environment appears relatively stable with no new competitors. However, Jason understands that office cleaning is a high-frequency service that is usually performed daily; therefore, competitors must be doing something to attract his customers. Building a competitive advantage seems to be the only option to offset competition. But as Jason pondered his dilemma, he realized that he needed to better understand how customers assess service quality and what they are looking for in a superior cleaning service, prior to building his competitive advantage.

Jason developed a research plan. First, he gathered competitor information—primarily through pamphlets, but also from a few phone calls—to find out exactly what competitors offer in their cleaning packages. In addition, Jason obtained from the area Chamber of Commerce an updated list of local

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corporations to which he would send a short survey.

Though the list of corporations contained 141 local company names, Jason chose to survey 75 of them. To better understand customer service expectations between both small and large corporations, Jason divided his surveys into two categories. The survey questions were designed to extract specific data from respondents with regard to service quality expectations in correlation to service frequency and price.

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Jason awaited the results. Though his primary focus had been on large corporations, he was flexible at this point to aim his efforts differently if needed.

156. What type(s) of marketing intelligence, if any, did Jason West use in this scenario?

Jason obtained intelligence information through competitors' pamphlets and through a few phone calls made directly to the competitors.

(p.99; Moderate)

157. How did Jason know he needed marketing research?

Jason felt that he did not fully know what makes customers happy; therefore, he wanted to become better aware of what customers look for in a cleaning service and how those customers measure service quality. In addition, he wanted to find out whether he should continue to focus only on large corporations or, perhaps, change his focus.

(p. 102; Challenging)

158. In what way(s) did Jason's project require descriptive data?

The primary descriptive data being sought in Jason's project included the customers' attitudes toward service quality and their expectations from cleaning service providers.

(p. 103; Moderate)

159. In what way(s) did Jason's project require causal research?

Jason used his survey to determine whether large corporations and small corporations utilize cleaning services differently; in addition, he used his survey to find out whether buyers of cleaning services perceive service quality differently between small and large corporations.

(p. 103; Challenging)

160. What type(s) of secondary data did Jason collect?

The list of local companies provided by the area Chamber of Commerce constitutes a major source of secondary data in this scenario.

(p. 103; Easy)

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161. Could Jason have collected observational research effectively? Explain.

Collecting observational data within a business environment may have been difficult from the start. However, individuals' perceptions of service quality and customer satisfaction are difficult to observe.

(p. 106; Moderate)

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162. What types of contact methods did Jason utilize in this scenario?

He utilized the telephone to obtain competitor information early in the scenario. Further, he relied heavily on his mailed survey in order to get the respondents' feelings about service quality.

(p. 107; Easy)

163. Why might Jason have purposefully avoided collected data via online research?

As with any online data collection project, respondents may be less likely to complete a survey than if a survey is sent to them via mail. In addition, Jason wanted to control who was included in the sample; online data collection does not always guarantee that. Online surveys might work well in reaching hard-to-reach respondents; but, in this scenario, Jason knew exactly whom he had to contact and where he could contact them.

(p. 109; Challenging)

164. Of the 141 companies on the list, Jason chose to survey only 75 of them. How might he have chosen this sample?

Though the case does not specify, Jason may have selected the 75 companies just based on convenience. Nonetheless, he obviously selected those 75 companies because he felt assured that they accurately reflected the typical type of businesses that he would want to target with his cleaning service.

(p. 110; Challenging)

165. How might Jason assure ethical conduct toward his respondents?

Jason might have included a disclosure statement on his survey, indicating that all information would be kept confidential, that the project was not a sales gimmick, that he was not building a database to be provided to any outside party, and that respondents could call him directly if any further questions arose.

(p. 119; Easy)

1. What is the name of the company that makes the top-selling heavyweight motorcycles?
   a. Yamaha
   b. Kawasaki
   c. Honda American Classic
   d. Harley-Davidson
   e. BMW
   (Answer: d; p. 127; Easy)

   2. The average Harley customer is_____.

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a. the Hell's Angels crowd
b. a young adult in his or her twenties
c. a teenager
d. a 46-year-old husband with a median household income
e. a Generation Xer with above-average income
(Answer: d; p. 128; Moderate)

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3. What is not a universal Harley appeal?
a. Freedom.
b. Dependence.
c. Power.
d. Baddest guy on the block.
e. C and D
(Answer: b; p. 128; Easy)

4. _____is never simple, yet understanding it is the essential task of marketing management.
a. Brand personality
b. Consumption pioneering
c. Early adoption
d. Consumer buying behavior
e. Understanding the difference between primary and secondary data
(Answer: d; p. 128; Easy)
5. Most large companies research_____buying decisions to find out what they buy, where they buy, how and how much they buy, when they buy, and why they buy.
a. market
b. permanent
c. consumer
d. social
e. group
(Answer: c; p. 129; Easy)

6. How do consumers respond to various marketing efforts the company might use? The starting point is the_____of a buyer's behavior.
a. belief
b. subculture
c. postpurchase feeling
d. stimulus-response
e. postpurchase dissonance
(Answer: d; p. 129; Challenging)

7. Marketing stimuli consist of the four Ps. Which is not one of these Ps?
a. Product.
b. Political.
c. Price.
d. Promotion.
e. Place.
(Answer: b; p. 129; Easy)

8. Which is NOT a part of the buyer's black box?
a. Observable buyer responses.
b. Product choice.
c. Need recognition.

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d. Dealer choice.
e. B and D
(Answer: c; p. 129; Challenging)

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9. The marketer wants to understand how the stimuli are changed into responses inside the consumer's_____, which has two parts. First, the buyer's characteristics influence how he or she perceives and reacts to the stimuli. Second, the buyer's decision process itself affects the buyer's behavior.
a. culture
b. black box
c. belief
d. lifestyle
e. social class
(Answer: b; p. 129; Moderate)

10. _____is(are) the most basic cause of a person's wants and behavior.
a. Culture
b. Brand personality
c. Cognitive dissonance
d. New product
e. Selective perception
(Answer: a; p. 129; Moderate)

11. Marketers are always trying to spot_____in order to discover new products that might be wanted.
a. lifestyles
b. cultural shifts
c. groups
d. dissonance
e. attitudes
(Answer: b; p. 130; Challenging)

12. Each culture contains smaller_____, or groups of people with shared value systems based on common life experiences and situations.
a. alternative evaluations
b. cognitive dissonances
c. subcultures
d. motives
e. attitudes
(Answer: c; p. 130; Moderate)

13. Four important subcultures mentioned by the author include all except_____.
a. Hispanics
b. African Americans
c. mature consumers
d. opinions leaders
e. Asian Americans
(Answer: d; p. 130; Easy)

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14. Which is not included in the U.S. Hispanic market?
a. Americans of Cuban descent.
b. Mexicans.
c. Spaniards.

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d. Those of Puerto Rican descent.
e. B and D
(Answer: c; p. 130; Easy)
15. _____consumers tend to buy more branded, higher-quality products. They are very brand loyal, and they favor companies who show special interest in them.
a. Hispanic
b. African American
c. Asian
d. Mature
e. Gay and lesbian
(Answer: a; p. 130; Challenging)

16. Although more price-conscious than other segments,_____consumers are also strongly motivated by quality and selection. They place more importance on brand names, are more brand loyal, and do less "shopping around."
a. Hispanic
b. African American
c. mature
d. Asian
e. baby boomer
(Answer: b; p. 131; Challenging)

17. Per capita,_____consumers spend twice as much as_____consumers for online services.
a. white; Asian
b. black; white
c. black; Asian
d. white; black
e. mature; black
(Answer: b; p. 131; Challenging)

18. _____, the fastest-growing and most affluent U.S. demographic segments, now number more than 10 million.
a. African American
b. Hispanics
c. Asian Americans
d. Mature consumers
e. Gays and lesbians
(Answer: c; p. 131; Challenging)

19. _____are becoming a very attractive market: they are the ideal market for exotic travel, restaurants, high-tech home entertainment products, leisure goods and services, and designer furniture and fashions.
a. Hispanic
b. Asian Americans
c. Mature consumers

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d. African Americans
e. Teenagers
(Answer: c; p. 132; Moderate)

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20. Which is not true of mature consumers?
a. The best strategy is to appeal to their active, multidimensional lives.
b. They are an ideal market for exotic travel.
c. High-tech home entertainment products appeal to them.
d. They place more importance on brand names and are more brand loyal.
e. A and C
(Answer: d; p. 132; Moderate)

21. _____are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.
a. Social classes
b. Purchase decisions
c. Perceptions
d. Attitudes
e. Lifestyles
(Answer: a; p. 132; Easy)

22. What is one way that a social class is not measured?
a. Occupation.
b. Education.
c. Income.
d. Number of children in the family.
e. House type.
(Answer: d; p. 132; Easy)

23. _____are ones to which the individual wishes to belong, as when a teenage basketball player hopes to play someday for the Los Angeles Lakers.
a. Membership groups
b. Aspirational groups
c. Reference groups
d. Leisure groups
e. Social class groups
(Answer: b; p. 133; Easy)

24. _____are people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert influence on others.
a. Opinion leaders
b. Habitual buyers
c. Charismatic personalities
d. Perceptionists
e. Wild ducks
(Answer: a; p. 133; Easy)

25. _____marketers are now taking to the streets, as well as cafes, nightclubs, and the Internet, in record numbers. Their goal: to seek out the trendsetters in each community and subtly push them

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into talking up a specific brand to their friends and admirers.
a. Family
b. Buzz
c. Personality
d. Opinion

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e. Relationship
(Answer: b; p. 133; Easy)

26. The_____is the most important consumer buying organization in society. Marketers are interested in the roles and influence of the husband, wife, and children on the purchase of different products and services.
a. family
b. social class
c. opinion leader
d. information search
e. reference group
(Answer: a; p. 134; Easy)

27. A_____consists of the activities people are expected to perform according to the persons around them.
a. motive
b. role
c. lifestyle
d. perception
e. tradition
(Answer: b; p. 135; Easy)

28. People often buy the kind of clothing that shows their_____in society.
a. attitude
b. status
c. learning
d. motive
e. lifestyle
(Answer: b; p. 135; Easy)

29. A buyer's decisions also are influenced by_____such as the buyer's age and life-cycle stage, occupation, economic situation, lifestyle, and personality and self-concept.
a. personal characteristics
b. learning
c. habitual buying behavior
d. variety-seeking buying behavior
e. psychographics
(Answer: a; p. 135; Moderate)

30. People change the goods and services they buy over time because of two important factors. They are_____.
a. belief and attitude
b. perception and personality
c. age and life-cycle stage
d. groups and learning

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e. family and tradition
(Answer: c; p. 135; Moderate)

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31. _____is a person's pattern of living as expressed in his or her psychographics.
a. Personality
b. Culture
c. Lifestyle
d. Motive
e. Social class
(Answer: c; p. 136; Easy)

32. All of the following make up a person's lifestyle except_____.
a. AIO dimensions
b. interests
c. dissonance-reducing buying behavior
d. opinions
e. C and D
(Answer: c; p. 136; Moderate)

33. Several research firms have developed lifestyle classifications. The most widely used is the _____.
a. VALS
b. AIO
c. CIA
d. B2B
e. R2D2
(Answer: a; p. 136; Easy)

34. _____are people with so many resources that they can indulge in any or all consumer self-orientation.
a. Habitual buyers
b. Innovators
c. Brand personalities
d. Subcultures
e. Reference groups
(Answer: b; p. 137; Moderate)

35. _____refers to the unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment. It is usually described in traits such as self-confidence, dominance, sociability, autonomy, defensiveness, adaptability, and aggressiveness.
a. Alternative evaluations
b. Belief
c. Culture
d. Personality
e. Self-awareness
(Answer: d; p. 137; Moderate)

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36. Researchers found that a number of well-known brands tended to be strongly associated with one particular trait, such as Levi's with "ruggedness." What is the name of the term that means a specific mix of human traits that may attribute to a particular brand?
a. Information search.
b. Social class.

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c. Brand personality.
d. New product.
e. Brand equity.
(Answer: c; p. 137; Easy)

37. A person's buying choices are further influenced by four major psychological factors. Which is NOT one of these factors?
a. Motivation.
b. Perception.
c. Habitual buying behavior.
d. Learning.
e. None of the above.
(Answer: c; p. 138; Moderate)

38. A_____is a need that is sufficiently pressing to direct the person to seek satisfaction.
a. lifestyle
b. motive
c. culture
d. personality
e. tradition
(Answer: b; p. 138; Easy)

39. The term_____refers to qualitative research designed to probe consumers' hidden, subconscious motivations.
a. social class
b. opinion leader
c. motivation research
d. need recognition
e. depth research technique
(Answer: c; p. 138; Easy)

40. Maslow's theory is that human needs are arranged in a_____from the most pressing at the bottom to the least pressing at the top.
a. social class
b. culture
c. perception
d. hierarchy
e. complex
(Answer: d; p. 139; Easy)

41. Maslow has a list of human needs from the most pressing to the least pressing. They include all of the following except_____.
a. physiological needs
b. safety needs

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c. need recognition
d. self-actualization
e. social needs
(Answer: c; p. 139; Moderate)

42. _____is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

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a. Personality
b. Perception
c. Selective group
d. Habitual behavior
e. Assessment
(Answer: b; p. 139; Moderate)

43. People can form different perceptions of the same stimulus because of three perceptual processes. All of the following name these processes except_____.
a. selective attention
b. selective distortion
c. selective attitude
d. selective retention
e. none of the above
(Answer: c; p. 139; Challenging)

44. People will forget much that they learn. They tend to retain information that supports their attitudes and beliefs. This is called_____.
a. selective retention
b. selective distortion
c. selective attitude
d. selective attention
e. perceptual vigilance
(Answer: a; p. 140; Challenging)

45. _____advertising is when consumers are affected by marketing messages without even knowing it.
a. Alternative evaluation
b. Subliminal
c. Complex
d. Motive
e. Comparative
(Answer: b; p. 140; Easy)

46. _____describes changes in an individual's behavior arising from experience.
a. Lifestyle
b. Learning
c. Perception
d. Cognitive dissonance
e. Aggressiveness
(Answer: b; p. 140; Easy)

47. Learning occurs through the interplay of all of the following except_____.
a. drives
b. stimuli
c. cues
d. dissonance behavior
e. A and C

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(Answer: d; p. 140; Challenging)
48. _____are subtle stimuli that determine where, when, and how a person responds to purchasing an item.
a. Cues
b. Drives
c. Messages

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d. Personalities
e. Impulses
(Answer: a; p. 140; Challenging)

49. The practical significance of_____for marketers is that they can build up demand for a product by associating it with strong drives, using motivating cues, and providing positive reinforcement.
a. alternative evaluations
b. social classes
c. the learning theory
d. subcultures
e. family and tradition
(Answer: c; p. 140; Challenging)

50. A_____is a descriptive thought that a person has about something.
a. lifestyle
b. motive
c. belief
d. habitual behavior
e. stereotype
(Answer: c; p. 141; Easy)

51. _____describes a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea.
a. Lifestyle
b. Motive
c. Habitual behavior
d. Attitude
e. Perception
(Answer: d; p. 141; Moderate)

52. A person's attitudes fit into a pattern, and to change one attitude may require difficult adjustments in many others. Thus, a company should_____try to fit its products into existing attitudes rather than attempt to change attitudes.
a. usually
b. not
c. once in a while
d. seldom
e. never
(Answer: a; p. 141; Easy)

53. All of the following are part of habitual buying behavior except which one?
a. Consumers search extensively for information about brands.
b. Consumer behavior does not pass through the usual belief–attitude–behavior sequence.
c. Ad repetition creates brand familiarity rather than brand conviction.
d. The buying process involves brand beliefs formed by passive learning.
e None of the above.
(Answer: a; p. 142; Challenging)

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54. In one way or another, most large companies sell to_____.

a. consumers
b. other organizations
c. employees
d. not-for-profit companies
e. the service sector

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(Answer: b; p. 148; Moderate)

55. What can we say about the size of the business market compared to consumer markets?
a. It is approximately the same.
b. It is smaller.
c. It is huge.
d. There is no need to compare them.
e. A and D
(Answer: c; p. 149; Easy)

56. The buyer decision process consists of five stages. Which of the following is not one of these stages?
a. Need recognition.
b. Information search.
c. Variety-seeking buying behavior.
d. Purchase decision.
e. None of the above.
(Answer: c; p. 142; Challenging)

57. The buying process starts with_____—the buyer recognizes a problem or need.
a. need recognition
b. information search
c. evaluation of alternatives
d. purchase decision
e. separation of needs and wants
(Answer: a; p. 142; Easy)

58. The consumer can obtain information from any of several sources. Which is not one of these sources?
a. Personal.
b. Commercial.
c. Attitude.
d. Public.
e. B and D
(Answer: c; p. 142; Moderate)

59. The most effective source that consumers obtain information from is_____because it legitimizes or evaluates products for the buyer.
a. commercial
b. public
c. experimental
d. personal
e. social
(Answer: d; p. 142; Challenging)

60. The marketer needs to know about_____—that is, how the consumer processes information to arrive at brand choices.
a. alternative evaluation

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b. opinion leaders
c. lifestyle
d. habitual buying behavior
e. postpurchase dissonance
(Answer: a; p. 143; Moderate)

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61. Generally, the consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and the purchase decision. What is one of these factors?
a. Postpurchase behavior.
b. Attitude of others.
c. Cognitive dissonance.
d. Habitual buying behavior.
e. Impulse buying.
(Answer: b; p. 143; Challenging)

62. The marketer's job does not end when the product is bought. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in_____.
a. habitual buying behavior
b. alterative evaluation
c. postpurchase behavior
d. variety-seeking buying behavior
e. product assessment
(Answer: c; p. 144; Easy)

63. What determines whether the buyer is satisfied or dissatisfied with a purchase? The answer lies in the relationship between the consumer's expectations and the product's_____.
a. perceived performance
b. brand personality
c. recognition
d. consumer market
e. service quality
(Answer: a; p. 144; Easy)

64. Almost all major purchases result in_____, or discomfort caused by postpurchase conflict.
a. opinion leaders
b. cognitive dissonance
c. purchase decisions
d. complex buying behavior
e. dissatisfaction
(Answer: b; p. 144; Moderate)

65. _____is a key to building lasting relationships with consumers.
a. Personality
b. Alternative evaluations
c. Need recognition
d. Customer satisfaction
e. Quality
(Answer: d; p. 145; Moderate)

66. Companies should set up systems that_____customers to complain.
a. discourage
b. encourage
c. do not allow

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d. any of the above
e. none of the above
(Answer: b; p. 145; Easy)

67. A new product is a good, service, or idea that is perceived by some potential customers as new. Our interest is in how consumers learn about products for the first time and make the

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decision to buy them. This is called the_____.
a. new product recognition
b. adoption process
c. variety-seeking buying behavior
d. information search
e. quality assessment
(Answer: b; p. 146; Moderate)

68. Which is not one of the stages that customers go through in the process of adopting a new product?
a. Awareness.
b. Interest.
c. Evaluation.
d. Culture.
e. Desire.
(Answer: d; p. 146; Easy)

69. Relative advantage, compatibility, complexity, divisibility, and communicability are characteristics of_____.
a. alternative evaluation
b. dissonance-reducing buying behavior
c. influence of product on rate of adoption
d. habitual buying behavior
e. service quality
(Answer: c; p. 147; Challenging)

70. Family is one of the_____factors that influence consumer behavior.
a. cultural
b. social
c. personal
d. psychological
e. business
(Answer: b; p. 132; Moderate)

71. Which of the following is not true regarding African American consumers?
a. They have annual buying power of $630 billion.
b. Black consumers seem to enjoy shopping more than other groups.
c. Many companies work to meet the needs of African American consumers.
d. African Americans are the most affluent U.S. segment.
e. Black consumers spend twice as much as white consumers for online services.
(Answer: d; p. 131; Challenging)

72. Which statement is true regarding social class?
a. Social class is determined primarily by income level.
b. Lines between social classes in the United States are fixed and rigid.
c. Social classes show distinct product preferences in clothing and automobiles.
d. Wealth is more critical than education level in measuring social class.
e. People are relegated to a permanent class layer in the United States.

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(Answer: c; p. 132; Challenging)

73. Opinion leaders are sometimes referred to as_____.
a. the influentials
b. the upper class
c. the middle class

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d. buzz marketers
e. none of the above
(Answer: a; p. 133; Moderate)

74. Lifestyles can be measured through our_____.
a. patterns of living
b. activities, interests, and opinions
c. AIOs
d. attitudes, interests, and opinions
e. A, B, and C
(Answer: e; p. 136; Moderate)

75. Which of the following is not a primary motivation?
a. Achievement.
b. Self-esteem.
c. Ideals.
d. Self-expression.
e. Attitudes
(Answer: b; p. 136; Moderate)

76. Harley-Davidson customers are mainly the Hell's Angels/Muscle Heads crowd.
(Answer: False; p. 128; Easy)

77. The Harley-Davidson Company found out that buying behavior is simple and understanding it is the essential task of marketing management.
(Answer: False; p. 128; Moderate)

78. Consumer buying behavior refers to the buying behavior of businesses.
(Answer: False; p. 128; Easy)

79. The central question for marketers is: How do consumers respond to various marketing efforts the company might use? The starting point is called the stimulus-response of buyer behavior.
(Answer: True; p. 129; Moderate)

80. A dissonance-reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.
(Answer: False; p. 145; Challenging)

81. Each culture contains groups of people with shared value systems based on common life experiences and situations.
(Answer: True; p. 129; Moderate)

82. Asian Americans, the fastest growing and most affluent U.S. demographic segment, include Chinese Americans, Japanese Americans, Asian Indians, Korean Americans, and Filipino Americans.
(Answer: True; p. 132; Easy)

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83. Younger consumers are better off financially than mature consumers. They are the ideal market for exotic travel, restaurants, high-tech home entertainment products, and leisure goods and services. (Answer: False; p. 132; Easy)

84. Social classes are society's relatively permanent and ordered divisions whose members share similar

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values, interests, and behaviors.
(Answer: True; p. 132; Easy)

85. Social classes are now taking to the streets, as well as cafes, nightclubs, and the Internet, in record numbers. Their goal: to seek out the trendsetters in each community and subtly push them into talking up a specific brand to their friends and admirers.
(Answer: False; p. 132; Moderate)

86. Lifestyle is a person's pattern of living as expressed in his or her psychographics.
(Answer: True; p. 136; Easy)

87. A belief is the specific mix of human traits that may be attributed to a particular brand.
(Answer: False; p. 141; Moderate)

88. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.
(Answer: True; p. 138; Easy)

89. A motive exists when consumers are highly involved with an expensive, infrequent, or risky purchase but see little difference among brands.
(Answer: False; p. 138; Easy)

90. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.
(Answer: True; p. 139; Moderate)

91. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.
(Answer: False; p. 142; Challenging)

92. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.
(Answer: False; p. 143; Moderate)

93. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in postpurchase behavior.
(Answer: True; p. 144; Easy)

94. Almost all major purchases result in cognitive dissonance, or discomfort caused by postpurchase conflict.
(Answer: True; p. 144; Easy)

95. When a consumer learns about a new product for the first time and makes a decision to try it, it is

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called the alternative evaluation process.
(Answer: False; p. 142; Moderate)

96. People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers." They are also called laggards.

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(Answer: False; p. 146; Challenging)

97. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.
(Answer: True; p. 146; Moderate)

98. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person.
(Answer: True; p. 146; Moderate)

99. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.
(Answer: False; p. 146; Challenging)

100. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.
(Answer: False; p. 146; Challenging)

101. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.
(Answer: True; p. 147; Moderate)

102. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.
(Answer: False; p. 148; Challenging)

103. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.
(Answer: False; p. 144; Challenging)

104. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.
(Answer: True; p. 143; Moderate)

105. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.
(Answer: False; p. 143; Moderate)

Harley-Davidson customers are loyal because the company makes a lifestyle statement and displays the attitude of being "the toughest, baddest guy on the block." The customer feels "wicked astride all that power." In addition, Harley-Davidson renews the customer's spirit and announces the customer's independence. Harley-Davidson also makes the customers feel that thumbing the starter of a Harley does a lot more than fire the engine; it fires the imagination! Harley-Davidson sells a dream.
(pp. 127–128; Moderate)

107. Cultural factors exert a broad and deep influence on consumer behavior. The marketer needs to understand the role played by the buyer's culture, subculture, and social class. Describe the differences

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among culture, subculture, and social class.

Culture is the most basic cause of a person's wants and behavior. Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations. Subcultures include nationalities, religions, racial groups, and geographic regions. Social classes are society's relatively permanent and ordered divisions whose members share similar values,

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interests, and behaviors.
(p. 129; Challenging)

108. Many subcultures make up important market segments. Examples of four such important subculture groups include Hispanic, African American, Asian American, Chinese Americans, and mature consumers. Describe the characteristics of each of these groups.

Hispanic consumers tend to buy more branded, higher-quality products—generics do not sell well to Hispanics. Perhaps more important, Hispanics are very brand loyal, and they favor companies who show special interest in them. African American consumers are more price-conscious than other segments; they are also strongly motivated by quality and selection. They place more importance on brand names, are more brand-loyal, and do less "shopping around." Per capita, African American consumers spend twice as much as white consumers for online services. Asian American consumers have the biggest barriers with cultural traditions and language. Chinese Americans have plenty of money—they trade two or three times as much as other investors, generating a lot of commissions as reported by the Schwab Company. Mature consumers are better off financially than are younger consumer groups. They are an ideal market for exotic travel, restaurants, high-tech home entertainment products, leisure goods and services, designer furniture and fashions, financial services, and healthcare services. The best strategy is to appeal to their active, multidimensional lives.
(p. 130; Challenging)

109. A consumer's behavior is also influenced by social factors, such as the consumer's small groups, family, and social roles and status. Explain the differences among these social factors.

Small groups to which a person belongs have a direct influence on what a person buys. Reference groups serve as direct or indirect points of comparison or reference in forming a person's attitudes or behaviors. An aspirational group is one to which the individual wishes to belong. Reference groups expose a person to new behaviors and lifestyles, influence a person's attitudes and self-concept, and create pressures to conform that may affect the person's product and brand choices. Opinion leaders are also included in reference groups. The family, furthermore, is the most important consumer buying organization in society. Marketers are interested in the roles and influence of each member. Social roles and status: Anna Flores plays the role of a daughter and a wife, and in her company she plays the role of a brand manager. A role consists of the activities people are expected to perform according to the persons around them. Anna will buy the kind of clothes that reflect her role and status.
(p. 132; Challenging)

110. Each person's distinct personality influences his or her buying behavior. Personality is usually described in terms of traits. What are these traits, and how do they affect the way people purchase items?

Personality is described in terms of traits such as self-confidence, dominance, sociability, autonomy, defensiveness, adaptability, and aggressiveness. Personality can be useful in analyzing behavior for certain products. For example, coffee marketers have discovered that heavy coffee drinkers tend to be high on sociability.
(p. 137; Easy)

111. A brand personality is the specific mix of human traits that may be attributed to a particular brand. One researcher identified five brand personality traits. Name three of these traits and tell about them.

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Sincerity (down-to-earth, honest, wholesome, and cheerful), excitement (daring, spirited, imaginative, and up-to-date), competence (reliable, intelligent, and successful), sophistication (upper class and charming), and ruggedness (outdoorsy and tough) are the five brand personality traits.
(p. 138; Easy)

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112. How might the market leader encourage habitual buying behavior?

The market leader will try to encourage habitual buying behavior by dominating shelf space, keeping shelves fully stocked, and running frequent reminder advertising.
(p. 142; Easy)

113. Explain brand personality as it affects specific brands.

A brand personality is the specific mix of human traits that may be attributed to a particular brand. Five brand personality traits include: sincerity, excitement, competence, sophistication, and ruggedness. Many well-known brands tend to be strongly associated with one particular trait.
(p. 138; Easy)

114. Explain Maslow's needs hierarchy.

Maslow suggested that our unfulfilled needs are enough to motivate us and that our needs are arranged in a hierarchy. The hierarchy of needs includes: physiological, safety, social, self-esteem, and self-actualization. Maslow suggested that we fill the bottom-level, basic needs first before moving up the hierarchy.
(p. 139; Easy)

115. Explain the stages in the adoption process.

In the awareness stage, consumers become aware of the new product but lack information about it. Then, consumers seek information about the new product in the interest stage. In the evaluation stage, consumers consider whether trying the new product makes sense. Consumers try the product on a limited basis in the trial stage. Consumers decide to make full use of the product in the adoption stage.
(p. 146; Moderate)

116. What would not appear on Harley-Davidson's home page?
a. Our goal is to run production at a level that everyone who wants a Harley can get one right away.
b. We sell a dream.
c. It gives you maximum self-expression in your own space.
d. Owning this makes you a member of the Harley family.
e. Feel the independence!
(Answer: a; p. 128; Challenging)

117. The marketer needs to understand the role played by all of the following except_____.
a. the buyer's culture
b. the buyer's subculture
c. the weather
d. the buyer's social class
e. the buyer's personal characteristics
(Answer: c; p. 129; Easy)

118. P&G currently markets heavily to the growing Hispanic segment. What is one thing it does not do?
a. P&G targets advertising toward Hispanics.

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b. P&G spends almost $170 million on Hispanic print and TV ads.
c. P&G demands that Hispanics must have a P&G credit card.
d. P&G creates Hispanic versions of some of its products.
e. B and D
(Answer: c; p. 130; Challenging)

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119. What is one thing that Wal-Mart does not do to cater to the Asian American market in one Seattle store?
a. Wal-Mart stocks a large selection of CDs from Asian artists.
b. Wal-Mart stocks videos from Asian artists.
c. Wal-Mart stocks Asian-favored health and beauty products.
d. Wal-Mart puts out white bows because Asians think it is a lucky color.
e. B and C
(Answer: d; p. 132; Moderate)

120. Sony recently overhauled its marketing approach in order to target products and services to consumers based on their life stages. It created a new unit called the Consumer Segment Division that has seven life-stage segments. Which of the following is not one of these segments?
a. Generation Y.
b. DINKs.
c. Opinion leaders.
d. Zoomers.
e. A and D
(Answer: c; p. 136; Easy)

121. Anna Flores can consider buying an expensive Nikon camera if she has enough_____, savings, or borrowing power.
a. personality
b. personal income
c. culture
d. information search
e. clout
(Answer: b; p. 136; Easy)

122. Many marketers use a concept related to personality—a person's self-concept. The basic self-concept premise is that people's possessions contribute to and reflect their identities; that is, "We are what we have." This leads consumers to_____. a. buy books to support their self-images
b. use brand personalities
c. begin habitual buying behavior
d. begin variety-seeking buying behavior
e. conduct the information search
(Answer: a; p. 138; Challenging)

123. Bob's job description had been changed. The rationale for the changes made no sense to Bob when they were explained. Bob continued to perform most of his job duties as usual. He has engaged in_____.
a. selective distortion
b. selective attitude
c. selective retention
d. selective attention
e. perceptual defense
(Answer: d; p. 140; Moderate)

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124. Stephanie and Jamal attended a sales seminar. Both left the seminar with differing opinions about what was important to implement in their jobs. Both used the information in different ways, according to what each already believed was important. They have engaged in_.
a. selective distortion

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b. selective attitude
c. selective retention
d. selective attention
e. perceptual defense
(Answer: a; p. 140; Moderate)

125. If the experience is rewarding, a consumer will probably use the product more and more. The consumer's response to the product will be_____.
a. a learning experience
b. a belief
c. reinforced
d. a dissonance experience
e. a selective distortion
(Answer: c; p. 141; Easy)

126. Blake is in the process of buying a new car. He is highly involved in the purchase and perceives significant differences among his three favorite models. Blake will likely undertake_____.
a. post purchase behavior
b. complex buying behavior
c. opinion leadership
d. dissonance
e. marketing myopia
(Answer: b; p. 142; Challenging)

127. As a purchasing agent, Benni Lopez buys goods for use in the production of products that are sold and supplied to others. Benni is involved in_____.
a. consumer buying behavior
b. post-purchase dissonance
c. reseller buying behavior
d. business buying behavior
e. A or C
(Answer: d; p. 149; Easy)

128. Bill thought he had received the best deal on his new car. Shortly after the purchase, Bill started to notice certain disadvantages of his new car as he learned more about other cars available. Bill is experiencing_____.
a. post purchase culture
b. perception
c. post purchase dissonance
d. purchase decision
e. perceptual vigilance
(Answer: c; p. 144; Moderate)

129. Annie Laurie works for Arrow Star, a wholesaler and retailer of outdoor furniture. Her job is to acquire goods to resell and rent to other retailers and consumers at a profit. Annie is involved in_____.

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a. consumer buying behavior
b. corporate buying behavior
c. marketing myopia
d. business buying behavior
e. reseller buying behavior

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(Answer: d; p. 149; Easy)

130. Kroger buys a lot of cranberry products at Christmas due to high consumer demand. This is an example of_____demand.
a. joint
b. derived
c. elastic
d. fluctuating
e. increasing
(Answer: b; p. 149; Moderate)

131. You purchase cleaning supplies for your custodial help regularly. It is therefore a_____.
a. modified rebuy
b. new task
c. straight rebuy
d. modified straight rebuy
e. consumer buy
(Answer: c; p. 151; Moderate)
132. If the consumer's drive is strong and a satisfying product is near at hand, the consumer is likely to buy it then. If not, the consumer may store the need in memory or undertake a(n)_____.
a. brand personality
b. alternative evaluation
c. post purchase behavior
d. information search
e. dismissal
(Answer: d; p. 142; Challenging)

133. Consumers arrive at attitudes toward different brands through some evaluation procedures. Which describes how this happens?
a. Consumers use careful calculations and logical thinking.
b. Consumers sometimes do little or no evaluating; instead, they buy on impulse and rely on intuition.
c. Sometimes consumers turn to friends for advice.
d. Some consumers are brand-loyal.
e. All of the above.
(Answer: e; p. 143; Easy)

134. You call in a department manager to assist in a purchase of industrial equipment. You are considering a change in product specifications, terms, and possibly suppliers. This sounds like a_____.
a. modified rebuy
b. new task
c. straight rebuy
d. tough decision
e. gatekeeper activity
(Answer: a; p. 151; Easy)

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135. After an individual's need for food, clothing, and shelter is filled, he or she will work to fill _____ needs.
a. physiological
b. safety

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c. social
d. self-esteem
e. self-actualization
(Answer: b; p. 139; Easy)

136. What role do the four Ps play in consumer behavior?

The four Ps are built around the target market; these four Ps create a "package" that attempts to attract the targeted consumers.
(p. 129; Easy)

137. Give an example of a cultural shift that may impact the marketing of products or services.

From time to time, for example, Americans develop a "fitness craze" that generates increased marketing of exercise equipment and gear and decreased marketing of fast food.
(p. 130; Easy)

138. Why might the Asian American market be the most viable targeted group for a new marketer of products?

Asian Americans are among the least brand-loyal consumers; they change brands more often compared with other groups.
(p. 132; Challenging)

139. In terms of spending behaviors, how might the current group of mature consumers differ from the mature consumers of the 1970s and 1980s?

The mature consumers in the 1970s and 1980s may have been more conservative, having remembered economic strife during the Great Depression, and they were less attracted to exotic travel, restaurants, or leisure items than the current group of mature consumers.
(p. 132; Challenging)

140. How might consumers in their twenties measure social class differently than consumers in their fifties?

Consumers in their twenties may pay more attention to the type of car driven, clothing brands worn, and accessibility to high-tech gadgets. Consumers in their fifties may especially notice house type, neighborhood, income, and source of income.
(p. 132; Moderate)

141. List two factors that may allow an individual to move to a higher social class in the United States.

Such factors may include a change in income or source of income and increased education.
(p. 132; Easy)

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142. In what way might a marketer rely on opinion leaders?

Opinion leaders can influence other larger groups of consumers.
(p. 133; Easy)

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143. Give an example of a product for which buzz marketing may not be necessary.

Buzz marketing may not be necessary for products with very little competition or for products that strongly complement the sale of another product.
(p. 133; Moderate)

144. Explain why typical husband-dominant or wife-dominant products of the 1970s may no longer be regarded as such.

More single-parent families and more dual-income families have changed the traditional buying roles over time.
(p. 134; Moderate)

145. Give an example of how changes in family life-cycle stages may change a marketer's promotional strategy.

In TV ads, for example, the marketer who portrays a typical family with the father, mother, and children is alienating childless couples, same-sex couples, and single parents; once a group feels alienated it may become difficult for the marketer to reach that group in the future.
(p. 135; Challenging)

146. Explain how lifestyles may be developed.

Answers will vary. Many individuals may believe that lifestyles are molded by the way individuals are raised and as a result of life experiences.
(p. 136; Moderate)

147. According to the VALS Lifestyles Classifications, how do innovators differ from survivors?

Innovators have so many resources that they exhibit motivations by achievement, ideals, and self-expression; whereas, survivors lack resources and show no primary motivations.
(p. 136; Moderate)

148. How is a brand personality developed?

A brand personality is the specific mix of human traits that may be attributed to a particular brand.
(pp. 137–138; Easy)

149. An upscale nightclub two stories below street level was filled to capacity with patrons. After an upset candle ignited a tablecloth, the club was engulfed in flames. Briefly explain the shift in needs, according to Maslow's hierarchy.

Upon arrival, the patrons were filling their social needs. After the fire broke out, safety quickly became the predominant need for the group.
(p. 139; Challenging)

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150. Explain why selective attention is not controllable by a marketer.

A marketer cannot guarantee that a consumer will pay attention to or remember a specific ad, for example;

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numerous stimuli affect a consumer's level of attention.
(p. 140; Moderate)

151. Explain how selective distortion is somewhat controllable by a marketer.

Marketers can attempt to understand consumers' mindsets and how these will affect perceptions of advertisements.
(p. 140; Moderate)

152. Knowing that selective retention prevents consumers from remembering everything about an ad, what might a marketer do to reduce selective retention?

Use of drama, fear, or extreme humor in an ad can often promote retention among consumers; ad repetition may also work.
(p. 140; Moderate)

153. When does a need become a motive?

A need becomes a motive when it is aroused to a sufficient level of intensity.
(p. 138; Moderate)

154. "Attitudes decay over time, especially toward products that are purchased less frequently." Explain this statement.

Dissatisfaction toward a type of product purchased frequently, such as bath soap or breakfast cereal, is reinforced every time thought is given to the purchase of that product type; this reinforces the negative attitude. As for a type of product purchased less frequently, the negative attitude was given more time to fade between purchases.
(p. 141; Challenging)

155. Explain how marketers may be able to reduce postpurchase dissonance.

Marketers must make every effort to enhance after-sale communications, providing evidence and support to help consumers feel good about their purchases.
(p. 145; Moderate)

1. _____is the development of original products, product improvements, product modifications, and new brands through the firm's own R&D efforts.
   a. Idea generation
   b. Concept testing
   c. Test marketing
   d. New product development

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Answer: (d) Difficulty: (1) Page: 264

2. All of the following are different ways a firm can obtain new products, except which one?

a. By acquiring a whole new company

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b. A firm can obtain a new product through patents

c. A firm can obtain a new product by licensing someone else's new product

d. A firm can obtain a new product by using the R&D department of other firms in thesame industry.

Answer: (d) Difficulty: (2) Page: 264

3. All of the following are accurate descriptions of reasons why new products fail, except which one?

a. Although the market size was correctly estimated, the product idea itself was not good.

b. The actual product was not designed as well as it should have been.

c. The new product was priced too high.

d. The new product was advertised poorly.

Answer: (a) Difficulty: (3) Page: 264

4. All of the following are accurate descriptions of ways companies are anxious to learn how to improve the odds of new-product success, except which one?

a. Find out what successful new products have in common.

b. To learn lessons from new product failures.

c. Companies have to learn to understand their own consumers.

d. Do not overly rely on product innovation when you can succeed by copying others.

Answer: (d) Difficulty: (3) Pages: 262-264

5. New-product development starts with_____.

a. idea screening

b. idea generation

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 265

6. _____is the systematic search for new-product ideas.

a. Idea generation

b. Idea screening

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c. Concept development and testing

d. Marketing strategy development

Answer: (a) Difficulty: (1) Page: 265

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7. All of the following are major internal sources of new-product ideas, except which one?

a. Picking the brains of company executives, scientists, engineers and salespeople is a good way to generate ideas.

b. Intrapreneurial programs that encourage employees to think and develop new-product ideas is a good way to generate ideas.

c. Some companies employ creative approaches, including both "method and madness" in helping them to generate new product ideas.

d. Good ideas come from watching and listening to customers.

Answer: (d) Difficulty: (3) Page: 266

8. Major sources of new product ideas include_____.

a. internal sources, using company R&D

b. creative approaches, using both "method and madness" approaches

c. watching and listening to customers

d. all of the above are sources of new product ideas

Answer: (d) Difficulty: (2) Page: 266

9. All of the following are major external sources of new-product ideas, except which one?

a. Companies can conduct surveys or focus groups to learn about consumer needs and wants.

b. Competitors are a good source of new-product ideas.

c. Some companies employ creative approaches, including both "method and madness" in helping them to generate new product ideas.

d. Good ideas come from watching and listening to customers.

Answer: (d) Difficulty: (3) Page: 266

10. All of the following are accurate descriptions of new product ideas, except which one?

a. New product development starts with idea generation.

b. Some companies use brainstorming exercises that expand people's minds and generate new ideas around the client's problem.

c. At the beginning of the process, carefully scrutinize each idea and throw far-fetched and impractical ones out the window.

d. Customers must be careful not to rely too heavily on customer input when developingnew products.

Answer: (c) Difficulty: (3) Pages: 268-269

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11. Some companies have installed a(n)_____that directs the flow of new ideas to a central point where they can be collected, reviewed, and evaluated.

a. new-product development team

b. idea management system

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c. computer system

d. satellite system

Answer: (b) Difficulty: (3) Page: 269

12. In order to install an *idea management system*, whereby all ideas are directed to a central point, a company can do any or all of the following:

a. Appoint a respected senior person to be the firm's idea manager.

b. Create a cross-functional idea management committee comprising of people formR&D, finance, engineering and operations to meet and evaluate new product ideas.

c. Reward employees through formal recognition programs.

d. All of the above are legitimate ways to systematically collect ideas.

Answer: (d) Difficulty: (3) Page: 269

13. The purpose of_____is to generate a large number of ideas.

a. idea screening

b. idea generation

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 270

14. The first idea reducing stage is_____, which helps spot good ideas and drop poor ones as soon as possible.

a. idea generation

b. idea screening

c. concept development and testing

d. marketing strategy development

Answer: (b) Difficulty: (2) Page: 270

15. A_____is a detailed version of the idea stated in meaningful consumer terms.

a. product idea

b. product concept

c. product image

d. test market

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Answer: (b) Difficulty: (2) Page: 270

16. A_____is the way consumers perceive an actual or potential product.

a. product idea

b. product concept

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c. product image

d. test market

Answer: (c) Difficulty: (1) Page: 270

17. An attractive idea must be developed into a_____.

a. product idea

b. product concept

c. product image

d. test market

Answer: (b) Difficulty: (2) Page: 270

18. All of the following are accurate descriptions of activities performed in the idea screening stage of new product development, except which one?

a. Idea screening helps spot good ideas and drop poor ones as soon as possible.

b. Companies want to go ahead only with the product ideas that will turn into profitable products.

c. Many companies require their executives to write up new product ideas on a standard form that can be reviewed by a new-product committee.

d. Setting up a toll-free number or Web site for anyone who wants to send a new idea tothe idea manager.

Answer: (d) Difficulty: (2) Page: 270

19. _____calls for testing new-product concepts with groups of target consumers.

a. Concept development

b. Concept testing

c. Idea generation

d. Idea screening

Answer: (b) Difficulty: (2) Page: 271

20. _____entails testing new-product concepts with a target group of consumers to find out if the concepts have strong consumer appeal.

a. Concept development

b. Concept testing

c. Idea generation

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d. Idea screening

Answer: (b) Difficulty: (1) Page: 271

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21. Product concepts are presented to consumers during concept testing in any of the following ways, except which one?

a. A word or picture description is presented to consumers.

b. A concrete and physical presentation of the concept will increase the reliability of the concept test.

c. Some companies are using virtual reality to test product concepts.

d. Companies are reluctant to use the Web to test product concepts.

Answer: (d) Difficulty: (3) Pages: 271-272

22. Designing an initial marketing strategy for a new product based on the_____is called marketing strategy development.

a. new product idea

b. product concept

c. test market results

d. product prototype

Answer: (b) Difficulty: (3) Page: 272

23. The marketing strategy statement in new product development consists of three parts:_____, _____, and_____.

a. idea generation; idea screening; concept development

b. idea generation; concept development; concept testing

c. idea generation; idea screening; idea management

d. target market description; planned product positioning; sales, market share, and profit goals for the first few years.

Answer: (d) Difficulty: (2) Page: 272

24. _____involves a review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives.

a. Idea generation

b. Idea screening

c. Business analysis

d. Concept development and testing

Answer: (c) Difficulty: (2) Page: 273

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25. If a product concept passes the_____, it moves into_____.

a. business analysis test; product development

b. concept development stage; product development

c. concept testing stage; product development

d. idea generation stage; product development

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Answer: (a) Difficulty: (2) Page: 273

26. Once management has decided on a product concept and marketing strategy, it can next evaluate the_____of the proposal.

a. product idea portion

b. product development part

c. business attractiveness

d. commercial viability

Answer: (c) Difficulty: (2) Page: 273

27. In the product concept stage of new-product development, the product is merely a_____.

a. word description

b. crude mock-up

c. drawing

d. all of the above

Answer: (d) Difficulty: (2) Page: 273

28. In the_____of new-product development, often products undergo rigorous tests to make sure that they perform safely and effectively or that consumers will find value in them.

a. business analysis stage

b. idea generation

c. concept development and testing stage

d. product development phase

Answer: (d) Difficulty: (3) Page: 273

29. _____is the stage of new-product development in which the product and marketing program are tested in more realistic market settings.

a. Business analysis

b. Idea generation

c. Test marketing

d. Marketing strategy development

Answer: (c) Difficulty: (2) Page: 274

30. All of the following are accurate descriptions of test marketing, except which one?

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a. Test marketing is the stage at which the product and marketing program are introduced into realistic market settings.

b. Test marketing by consumer-packaged goods firms has been increasing in recent years.

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c. Test marketing costs can be high, and it takes time that may allow competitors to gain advantages.

d. Companies often do not test market simple line extensions.

Answer: (b) Difficulty: (3) Page: 274

31. Introducing a new product into the market is called_____.

a. test marketing

b. new product development

c. experimenting

d. commercialization

Answer: (d) Difficulty: (2) Page: 275

32. A company getting ready to launch a new product must make several decisions. However, the company must first decide on_____.

a. whether to launch the product in a single location

b. whether to launch the product in a region

c. whether to launch the product into full national or international distribution

d. timing of the new product introduction

Answer: (d) Difficulty: (3) Page: 275

33. _____is a new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

a. Team-based product development

b. Simultaneous product development

c. Sequential product development

d. Product life-cycle analysis

Answer: (c) Difficulty: (2) Page: 276

34. In order to get their new products to market more quickly, many companies are adopting a faster, team-oriented approach called_____.

a. sequential product development

b. simultaneous product development

c. commercialization

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d. introduction timing

Answer: (b) Difficulty: (2) Page: 276

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35. All of the following statements are accurate descriptions of the simultaneous product development approach to new product development, except which one?

a. The simultaneous product development approach is also known as collaborative product development.

b. Company departments work closely together through cross-functional teams.

c. Companies assemble a team of people from various departments that stay with the new product from start to finish.

d. Companies often pass the new product from department to department in each stage of the process.

Answer: (d) Difficulty: (3) Page: 276

36. All of the following are accurate descriptions of new-product development approaches used by companies in the commercialization phase of the process, except which one?

a. New-product development teams in the simultaneous approach tend to stay with the new product from start to finish.

b. In the simultaneous approach, top management gives the product development team general strategic direction but no clear-cut product idea or work plan.

c. In order to get their new products to market more quickly, many companies are adopting a faster approach called sequential product development.

d. The simultaneous team-based approach can be riskier and more costly than the slower, more orderly sequential approach.

Answer: (c) Difficulty: (3) Page: 276

37. All of the following are limitations of the simultaneous team-based approach to new-product development, except which one?

a. Superfast product development can be riskier and more costly than the slower, more orderly sequential approach.

b. This approach often creates increased organizational tension and confusion.

c. The objective of this approach is to ensure that rushing a product to market doesn't adversely affect its quality.

d. Top management gives the product development team a clear-cut product idea or work plan.

Answer: (d) Difficulty: (2) Page: 276

38. All of the following statements accurately reflect the requisites of new-product success, except which one?

a. Thinking of a few good ideas, turning them into products, and finding customers for

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them.

b. A systematic approach for finding new ways to create value for target consumers, from generating and screening new-product ideas to creating and rolling out want-satisfying products to customers.

c. New-product success requires a total-company commitment.

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d. At firms known for their new-product success, their culture does not encourage, support, and reward innovation.

Answer: (d) Difficulty: (2) Page: 277

39. _____begins when the company finds and develops a new-product idea. During product development, sales are zero and the company's investment costs mount.

a. Introduction

b. Growth

c. Maturity

d. Product development

Answer: (d) Difficulty: (2) Page: 277

40. _____is a period of slow sales growth as the product is introduced into the market. Profits are non-existent in this stage because of the heavy expenses of product introduction.

a. Growth

b. Product development

c. Maturity

d. Introduction

Answer: (d) Difficulty: (2) Page: 277

41. _____is a period of market acceptance and increasing profits.

a. Product development

b. Maturity

c. Growth

d. Introduction

Answer: (c) Difficulty: (2) Page: 277

42. _____is the course of a product's sales and profits over its lifetime, involving five distinct stages: product development, introduction, growth, maturity, and decline.

a. Product life cycle

b. Maturity

c. Growth

d. Decline

Answer: (a) Difficulty: (2) Page: 277

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2. _____is the period when sales fall off and profits drop.

a. Introduction

b. Growth

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c. Maturity

d. Decline

Answer: (d) Difficulty: (2) Page: 277

3. All of the following are accurate descriptions of the product life cycle concept, except whichone?

a. The PLC concept can describe a product class.

b. The PLC concept can describe a product form.

c. The PLC concept can describe a brand.

d. Product forms tend to have the longest life cycles.

Answer: (d) Difficulty: (3) Page: 278

4. All of the following are accurate descriptions of the application of the product life cycle concept, except which one?

a. The PLC concept can be applied to styles.

b. The PLC concept can be applied to fashions.

c. The PLC concept can be applied to fads.

d. The PLC concept can be applied to all of the above.

Answer: (d) Difficulty: (2) Page: 278

5. All of the following are accurate descriptions of the life cycle of a style product, except whichone?

a. Style products appear in homes, clothing, and art.

b. Once a style is invented, it may last for generations.

c. A style has a cycle showing several periods of renewed interest.

d. Styles last only a short time and tend to attract only a limited following.

Answer: (d) Difficulty: (2) Page: 279

6. _____are fashions that enter quickly, are adopted with great zeal, peak early, and declinevery quickly.

a. Fashion

b. Fads

c. Styles

d. Mature products

Answer: (b) Difficulty: (2) Page: 279

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7. The product life-cycle stage in which the new product is first distributed and made available for purchase is called the_____.

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a. maturity stage

b. growth stage

c. introduction stage

d. decline stage

Answer: (c) Difficulty: (2) Page: 280

8. All of the following are characteristics of the introduction stage of the PLC, except which one?

a. Profits are usually negative or low because of low sales.

b. Profits are usually negative or low because of high distribution and promotion expenses.

c. Lots of money is needed to attract distributors and build inventories.

d. Educating the market remains a goal, but now the company must also meet the competition.

Answer: (d) Difficulty: (2) Page: 281

9. All of the following are accurate descriptions of product launch strategies that are recommended of market pioneers, except which one?

a. The product launch strategy must be consistent with the intended product positioning.

b. The initial strategy is just the first step in a grander marketing plan for the product'sentire life cycle.

c. Pioneers must avoid sacrificing long-run revenue for the sake of short-run gain.

d. Pioneers have the best chance of building and retaining market share if they decide to take risks from the start.

Answer: (d) Difficulty: (3) Page: 281

10. If the new product satisfies the market, it will enter a(an)_____, in which sales will start climbing quickly.

a. introduction stage

b. growth stage

c. maturity stage

d. decline stage

Answer: (b) Difficulty: (2) Page: 281

11. At some point, a product's sales growth will slow down, and the product will enter the_____.

a. introduction stage

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b. growth stage

c. maturity stage

d. decline stage

Answer: (c) Difficulty: (2) Page: 281

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12. All of the following are characteristics of the growth stage of the product life cycle, except which one?

a. The slowdown in sales growth results in many producers with many products to sell.

b. The early adopters will continue to buy, and later buyers will start following their lead, especially with favorable word of mouth.

c. Attracted by opportunities for profit, new competitors will enter the market.

d. Prices remain where they are or fall only slightly.

Answer: (a) Difficulty: (2) Page: 281

13. Profits increase during the_____as promotion costs are spread over a large volume and as unit manufacturing costs fall.

a. introduction stage

b. decline stage

c. maturity stage

d. growth stage

Answer: (d) Difficulty: (2) Page: 281

14. In the_____, the firm faces a trade-off between high market share and high current profit.

a. growth stage

b. decline stage

c. maturity stage

d. introduction stage

Answer: (a) Difficulty: (2) Page: 281

15. Mattel's Barbie is an example of age-defying products. Barbie, both timeless and trendy, is in the_of the PLC.

a. introduction stage

b. growth stage

c. maturity stage

d. decline stage

Answer: (c) Difficulty: (2) Page: 283

16. Over the past 100 years or so, Binney and Smith's Crayola crayons have become a household staple in more than 80 countries around the world. Crayola crayons is in the_____of the PLC.

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a. introduction stage
b. maturity stage
c. growth stage
d. decline stage

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Answer: (b) Difficulty: (2) Page: 283

17. Johnson and Johnson targeted the adult market with its baby powder and shampoo. In_____, Johnson and Johnson increased the consumption of the current product.

a. modifying the product

b. modifying the market

c. modifying the pricing strategy

d. modifying the distribution

Answer: (b) Difficulty: (2) Page: 281

18. Mattel's Barbie and Binney and Smith's Crayola crayons are two examples of products that might have been only_____, but instead were turned into long-term market winners with plenty of staying power.

a. fashion products

b. fads

c. style products

d. all of the above

Answer: (b) Difficulty: (3) Pages: 283-284

19. "Pet rocks" are a classic example of a_____.

a. fashion product

b. style product

c. fad

d. none of the above

Answer: (c) Difficulty: (3) Page: 279

20. When Heinz introduced EZ Squirt packaging and new colors such as Blastin' Green and Awesome Orange to revitalize consumer buying, the company was_____.

a. modifying the market

b. modifying the pricing strategy

c. modifying the distribution

d. modifying the product

Answer: (d) Difficulty: (3) Page: 282

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21. The WD-40 Company's knack for finding new uses has made this popular substance one of the truly essential survival items in most homes. WD-40 is in the_____of the PLC.

a. introduction stage

b. growth stage

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c. maturity stage

d. decline stage

Answer: (c) Difficulty: (2) Page: 282

22. All of the following are accurate descriptions of different ways companies extend the maturity stage of the PLC, except which one?

a. modifying the market

b. modifying the product

c. modifying the marketing mix

d. pruning the product offerings

Answer: (d) Difficulty: (2) Pages: 281-282

23. The product life-cycle stage, in which sales plunge to zero or drop to a low level at which they continue for many years, is the_____.

a. introduction stage

b. growth stage

c. maturity stage

d. decline stage

Answer: (d) Difficulty: (2) Page: 285

24. Product sales decline for many reasons, including which of the following?

a. recent technological advances

b. shifts in consumer tastes

c. increased competition

d. all of the above

Answer: (d) Difficulty: (1) Page: 285

25. Management must decide whether to maintain, harvest, or drop aging products in the_____of the PLC.

a. introduction stage

b. growth stage

c. maturity stage

d. decline stage

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Answer: (d) Difficulty: (2) Page: 285

26. All of the following are characteristics of the decline stage of the PLC, except which one?

a. As sales and profits decline, some firms withdraw from the market.

b. Some firms prune their product offerings.

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c. Some firms drop smaller market segments and marginal trade channels.

d. Some firms modify the market.

Answer: (d) Difficulty: (3) Page: 285

27. All of the following are stages in the PLC, except which one?

a. introduction

b. adoption

c. growth

d. decline

Answer: (b) Difficulty: (2) Page: 277

28. Soft drink makers, such as Coca-Cola and Pepsi Cola, know very well that their flagship brands are in the _____ of the PLC. Greater competition, price markdowns, increase in advertising and sales promotion and, higher R&D budgets, are characteristics of this stage.

a. product development

b. introduction

c. growth

d. maturity

Answer: (d) Difficulty: (2) Page: 281

29. Profits begin to slowly decline even before sales begin to drop significantly. This indicates a product is in the _____ of the PLC.

a. introduction stage

b. growth stage

c. maturity stage

d. decline stage

Answer: (c) Difficulty: (2) Page: 280

30. All of the following are accurate descriptions of practical problems faced by marketers using the PLC concept, except which one?

a. The PLC concept can be used as framework to describe how products and markets work.

b. The PLC concept can be used to forecast product performance.

c. The PLC concept can be used to develop marketing strategies.

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d. The PLC concept can be used to determine the factors that affect the product's movement through the stages.

Answer: (a) Difficulty: (3) Page: 280

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31. In the_____of the PLC, marketers use increased sales promotion to encourage brand switching.

a. introduction stage

b. product development stage

c. growth stage

d. maturity stage

Answer: (d) Difficulty: (3) Page: 286

32. In the_____of the PLC, marketers price to penetrate the market.

a. introduction stage

b. growth stage

c. maturity stage

d. product development stage

Answer: (b) Difficulty: (3) Page: 286

33. In the_____of the PLC, marketers build product awareness among early adopters and dealers.

a. growth stage

b. introduction

c. maturity stage

d. decline

Answer: (b) Difficulty: (2) Page: 286

75. The best example of a product(s) towards the end of the maturity stage and/or early decline stages of the product life cycle is_____.

a. cellular telephones

b. high definition television (HDTV)

c. 3.5 inch floppy disks

d. electric cars

Answer: (c) Difficulty: (3) Page: 281

76. According to the text, all of the following are accurate descriptions of Microsoft,

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except which one?

a. Microsoft has long been regarded as a product innovator.

b. Microsoft has long been regarded as "a big fat copycat."

c. Microsoft used its brute force to muscle into dominance of the operating system world.

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d. Microsoft is now innovating at a breakneck pace.

Answer: (a) Difficulty: (3) Page: 262

77. After idea generation and screening, consumers may then be asked to react to the_____by answering a few questions.

a. marketing strategy

b. product concept

c. business analysis

d. product development

Answer: (b) Difficulty: (2) Page: 273

78. Some marketers are finding innovative ways to make_____more real to consumer subjects. For example, some are using virtual-reality programs to simulate reality.

a. ideas

b. product concepts

c. business analysis

d. marketing strategy

Answer: (b) Difficulty: (3) Page: 271

79. Test marketing is not needed normally under the following conditions, except which one?

a. When simple line extensions are introduced.

b. When copies of successful competitor products are marketed.

c. When management is already confident about the new product.

d. When introducing a new product requires a big investment.

Answer: (d) Difficulty: (3) Page: 274

80. Introducing a new product into the market requires a lot of investment in time and money. The company may have to build or rent a manufacturing facility. And it may have to spend, in the case of consumer packaged goods, between $10 million and $200 million for advertising, sales promotion and other marketing efforts. The company is getting ready to go ahead with_____.

a. idea screening

b. product development

c. concept development and testing

d. commercialization

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Answer: (d) Difficulty: (3) Page: 265

81. According to the text, in the_____of the PLC, there are many_____. A weak product may take up too much of management's time. It often requires frequent price and inventory adjustments.

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a. introduction stage; costs

b. growth stage; hidden costs

c. maturity stage; hidden costs

d. decline stage; hidden costs

Answer: (d) Difficulty: (3) Page: 285

82. All of the following are examples of hidden costs in the decline stage of the PLC, except which one?

a. A weak product may take up too much of management's time.

b. Carrying a weak product requires frequent price and inventory adjustments.

c. Carrying a weak product requires advertising and sales force attention that might be better used to make "healthy" products more profitable.

d. Carrying a weak product is not necessarily bad for a firm's future.

Answer: (d) Difficulty: (2) Page: 285

83. Procter and Gamble has sold off a number of lesser or declining brands such as Oxydol detergent and Jif peanut butter. In these examples, management decided to_____the products.

a. maintain

b. harvest

c. drop

d. none of the above

Answer: (c) Difficulty: (3) Page: 286

84. Often in the decline stage of the PLC, management decides to reduce costs (plant and equipment, R&D, advertising) and hopes sales hold up. This is an example of_____the product.

a. harvesting

b. maintaining

c. dropping

d. ignoring

Answer: (a) Difficulty: (2) Page: 286

85. Often management may decide to sell a product to another firm or simply liquidate it at salvage value in the_____of the PLC.

a. growth stage

b. maturity stage

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c. product development stage

d. decline stage

Answer: (d) Difficulty: (2) Page: 287

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86. Using external sources, the company can find new ideas through formal research and development.

Answer: (False) Difficulty: (1) Page: 266

87. Generating new product ideas by watching and listening to customers is an example of an external idea source.

Answer: (True) Difficulty: (1) Page: 266

88. The systematic search for new-product ideas is called idea screening.

Answer: (False) Difficulty: (2) Page: 265

89. Major sources of new-product ideas include internal sources and external sources.

Answer: (True) Difficulty: (1) Page: 265

90. New product development begins with idea generation.

Answer: (True) Difficulty: (1) Page: 265

91. Some companies believe that no idea is too far-fetched or impractical on the first day.

Answer: (True) Difficulty: (1) Page: 268

92. A firm can obtain new products in two ways: acquisition or new product development.

Answer: (True) Difficulty: (2) Page: 264

93. Companies must rely heavily on consumer input when developing new products.

Answer: (False) Difficulty: (2) Page: 269

94. New products fail due to several reasons. Although an idea may be good, the market size may have been overestimated.

Answer: (True) Difficulty: (2) Page: 264

95. The search for new-product ideas should be systematic rather than haphazard.

Answer: (True) Difficulty: (2) Page: 269

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96. An idea management system directs the flow of new ideas to a central point where they can be collected, reviewed, and evaluated.

Answer: (True) Difficulty: (2) Page: 269

97. The idea manager approach helps create an innovation-oriented company culture.

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Answer: (True) Difficulty: (2) Page: 270

98. The purpose of idea screening is to create a large number of ideas.
Answer: (False) Difficulty: (2) Page: 270

99. An attractive idea must be developed into a marketing strategy.
Answer: (False) Difficulty: (2) Page: 270

100. Testing new-product concepts with a group of target consumers to find out if the concepts have strong consumer appeal is called concept testing.
Answer: (True) Difficulty: (2) Page: 271

101. Some marketers are using virtual reality to test product concepts.
Answer: (True) Difficulty: (2) Page: 271

102. Marketing strategy development entails designing an initial marketing strategy for a new product based on the product concept.
Answer: (True) Difficulty: (2) Page: 271

103. Marketing strategy statement consists of three parts. The second part describes the target market; the planned product positioning; and the sales, market share, and profit goals for the first few years.
Answer: (False) Difficulty: (2) Page: 272

104. Business analysis involves a review of the sales, costs, and profit projections for a new product to find out if they satisfy the company's objectives.
Answer: (True) Difficulty: (2) Page: 273

105. The product concept exists as a prototype of the actual product.
Answer: (False) Difficulty: (2) Page: 273

106. The product concept exists as a word description, a drawing, or a crude mock-up.
Answer: (True) Difficulty: (2) Page: 273

107. Developing the product concept into a physical product in order to ensure that the product idea can

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be turned into a workable product is called product development.

Answer: (True) Difficulty: (2) Page: 273

108. The stage of new product development, in which the product and marketing program are tested in more realistic market settings, is called test marketing.

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Answer: (True) Difficulty: (2) Page: 274

109. When the costs of developing and introducing the product are low, the company may do little or no test marketing.

Answer: (True) Difficulty: (2) Page: 274

110. Test marketing costs are usually low.

Answer: (False) Difficulty: (2) Page: 274

111. Test marketing by consumer packaged-goods firms has been increasing in recent years.

Answer: (False) Difficulty: (2) Page: 274

112. Companies often test market simple line extensions or copies of successful competitor products.

Answer: (False) Difficulty: (2) Page: 274

113. When introducing a new product requires a big investment, a company may do little or no test marketing.

Answer: (False) Difficulty: (2) Page: 274

114. Introducing a new product into the market is called product development.

Answer: (False) Difficulty: (2) Page: 275

115. A company launching a new product into the market must first decide on where to launch the product.

Answer: (False) Difficulty: (2) Page: 275

Essay

116. New product development begins with lots of ideas. Companies everywhere use several sources to develop new ideas. Identify and discuss the sources of new-product ideas.

Answer:

Major sources of new-product ideas include internal sources and external sources, such as customers, competitors, distributors and suppliers, and others. Using internal sources, the company

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can find new ideas through formal R&D. Company executives, scientists (3M), engineers, manufacturing staff, and salespeople. Some companies have developed "intrapreneurial" programs to develop new-product ideas. TI's IDEA program provides funds for employees who pursue their own ideas. Firms like Eureka! Ranch employ both " method and madness" to help companies jumpstart their new-product idea generation process. Listening to customers and conducting focus groups or surveys to learn about consumer needs and wants is a good way to pursue new ideas. Using

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customers as innovators has become a hot new way to create value. Some firms do not overly rely on consumer input, as they are not experts or informed enough on a particular innovation. Competitors, distributors and suppliers also contribute many good new-product ideas. Other idea sources include trade magazines, shows, seminars, and other commercial marketing firms.

Difficulty: (2) Pages: 265-270

117. New-product failure rates range anywhere from a low of 30 percent to a high of 95 percent. There are several reasons for new product failure. Explain, using examples wherever necessary.

Answer:

Although an idea may be good, the market size may have been overestimated. Perhaps the actual product was not designed as well as it should have been. Maybe the product was incorrectly positioned in the market, priced too high, or advertised poorly. A high-level executive might push a favorite idea despite poor marketing research findings. Sometimes the costs of product development are higher than expected and sometimes competitors fight back harder than expected. The reasons behind some new-product failures seem pretty obvious. For example, RJR's smokeless cigarette, Premier, was a classic case of targeting the wrong group. Other companies failed because they attached their brand names to something totally out of character.

Difficulty: (2) Page: 264

118. According to the text, companies can benefit by relying on consumer-generated ideas. Discuss the pros and cons of each.

Answer:

External idea sources are some examples of consumer generated new-product ideas. The company can analyze customer questions and complaints to find new products that better solve consumer problems. Company engineers or salespeople can meet with and work alongside customers to get suggestions and ideas. The company can conducts surveys or focus groups to learn about consumer needs and wants. For example, Heinz approached children to get fresh ideas to make ketchup more appealing. Changing the color of ketchup was the kids' idea so Heinz came up with EZ Squirt, emitting a thin stream of ketchup. Companies can also benefit by letting consumers create new products and uses on their own. Other firms go to the extent of giving consumers the tools and resources to design their own products. Tools include computer simulation and rapid prototyping to make product development faster and less expensive.

Difficulty: (2) Pages: 265-270

119. According to the text, companies must be careful not to rely too heavily on consumer input when developing new products. Explain why.

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Answer:

Companies must be careful not to overly rely on consumer-generated ideas, as customers may not know what they need for some technical products. It is not wise to expect customers to come up with solutions, as they are not expert or informed enough for that part of the innovation process. Some

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marketers strongly believe that the R&D team is better suited to ideas; customers should be asked only for outcomes -- what they want a product or service to do for them.

Difficulty: (2) Page: 269

120. What is an idea management system? Explain.

Answer:

An idea management system directs the flow of new ideas to a central point where they can be collected, reviewed, and evaluated. In setting up such a system, a company can do any or all of the following:

- Appoint a respected senior person to be the company's idea manager.
- Create a cross-functional idea management committee consisting of people from R&D, engineering, purchasing, operations, finance, and sales and marketing to meet regularly and evaluate proposed new product and service ideas.
- Set up a toll-free number or Web site for anyone who wants to send a new idea to the idea manager.
- Encourage all company stakeholders -- employees, suppliers, distributors, dealers-to send their ideas to the idea manager.
- Set up formal recognition programs to reward those who contribute the best new ideas.

An idea manager approach yields two basic outcomes. First, it creates an innovation-oriented company culture. It shows that top management supports, encourages, and rewards innovation. Second, it will yield a larger number of ideas among which will be found some especially good ones. As the system matures, ideas will flow freely.

Difficulty: (2) Pages: 269-270

121. Define new-product development. Outline the major steps in the new product development process.

Answer:

New-product development is the development of original products, product improvements, product modifications, and new-products through the firm's own R&D department. The steps in new-product development are:

1. Idea generation: The systematic search for new-product ideas.
2. Idea screening: To spot good ideas and drop poor ones as soon as possible.
3. Concept development and testing: An illustration, written description of the product or crude-mockup is developed and tested in this stage. The testing ends with questions

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about consumer intentions to buy the product.

4. Marketing strategy developing: Designing an initial marketing strategy for a new product based on the product concept.
5. Business Analysis: A review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

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6. Product development: Developing the product to ensure that the idea can be turnedinto a workable product.
7. Test marketing: Product and marketing program is introduced into more realistic market settings.
8. Commercialization: Introducing a new product into the market.

Difficulty: (2) Pages: 264-276

122. Define test marketing. Discuss the pros and cons of test marketing.

Answer:

Limited introduction of a new product and the marketing program to simulate realistic market settings is called test marketing. Test marketing gives the marketer experience with marketing the product before going to the expense of full introduction. The amount of test marketing needed varies with each new product. Test marketing costs can be high and it takes time that may allow competitors to gain advantages. When the costs of developing and introducing the product are low, or when management is already confident about the new product, the firm may do little or no test marketing. In fact, test marketing by consumer packaged goods firms has been declining in recent years. Companies often do not test-market simple line extensions or copies of successful competitor products. Sometimes, when introducing a new product requires a big investment or when management is not sure of the product or marketing program, a company may do a lot of test marketing. There are also times when test marketing does not guarantee success. Subsequent to testing, product failures have occurred.

Difficulty: (2) Pages: 274-275

123. Define commercialization. During the product launch stage, the company must first decide on two important issues. Explain.

Answer:

Introducing a new product into the market is called commercialization. The company launching a new product must first decide on introduction timing. Next, the company must decide where to launch the new product -- in a single location, a region, the national market, or the international market. Confidence, capital, and capacity are required to launch new products on a large-scale basis. Hence, firms plan a market rollout over time. Large companies pursue a national rollout while some firms plan global rollouts. For example, Colgate introduced a battery-powered toothbrush into 50 countries in a year.

Difficulty: (2) Pages: 275-276

124. Distinguish between a style product, a fashion product, and a fad product.

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Answer:

A style is a basic and distinctive mode of expression. Styles are seen in homes, clothing, and art. A style goes through several periods of renewed interest. A fashion is a currently accepted or popular style in a given field. Fashions tend to grow slowly, remain popular for a while, and then decline slowly. Fads are fashions that enter quickly, are adopted with enthusiasm, peak early, and

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then decline very quickly. They last for a short while and tend to attract only a limited following.

Difficulty: (2) Page: 280

125. Distinguish between the application of the PLC concept across a product class, product form, and a brand.

Answer:

The PLC concept can be used to describe a product class (gasoline-powered automobiles, laundry soaps), a product form (minivans, SUV), or a brand (the Ford Explorer). Product classes tend to have the longest life cycles; they tend to stay in the mature stage for a long time. Product forms tend to have the standard PLC shape. Examples include dial telephones and cassette tapes. Brand life cycles tend to be shorter today, due to competitive pressures.

Difficulty: (2) Page: 278

Application

126. Pick any automobile company and apply the PLC concepts to each of these cases: product class, product form and a brand; style, fashion and fad products.

Answer:

Students can pick any automobile company of their choice. Daimler-Chrysler is a case in point of an automobile company with a lot of history attached to it, having undergone several changes.

Product class: Gasoline-powered automobiles have been around for over a century.

Product form: Chrysler, the pioneer of minivans (Dodge Caravan and Plymouth Voyager), is now riding the SUV wave. Now in the mature stage of the life cycle, minivans are slowly losing ground to SUVs in the northeast USA. SUVs are in the growth phase of the PLC.

Brand: A plethora of brands can be found under the umbrella of Daimler-Chrysler. Dodge Viper, ML 320, 320 C Class, Dodge Caravan are some of the brands in different stages of the PLC.

Style product: Aerodynamic shape of cars is a classic example of a style product. It goes through cyclical patterns, with interest being revived now and then. At times, the mini-version and box-type look come back. The sleek look of the 1980s has stood its course for nearly three decades.

Fashion product: For example, it is fashionable to own an SUV. Considered to be ideal for all terrain weather, or a work horse to shepherd the kids to school and to perform other household tasks with lots of luggage room and leg room, SUVs have been around for over five to seven years.

Fad: Mercedes, in a joint venture with SMH Corp., built a car. It was somewhat successful

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in Europe but never introduced to the USA.

Difficulty: (2) Pages: 277-286